GREEN CLIMATE FUND

Meeting of the Board
23 – 26 October 2023
Tbilisi, Georgia
Provisional agenda item 12

GCF/B.37/02/Add.12

2 October 2023

Consideration of funding proposals – Addendum XII

Funding proposal package for FP221

Summary

This addendum contains the following six parts:

a) A funding proposal summary titled "Rwanda Green Investment Facility (RGIF)" submitted by African Development Bank;
b) No-objection letter(s) issued by the national designated authority(ies) or focal point(s);
c) Environmental and Social report(s) disclosure;
d) Independent Technical Advisory Panel's assessment;
e) Response from the accredited entity to the independent Technical Advisory Panel's assessment; and
f) Gender documentation of the funding proposal.

These documents are presented as submitted by the accredited entity and the national designated authority(ies) or focal point(s), respectively. Pursuant to the Comprehensive Information Disclosure Policy of the Fund, the funding proposal titled "Rwanda Green Investment Facility (RGIF)" submitted by African Development Bank. is being circulated on a limited distribution basis only to Board Members and Alternate Board Members to ensure confidentiality of certain proprietary, legally privileged, or commercially sensitive information of the entity.

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Funding Proposal

Project/Programme title:	Rwanda Green Investment Facility (RGIF)
Country(ies):	Rwanda
Accredited Entity:	African Development Bank
Date of first submission:	[2019/06/18]
Date of current submission	[2023/09/30]
Version number	[V.1]

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Contents

Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the GCF Information Disclosure Policy, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

"FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]"

LIST OF ACRONYMS	
AE	Accredited Entity
AMA	Accreditation Master Agreement
EE	Executing Entity
ESIA	Environment and Social Impact Assessment
ESMF	Environment and Social Management Framework
ESMP	Environmental and Social Management Plan
ESMS	Environmental and Social Management System
ESS	Environmental Social Safeguard
FP	Funding Proposal
GHG	Greenhouse Gas Emission
IDP	Information Disclosure Policy
IRMF	Integrated Results Management Framework
NDA	National Designated Authority
RFP	Request for Proposals
	In the spaces below, please add any additional abbreviations or acronyms that specific to the project.

A. PROJECT/PROGRAMME SUMMARY

A.1. Project or programme	Programme	**A.2. Public or private sector**	Private
A.3. Request for Proposals (RFP)	*If the funding proposal is being submitted in response to a specific GCF Request for Proposals, indicate which RFP it is targeted for. Please note that there is a separate template for the Simplified Approval Process and REDD+.* Not applicable		

A.4. Result area(s)

*Check the applicable GCF result area(s) that the overall proposed project/programme targets below. For each checked result area(s), indicate the estimated percentage of **GCF and Co-financers' contribution** devoted to it. The total of the percentages when summed should be 100% for GCF and Co-financers' contribution respectively.*

	GCF contribution	Co-financers' contribution
Mitigation total	75 %	75 %
☒ Energy generation and access	25 %	25 %
☒ Low-emission transport	25 %	25 %
☒ Buildings, cities, industries and appliances	25 %	25 %
☐ Forestry and land use	Enter number %	Enter number %
Adaptation total	25 %	25 %
☐ Most vulnerable people and communities	0 %	0 %
☒ Health and well-being, and food and water security	25 %	25 %
☐ Infrastructure and built environment	0 %	0 %
☐ Ecosystems and ecosystem services	0 %	0 %

A.5. Expected mitigation outcome *(Core indicator 1: GHG emissions reduced, avoided or removed / sequestered)*	***0.93 million tCO2e***	**A.6. Expected adaptation outcome** *(Core indicator 2: direct and indirect beneficiaries reached)*	*Indicate total number of direct and indirect beneficiaries*	
			140,000	*280,000*
			1.05%	*2.11%*
A.7. Total financing (GCF + co-finance)	141,955,898 USD	**A.9. Project size**	Medium (Upto USD 250 million)	
A.8. Total GCF funding requested	_ 42,793,000____ USD			

A.10. Financial instrument(s) requested for the GCF funding	*Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8.* ☒ Grant[1] 12,793,000 USD ☒ Loan 30,000,000 USD ☐ Guarantee Enter number ☐ Equity Enter number ☐ Results-based payment Enter number		
A.11. Implementation period	*7 years*	**A.12. Total lifespan**	*25 years*
A.13. Expected date of AE internal approval	*This is the date that the Accredited Entity obtained/will obtain its own approval to implement the project/ programme, if available.* *11/22/2023*	**A.14. ESS category**	*Refer to the AE's safeguard policy and [GCF ESS Standards] to assess your FP category.* I-2
A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	**A.16. Has Readiness or PPF support been used to prepare this FP?**	Yes ☐ No ☒
A.17. Is this FP included in the entity work programme?	Yes ☒ No ☐	**A.18. Is this FP included in the country programme?**	Yes ☒ No ☐
A.19. Complementarity and coherence	*Does the project/programme complement other climate finance funding (e.g. GEF, AF, CIF, etc.)? If yes, please elaborate in section B.1.* Yes ☒ No ☐		
A.20. Executing Entity information	*If not the Accredited Entity, please indicate the full legal name of the Executing Entity(ies) and provide its country of registration and ownership type. Note that there can be more than one Executing Entity. Also indicate if an Executing Entity is the National Designated Authority. Refer to the definition of Executing Entity in the Accreditation Master Agreement.* The Executing Entities to implement the RGIF project: 1. Government of Rwanda (through MINECOFIN) 2. Name: Development Bank of Rwanda Plc (BRD) Country of registration: Rwanda Ownership type: Public Limited Company fully owned by the Government of Rwanda 3. Name: FONERWA Country of registration: Rwanda Ownership type: Special organ of the Government of Rwanda established under the Law establishing the National Fund for Environment and determining its mission, organization and functioning (Nº 39/2017 of 16/08/2017)		
A.21. Executive summary (max. 750 words, approximately 1.5 pages)			

Provide an executive summary of the project/programme including:

1. *Climate change problem*
2. *Proposed interventions*
3. *Climate impacts/benefits*

Rwanda is among the highly vulnerable[2] countries to climate change both in terms of mitigation and adaptation. Climate effect such as intense rainfalls, seasonal temperature shifts, droughts, and landslides have become increasingly common[3] and extremely difficult to manage with serious consequences for agriculture, health and livelihoods: high soil erosion rates, increased livestock vulnerability to diseases, periodic floods, shifting agro-climatic zones, development of new pests and diseases, etc. To tackle this challenge, Rwanda has set ambitious climate and development goals to achieve low-carbon emission while creating economic social impact and job creation.

The Government of Rwanda is pursuing several measures for low-carbon and climate-resilient growth and development consistent with its national development plans and commitment under the Paris Agreement. The country's updated Nationally Determined Contributions (NDCs) 2020 have identified climate adaptation and mitigation measures presented in the Green Rwanda action Plan. These measures include electricity generation, energy efficient buildings, climate resilient agriculture, Manufacturing industries, clean transportation, water conservation, waste management and soil management. The RGIF is specifically designed to mobilize the financing required for executing the transactions and management of pipeline projects ins some these priority sectors of the NDC and to contribute to the implementation and realization of the NDC targets.

Furthermore, as the country looks towards what will be needed for Rwanda to address the unprecedented challenges created by Covid-19, the RGIF will play a critical role in progressing from near-term emergency aid relief to what will be needed in the medium-to-longer term to build resiliency and re-grow Rwanda's developing economy. The role of catalytic, innovative finance capacity to support critical infrastructure and social investment and sustainable growth will be essential.

The RGIF project aims to strengthen Rwanda's ownership of climate finance and address market challenges to facilitate private investment in the low carbon sector by offering tailored financing products to target projects in priority sectors. Specifically, RGIF will be composed of two windows working in an integrated approach: 1) the Project Preparation Facility at the Rwanda Green Fund (FONERWA) offering grants and reimbursable grants to increase projects bankability and 2) the Credit Facility embedded within the Development Bank of Rwanda (BRD) offering direct loans for the eligible pipeline.

Additionally, the activities for the RGIF programme will include strengthening the institutional capacity of the FONERWA and BRD to upgrade and become the co-executors of the RGIF and have the mandate, structure, functions, investment focus, financial instruments and systems, strategic and business plan, operational systems, and manuals, required staffing and capacity for making catalytic green investments.

This will include for BRD as the manager of the RGIF Credit Facility, project origination and screening, credit analysis, deal structuring and credit approval (investment), risk analysis and management, portfolio management, loan monitoring and monitoring and reporting. And for FONERWA, this includes technical assistance to the market (project developers and local banks included) and advisory services for bringing the pipeline projects into financial close as well as investment and portfolio management.

The expected reduction in carbon emissions based on current pipeline and very conservative estimates is about [0.92million] tonnes CO2eq over a 25-years lifetime across 4 target sectors in the near term: renewable energy, agriculture, green buildings and clean transportation. The programme will also ensure climate resilience livelihoods for 31,000 households and will ensure women have equal access to the facility Finally, RGIF programme will also enhance Rwanda's capacity to mobilize green investments and upgrade local capacity to provide green finance and support national green development.

[1] Grant value (USD 8,793,000) and reimbursable grant (4,000,000)

[2] World Bank Climate Change Knowledgeable Portal (climateknowledgeportal.worldbank.org).

[3] Rwanda Water & Forestation Authority Interview & PST4 Rwanda Agriculture Strategic Plan 2018-2024

B. PROJECT/PROGRAMME INFORMATION

B.1. Climate context (max. 1000 words, approximately 2 pages)

Climate change problem: Describe the climate change problem the proposal is expected to address. Describe the mitigation needs (GHG emissions profile) and/or adaptation needs (climate hazards and associates risks based on impacts, exposure, and vulnerabilities) that the proposed interventions are expected to address. Also describe the most likely scenario (prevailing conditions or other alternative) that would remain or continue in the absence of the proposed interventions. Include baseline information. The methodologies used to derive such information, including the mitigation and adaptation needs, should be included in the feasibility study.

Context: In describing the mitigation and/or adaptation needs, briefly describe the target region/area of the proposed interventions including information on the demographics, economy, topography, etc.

Related projects/interventions: Also describe any recent or ongoing projects/interventions that are related to the proposal from other domestic or international sources of funding, such as the Global Environment Facility, Adaptation Fund, Climate Investment Funds, etc., and how they will be complemented by this project/programme (e.g. scaling up, replication, etc.). Please identify current gaps and barriers regarding recent or ongoing projects and elaborate further how this project/programme complements or addresses these.

1. Climate Rationale:

   The climate change basis for the integrated RGIF programme is a focus on projects that provide mitigation or adaptation benefits following the principles established in GCF board decision B.33/12. Climate change and associated impacts could have devastating implications on development in different climate-sensitive sectors like agriculture, water resources, human health, energy, ecosystem and biodiversity. It is, therefore, imperative to understand the spatial and temporal variation of climate within any given zone or region of Rwanda, and their relationship with other factors which is necessary to inform activities related to climate change and the management of the natural resources, such as environmental planning, land use planning, water resources planning, agriculture and irrigation.

2. Climatology and historical climate of Rwanda

Rwanda is a landlocked country with a challenging topography (Figure B.1.1) and structural development challenges such as lack of appropriate infrastructure, insufficient energy access, and an economy still dependent on rain-fed agriculture for both subsistence and exports. This makes the country highly vulnerable to climate change with impact on natural resources.

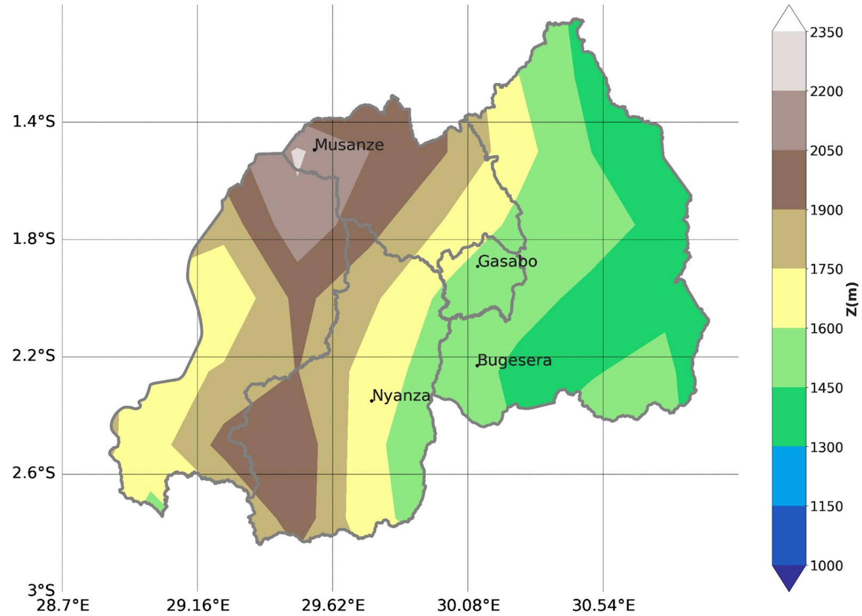


Figure B.1.1: Map of Rwanda showing elevation in meters and location some project sites

Although Rwanda is located within the equatorial belt, its climate is not typical to that of the equatorial rainy type. The country's climate is defined by humid conditions including rainy forest and Savannah types. The central and eastern part of the country is generally of semi-arid type owing to its position in the rainy shadow of the western highlands. The rainfall 5 is characterized by a large temporal and spatial variation due to varied topography and existence of large water bodies near and within the country. In general, two rainy seasons dominates during the periods March – May (long rainy season) and September – November (short rainy season)[4,5] as shown by selected project sites in Figure B.1.2. The rainy seasons are alternate with long dry (June-July-August) and short dry seasons (Mid-December-January-February) throughout the year. The four seasons are largely controlled by the position and intensity of anticyclones such as Mascarenes, Saint Helena, Açores and Siberian. Spatial distribution of both observed and modelled climatological precipitation and temperature decreases and increases, respectively, from the west to east of Rwanda, although the shows overestimation in the west and underestimation in the north-east region of the country (Figure B.1.3). The country's average annual total precipitation can range from 700-1500mm (Figure B.1.3a & d) and distributed differently across the four main climatic regions, namely, eastern plains, central plateau, highlands, and regions around Lake Kivu,[6] while temperatures range between 11^{o} – 28^{o}C across the climatic regions (Figure B.1.3 b, c, e & f).

[4] Ilunga, L., Mbaragijimana, C. and Muhire, I., (2004). Pluviometric seasons and rainfall origin in Rwanda. Geo-Eco-Trop, 28(1-2):61-68.

[5] Kizza, M., Rodhe, A., Xu, C.Y., Ntale, H.K. and Halldin, S., (2009). Temporal rainfall variability in the Lake Victoria basin in East Africa during the twentieth century. Theoretical and Applied Climatology,98:119-135.

[6] Muhire, I. and Ahmed, F., (2015). Spatio-temporal trend analysis of precipitation data over Rwanda. South African Geographical Journal, 97(1): 50-68.

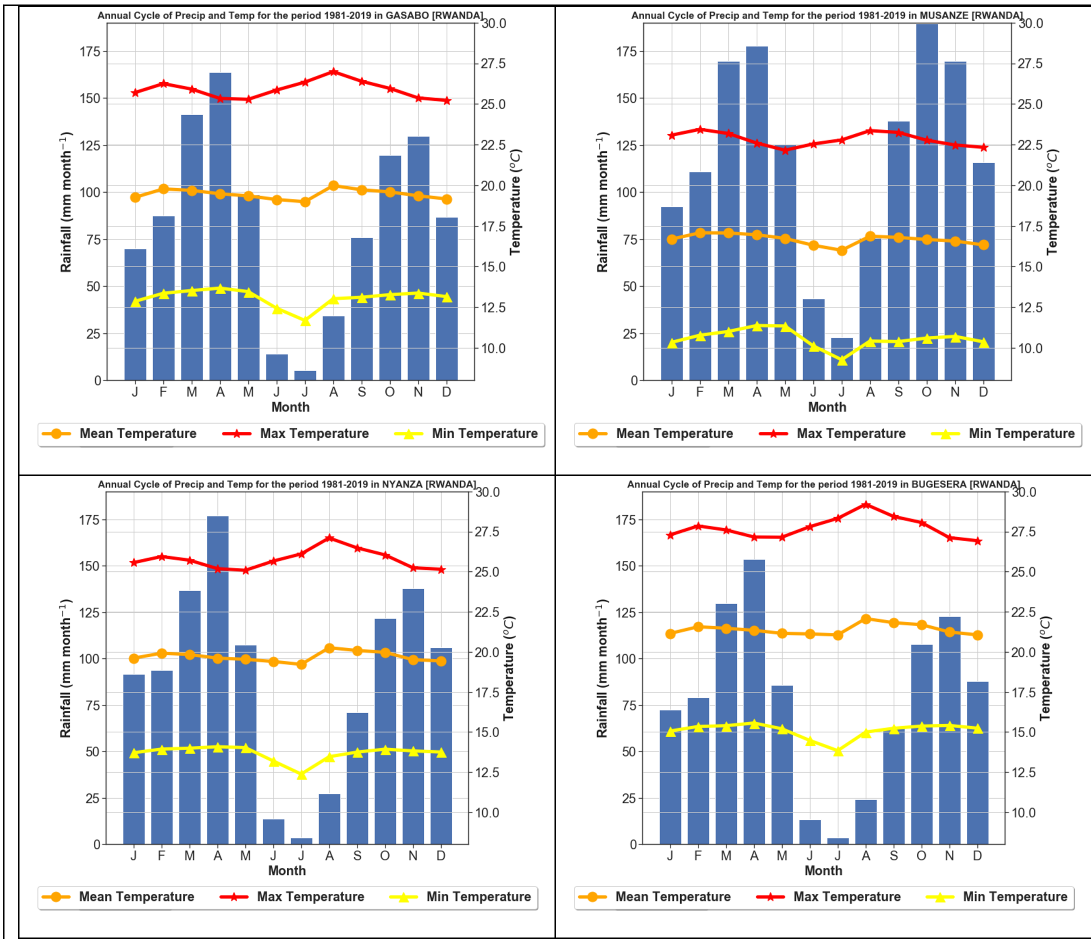


Figure B.1.2: Monthly climatology of precipitation, mean, minimum and maximum temperature for Gasabo, Musanze, Nyanza and Bugesera in Rwanda (1981 -2019)

Temporal variability of the rainfall in some occasions has resulted in extreme events such as the floods of 1997/98 El-Niño phenomena and frequent droughts that have far reaching socio-economic impacts to the country. During the historical climate, Rwanda observed decreasing trend in precipitation of about 1-7mm/month/decade (Figure B.1.4a), which explains partly the cyclical droughts experienced in the country for the last 50 years[7]. The country also experienced periodic floods due to intense rainfall events. A general increasing trend in temperature (i.e., 0.05°C/decade and 0.35°C/decade with minimum and maximum temperature, respectively as shown in Figure B.1.4b & c) is observed over the entire country. These observed variability in precipitation and temperature contributes to the country's vulnerability to climate change which result in environmental degradation as a result of soil erosion, landslides resulting in the loss of soil fertility in the North, Western, and Southern provinces, and several droughts in the Eastern Province.

As the country is heavily dependent upon its natural resources including land, water, and forests (Rwanda's economy depends primarily on a rain fed agriculture and the country is still water scarce with 670 m^3 of water per capita per year and 25% of the population are still unable to access safe drinking water[8].) The cost of climate change to Rwanda has been estimated at more than $3 billion by 2030 and the country could lose 1% of its GDP each year due to climate change effects if not addressed[9]. According

[7] https://unfccc.int/climate-action/momentum-for-change/financing-for-climate-friendly-investment/rwanda-green-fund-fonerwa
[8] Ministry of Environment 2017.
[9] Source: Rwanda Strategic Program for Climate Resilience report (2017).

to the Climate Risk country profile for Rwanda[10], natural hazards caused by droughts, floods, storms and landslides have caused hundreds of deaths during the 1900-2020 period.

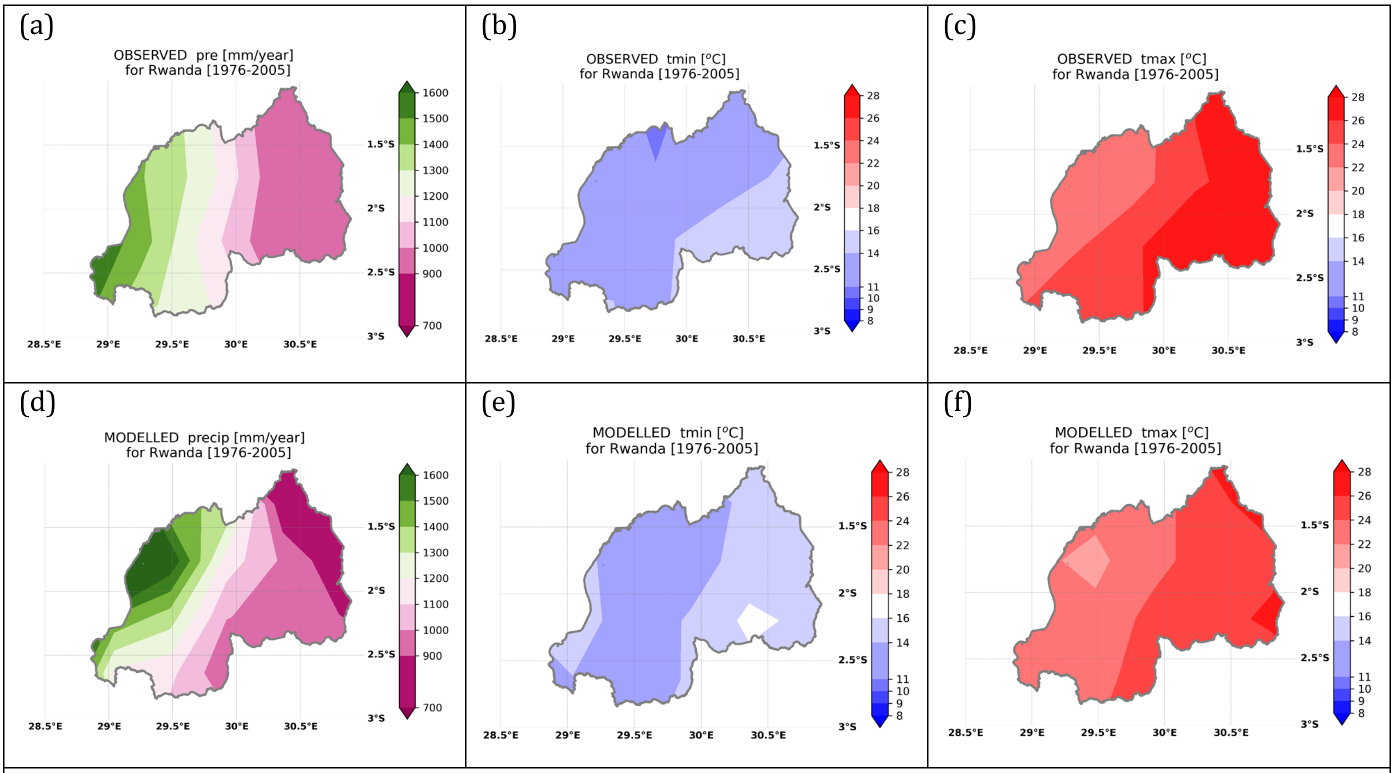


Figure B.1.3: Spatial distribution of climatological means of annual total precipitation, mean minimum and maximum temperature observed from CRU[11] (gridded observation) and modelled by three regional climate model (RCM)[12] ensemble.

[10] https://climateknowledgeportal.worldbank.org/sites/default/files/2021-09/15970-WB_Rwanda%20Country%20Profile-WEB.pdf

[11] Harris, I. et al. (2020) 'Version 4 of the CRU TS monthly high-resolution gridded multivariate climate dataset', Scientific data, 7(1), p. 109.

[12] The three regional climate models (RCMs) participate in the Coordinated Regional Climate Downscaling Experiment (CORDEX, Giorgi et al., 2009) framework and were retrieved from the ESGF portal. These RCMs consist of the Swedish Meteorological and Hydrological Institute, Rossby Centre (SMHI, Samuelsson et al., 2015), the Climate Limited-area Modelling Community (CCLM, Rockel, Will and Hense, 2008) and the Helmholtz-Zentrum Geesthacht, Climate Service Center, Max Planck Institute for Meteorology (REMO, Jacob et al., 2001). The RCMs were driven with initial and boundary conditions from the Max Planck's Earth Systems Model (Giorgetta et al., 2013) low resolution runs

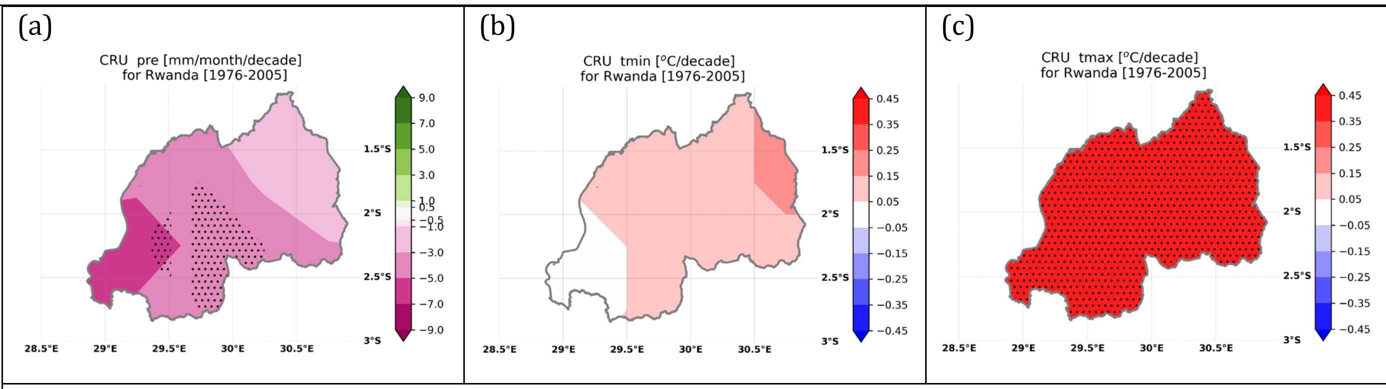


Figure B.1.4: Trends in precipitation, minimum and maximum temperature as observed in CRU for the period 1976-2005. The stipplings indicate areas where the observed trends are statistically significant at 0.05 (95%) significance level.

3. Climate projection

A decline in mean annual total rainfall is projected for the mid-century (2041-2070) under both RCP4.5 and RCP8.5, especially in the western (i.e., the Lake Kivu) region (Figure B.1.5a & c). The decrease in annual rainfall is expected to range between 5-200mm particularly in RCP8.5, although the signal show slight increase in the central and southern region in RCP4.5. Recent studies, however, are not very clear about the predicted precipitations over East Africa (EA); some suggest that local circulation effects may result in a general decrease in precipitation[13], while others predict an increase in precipitation (by 5%-20% from December to February, and 5%-10% from June to August by 2050) in relation to the projected increase in temperatures (Figure B.1.5b & d; and previous studies[14,15,16,17]). A general positive temperature change is expected to range between 1°-4°C in the future with significant change around the Lake Kivu and eastern regions of the country (Figure B.1.5b & d).

[13] Brown, M.E. and Funk C.C., (2008). Food security under climate change. Science, 319:580-581.
[14] Hulme,M., (2001). Climatic perspectives on Sahelian desiccation: 1973-1998. Global Environmental Change, 11:19–29.
[15] World Water Forum (WWF), (2006). Climate change impacts on East Africa: a review of the scientific literature. WWF International, Gland.
[16] IPCC, (2007). Climate change 2007: impacts, adaptation and vulnerability. Contribution of Working Group II, III to the Fourth Assessment Report of the Intergovernmental Panel on Climate Change. Cambridge University Press, Cambridge, UK.
[17] Eriksen, S., O'Brien, K. and Losentrater, L., (2008). Climate hange in the eastern and southern Africa: impacts, vulnerability and adaptation. Global Envirocnmental Change and Human Security, Report, 2008:2.University of Oslo. From http://www.bvsde.paho.org/bvsacd/cd68/ClimAfrica.pdf, retrieved May 29, 2014.

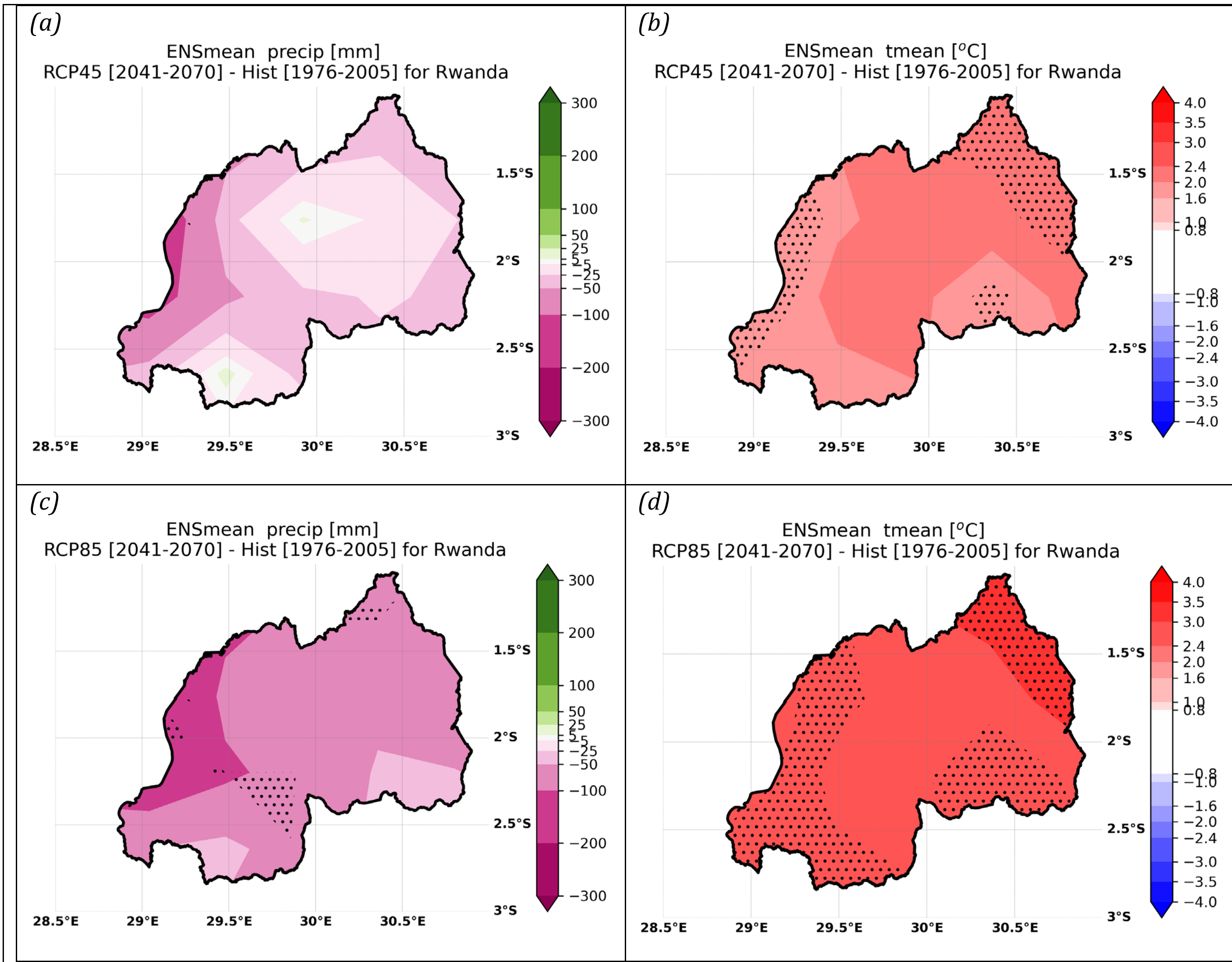


Figure B.1.5. Projected change in mean annual total precipitation and temperature for the mid-century (2041-2070) under RCP4.5 and RCP8.5 emission scenarios. The change is *relative to the baseline* (1976-2005) and stipplings indicate areas where the projected change are statistically significant at 0.05 (95%) significance level.

Further climate projection analysis shows that the number of rain days (prcptot; Figure B.1.6a & d) will likely decline but the contribution from very wet (r95ptot; Figure B.1.6b & e) and consecutive 1-day precipitation amount (rx1day; Figure B.1.6c & f) are projected to increase by 8% and 7mm, respectively, and above, especially in the eastern part of the country. This suggest the likelihood of increased flood events in flood-prone areas and regions where the change are statistically significant. Drought- and water stress- related indicators such as the consecutive dry days (cdd; Figure B.1.6g & j) and standardized precipitation index (spi; Figure B.1.6h & k) are projected to increase under the two RCPs particularly in RCP8.5. Statistically significant warm spell (wsdi; Figure B.1.6i & l) is expected in the entire country. Rwanda's priority economic sectors, like agriculture, energy, health, infrastructure, etc, are highly climate-sensitive. For instance, the country's agriculture is largely rainfed, which makes it vulnerable to changes in projected rainfall. Climate change-induced rising temperatures are making already dry areas drier. In dry regions, this means that as temperatures rise, water evaporates more quickly, increasing the risk of drought or extending drought periods over a larger extent of the country. Drought can cause serious implication on health, agriculture, economies, energy and the environment. Increased wet days and maximum one day precipitation in the future is an indication of potential increase in flood events that could result in loss of human life, property and infrastructure damage, and crop destruction and livestock loss. The already stressed energy sector could be subjected to further pressure due to increase in warm spell resulting in increase in energy demand for domestic and industrial purpose (e.g., cooling, etc). The summation of these climate change impacts will likely increase vulnerability and jeopardizing national efforts to improve well-being of exposed population and ensure food and water security in Rwanda.

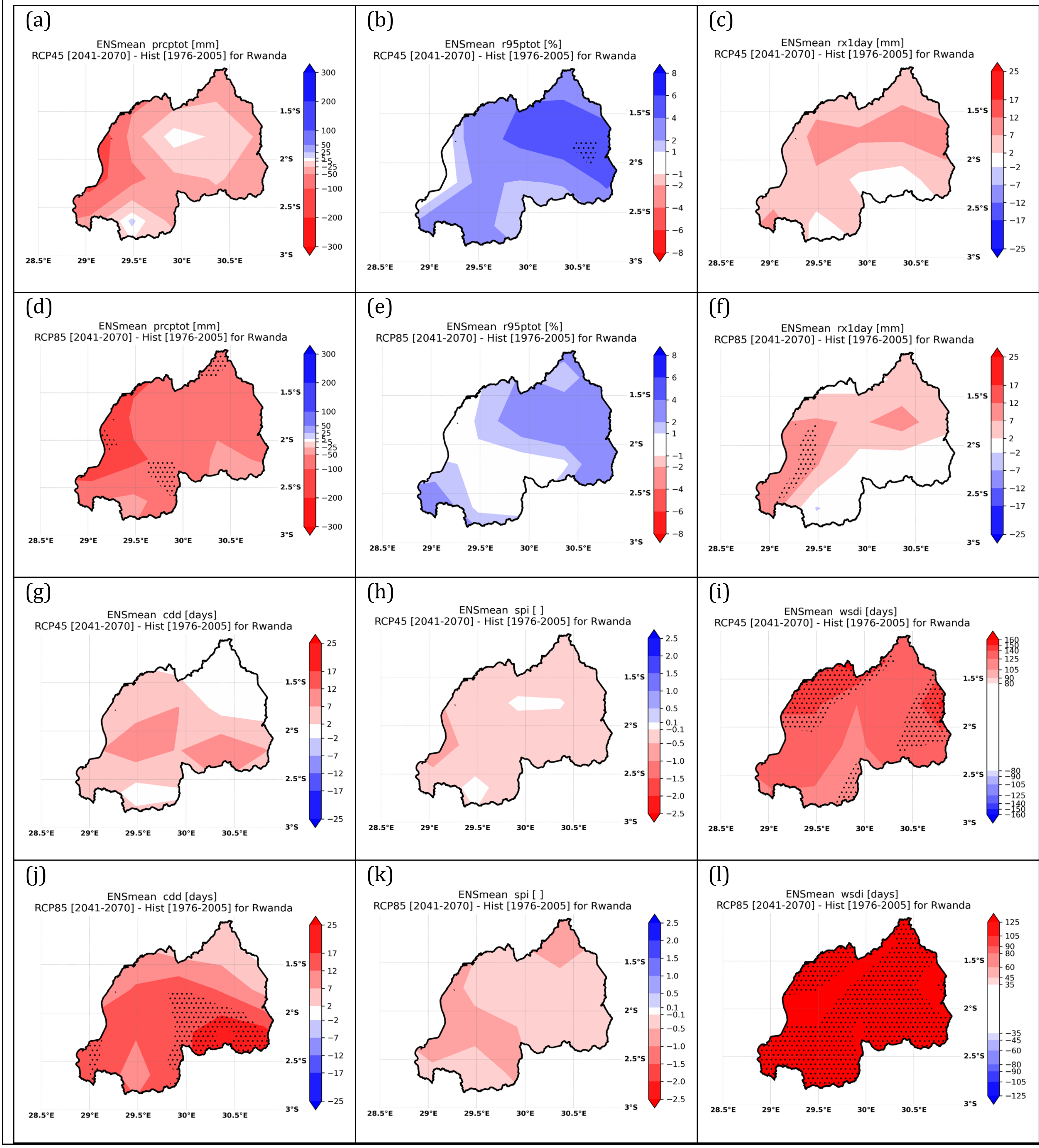


Figure B.1.6. Projected change in some selected sector-specific climate indices[18] *for the mid-century (2041-2070) under RCP4.5 and RCP8.5 emission scenarios.* The change is *relative to the baseline (1976-2005) and* stipplings indicate areas where the projected change are statistically significant at 0.05 (95%) significance level.

Although climate model used projects a potential flood and drought risk and possible health risk as a result of increasing warm spell, these risks are, however, one of several possibilities. This is because climate projections explain different uncertainties ascribed partly to natural variability within the climate system, model formulation and accuracy, and future emission trajectory. However, such information is much needed to minimize maladaptation and for robust decision-making to adapt to the potential climate risk posed by climate change. Especially, the information will be useful within the context of the proposed GCF project to decide whether and how to adapt activities, systems, and sectors including agriculture, energy, transport, at national and community scales to a changing climate.

4. Rwanda's NDCs targets and green growth objectives have identified priority investments needs for a total amount of 5.7 billion[19] USD by 2030 for mitigation actions alone in several sectors including agriculture, energy, urbanization, and clean transportation. Rwanda's NDC have also set ambitious goals for investment in adaption targeting 5.3 billion USD by 2030 focusing on activities programmes including: 1) sustainable intensification of agriculture, 2) integrated water resources management and planning, 3) integrated land use and management, 4) efficient resilient transport systems, 5) ecotourism, conservation and payment of ecosystem services, 6) sustainable forest and agroforestry, etc. However, current investment trajectories show a shortfall of investment to meet these goals, particularly from the private sector. The overall objective of the RGIF is to enhance the country's capacity to advance financial innovation to accelerate climate mitigation measures with the focus on leveraging private investments in low carbon markets.

5. The investment criteria of the RGIF are based on selecting projects that achieve mitigation or adaptation benefits in the following key sectors: energy sector, green buildings/green urbanization, clean transportation, and climate smart agriculture. Several of these sectors have overlapping benefits- for example in climate smart agriculture: efficient drip irrigation projects that use solar energy have both a mitigation (avoided diesel emissions) and adaptation (increased water efficiency and drought resilience) impacts. Similarly, green buildings/green urbanization have both a mitigation (reduced energy consumption) and adaptation (improved resilience to storms) impacts. The sectors are described in more detail in the bullets below:

6. Energy sector

   The Government of Rwanda's plan to mitigate GHG emissions in the energy sector focuses on a significant increase in renewable power generation, a sharp decrease in the use of biomass as a primary energy source, and a reduction of fossil fuel consumption in the transport sector (transport emissions are one of the primary sources of air pollution in Rwanda). Additionally, Rwanda plans to invest in energy efficiency and renewable energy in industries as well as in commercial and residential buildings.

[18] The selected climate indices are defined by the World Meteorological Organization (WMO) Expert Team on Sector-Specific Climate Indices (ET-SCI) and generated from daily precipitation and minimum and maximum surface temperature using the climpact tool (https://climpact-sci.org/indices/). These climate indices include annual rain days (prcptot), contributions from very wet days (r95ptot), consecutive 1-day precipitation amount (rx1day), consecutive dry days (cdd), standardized precipitation index (spi), and warm spell duration index (wsdi)

[19] Rwanda_Updated_NDC_May_2020

Rwanda has been growing with an average 8% GDP growth rate for the last 10 years, which has resulted in higher demands for energy services. Energy and waste sectors are the major contributors to total GHG emissions in Rwanda. From 2006 to 2015, the sector has seen an annual increase of 4.2%[20] estimated GHG emissions following the trend of both fuel consumption and GDP growth. Energy sub-sectors that contributed the most to GHG emissions include biomass[21] (fuel wood and charcoal), and fossil fuel for road transportation and industries. This trend is projected to continue as the Rwanda population in urban areas is also increasing with 3.2% urban population growth in 2019[22] from a low baseline. Under a business-as-usual scenario, Rwanda's emissions are forecast to more than double between 2015 and 2030, rising from 5.3 million tonnes of CO2eq to 12.1 million tonnes, driven by a rise in fossil fuel use, increasing energy demand and road transport.[23] The Rwanda's transport sector for example, driven by increasing urbanization and population growth is expected to increase its emissions from 0.53 million tCO2eq in 2012 to 3.1 million tCO2eq in 2030[24].

Additionally, regarding Energy Efficiency in buildings (heating, cooling, lighting, cooking, etc.), the Rwanda Environment Management Authority (REMA) projects an increase of almost six times from 2012 CO2 emission of 2,183.00 GgCO2-eq.[25] to 6,145.40[26] GgCO2-eq. by 2050.

7. Electricity access

Under the electricity mitigation scenario, renewable power generation sources will largely come from hydro and solar PV plants. Based on current mitigation plans, it is expected that hydropower will provide 42.01%[27] of the total energy mix in 2050. This will need significant investments in renewable energy infrastructures in both near and medium terms especially in the off-grid subsector. As a result of the target mitigation measures, the country expects a cumulative emission reduction of 20,377.80 Gg CO2-eq.[28] by 2050 compared to business as usual.

8. Energy Efficiency and Green Cities

Energy efficiency measures in buildings such as efficient lighting, efficient (solar) heating systems, and energy efficient cooling are expected to result to a cumulative GHG emissions reduction of 38,993.79 Gg CO2-eq29 from 2012 to 2050. The new law[30] setting up a minimum green compliance for new public and commercial buildings in 2019 is an example of Rwanda's emerging mitigation policy regarding energy efficiency. Rwanda's Green City project also focuses on energy efficiency with resiliency components such as water autonomy, sustainable mobility, ecosystem services and zero-carbon buildings. Industrial sector mitigation measures are projected to have a cumulative GHG reduction impact of approximately 884.75 Gg CO2-eq.31 by 2050 (compared to 2012 emissions for the sector estimated at 1,170.82 GgCO2-eq.32).

Rwanda's extremely hilly topography has been a challenge with heavy floods affecting vulnerable populations in major cities like Kigali. RGIF plans to offer co-financing of selected projects, with clear investment criteria and environmental social risk policies to ensure that projects are adhering to best

[20] Third National Communication under the U.N.F.C.C.C Report, 2020
[21] Third National Communication under the U.N.F.C.C.C Report, 2020
[22] https://tradingeconomics.com/rwanda/urban-population-growth-annual-percent-wb-data.html
[23] https://www.climatechangenews.com/2020/05/21/rwanda-submits-tougher-emission-cutting-plan-un/
[24] REMA 2015
[25] Third National Communication under the U.N.F.C.C.C Report, 2020
[26] Third National Communication under the U.N.F.C.C.C Report, 2020
[27] Third National Communication under the U.N.F.C.C.C Report, 2020
[28] Third National Communication under the U.N.F.C.C.C Report, 2020
[29] Third National Communication under the U.N.F.C.C.C Report, 2020
[30] Rwanda Green Building Minimum Compliance System, 16/04/2019
[31] Third National Communication under the U.N.F.C.C.C Report, 2020
[32] Third National Communication under the U.N.F.C.C.C Report, 2020

practices related to safety and resiliency. This would complement the existing resiliency guidelines that stakeholders like MOE, REMA and the Rwanda Housing Authority (RHA) are issuing for these new (yet to be developed) green city developments. Additionally, recent law requires new commercial buildings in Kigali to be built to efficient standards. The climate resiliency components of the green city are derived from the Rwandan Green Growth and Climate Resilience Strategy in "Program: Low Carbon Urban Systems" including designing high density cities with corridors for pedestrians and cyclists and green public spaces, which reduces the need for energy intensive transport, improves quality of life and reduces the risk of flooding. Not only will this reduce GHG emissions and oil dependency, but it will also reduce the burden of transport costs to citizens. It also has co- benefits, such as reduced urban sprawl.

REMA and RHA are relying on utilizing resiliency criteria developed and published in Rwanda Green Building Compliance System (Government of Rwanda 2019) and in Rwanda Building Control Regulations (Rwanda Housing Authority 2012). Both documents describe the resiliency criteria regarding energy efficiency, water efficiency, environmental protection etc. The resiliency criteria developed as part of the Rwanda Green Building Minimum Compliance systems [33] and was conceived as simple, effective and environmental performance-oriented indicators designed to promote energy & water efficiency, environmental protection, better Indoor Environmental Quality to building occupants and green innovation. These indicators are mandatory in nature and would be applicable for new Category 4 & 5 buildings as per Ministerial Order Determining Urban Planning and Building Regulations.

Although the green building minimum compliance system is not mandatory for residential developments, willing building owners and real estate developers are encouraged to adopt as applicable on a voluntary basis the green building minimum compliance system to meet sustainable development targets.

9. Clean Transportation

Measures focused on promoting GHG mitigation in the transport sector include promotion of fuel efficiency, construction of electric rail infrastructure, and adoption of electric vehicles - especially motorcycles - which are expected to be the main sources of GHG emissions in Rwanda's transport sector by 2050. Investments in climate resilient transport infrastructure and the promotion of clean transportation solutions are the current focus of Rwanda's infrastructure strategy. In 2016, a law governing the preservation of air quality and prevention of air pollution was adopted which mandates emission testing for all vehicles and imposes a tax on petrol burning vehicles. In 2015, the total GHG emission from the transport sector was estimated at 547.35[34] Gg CO_2-eq. Rwanda estimates that GHG emissions from transport will continue increasing to 1,678.25[35] Gg CO_2-eq. by 2050 (from 2012 baseline).

Additionally, energy from transport has been identified as one of the main sources of GHG emission from the overall energy sector and mitigation efforts are part of the country's overall energy mitigation activities. The national energy transport mitigation scenario forecasts expected CO_2 emissions to increase from 447.60 GgCO_2-eq in 2012 to 1,169.40 Gg CO_2-eq in 2050[36]. This indicates a cumulative GHG emission reduction target of 8,690.40 Gg CO_2-eq between 2012 and 2050[37] regarding transport sector specific mitigation measures.

Implementing this suite of mitigation activities in the energy sector will require addressing structural barriers to private investment. These barriers include high upfront capital costs, high financing costs, and limited technical capacity and expertise. The RGIF will directly support energy mitigation measures by providing financing solutions to projects that can achieve scale and impact and also attract co-investment

[33] https://gggi.org/wp-content/uploads/2019/07/Annex-3-Rwanda-Green-Building-Minimum-Compliance-System-REVISED.pdf

[34] Third National Communication under the U.N.F.C.C.C Report, 2020

[35] Third National Communication under the U.N.F.C.C.C Report, 2020

[36] Third National Communication under the U.N.F.C.C.C Report, 2020

[37] Third National Communication under the U.N.F.C.C.C Report, 2020

from the local financial market. The RGIF will utilize this approach to advancing Rwanda's capacity to achieve its NDC energy mitigation targets.

10. Agriculture

Agriculture provides about 33% of Rwanda's GDP, 80% of its employment, and 45% of its export revenues (mostly tea and coffee)38. However, steep terrain, limited land, and a lack of modern technology pose serious constraints for agricultural development. Overexploitation of land, high dependence on biomass for household energy needs (used by 80% of the population), and increasing urbanization create significant pressure on natural resources, notably land, water, and forests. Over 60% of households cultivate less than 0.7 ha, and 30% cultivate less than 0.2 ha. Over 70% of cultivated land has slopes greater than 10%39 which results in high levels of erosion and surface runoff into waterways. Erosion causes loss of soil, nutrients, and organic matter that translates into annual economic losses of US$34 million40, or almost 2 % of GDP equivalent.

Rwanda's dependence on traditional rain-fed agriculture makes it vulnerable to changes in rainfall and climate factors are exacerbated by a loss of forest and vegetative cover and steep slopes. Increased intensity of rainfall can cause flash floods and landslides which are exacerbated by erosion (caused by agricultural practices on steep slopes and deforestation for fuel wood). A lack of adequate drainage also has a significant impact on agricultural production (hence food security), infrastructure, and electricity generation.

Rwanda is expecting a climate-related decrease in mean rainfall amounts and the number of rainy days in regions like the south-eastern lowlands and central plateau, which already have a limited water supply (as shown in Figures B.1.5a&c and B.1.6a&d). A decline of 25mm and above rainfall amount from rainy days is projected by mid-century (2041-2070) in most parts of the country with the western region experiencing greater decline of more than 100mm . This scenario may result in a decline in water storage and a shorter crop growing period. Additionally, the expected increase in the number of very wet days and maximum consecutive 1-day rainfall (Figure B.1.6b, c, e & f) in the north-west highlands and south-western regions might result in an increased number of flooding episodes, soil erosion and landslides which might in turn lead to the destruction of existing infrastructure and impact other human activities. Hence, there is a clear need to implement climate adaptation and mitigation measures in the agriculture sector.

11. Agriculture mitigation and adaptation needs (cross cutting)

Climate mitigation and adaptation measures in Rwanda's agriculture sector involve mineral fertilizers replacement activities (currently the major source of GHG emissions is the use of fertilizers through urea application), the development of agroforestry for sustainable agriculture and the promotion of climate smart irrigation systems including solar irrigation in lands that are currently under some form of informal or peasant agriculture but that are significantly impacted by droughts such as the Eastern region of the country. Specific adaptation measures include investments to promote IFSM, water-efficient irrigation, rainwater harvesting, and crop-tree-livestock integration, etc.

Due to climate change impacts, such as droughts, floods, landslides, and windstorms41 will likely result in significant consequences for livelihoods including food insecurity, loss of crops and loss of livestock. Rwanda has committed itself to promote climate resilient agriculture to ensure sustainable production and food security. Additionally, the country is facing a clear investment gap in terms of water storage development ranging from small to large scale, technology which will make the country resilient to floods

[38] Rwanda National Institute of Statistics (NISR) 2015.

[39] Rwanda Environment Management Authority (REMA), 2020

[40] Rwanda Environment Management Authority (REMA), 2009.

[41] MIDIMAR 2015; REMA 2015.

and drought. Over the last decade, Rwanda has experienced flooding events affecting mostly the Northern, Western, Southern and Central parts of the country. The Eastern part of the country is susceptible to droughts. Given climate change projections showing increased number consecutive dry days and intensity of drought (Figures B.1.6g, j, h & k), this situation is projected to get worse.[42] Rwanda has been classified as a water scarce country with declining renewable water available per capita (from 3,228 m3/c/a in 1962 to 670 m3/c/a in 2015)[43]. This is mainly due to limited water infrastructure to conserve and efficiently use rainwater while the water demand is rapidly increasing due to population and economic growth. Projected increase in temperature and changes in rainfall patterns will result in floods and droughts, which will significantly reduce crop yields, negatively impact livelihoods, food security and export earnings44.

To increase agriculture productivity, significant investment is needed in irrigation given Rwanda's plans to increase irrigated areas from 48,508 ha to 102,284 ha by 2024. Rwanda is promoting investments in drip irrigation technologies, water efficient systems and closed greenhouse systems to achieve this goal and ensure national food security.

Additionally, Rwanda plans to invest in measures to reduce soil erosion via a sharp increase in radical terracing and an increase in progressive terraces, as well as biological soil control measures to protect 150,000 ha by 2024, catchments, flood controls and wetlands rehabilitation activities.

12. In Rwanda, the crop sub-sector accounted for more than 67%45 of GHG emissions from the agriculture sector in 2015. With a growth projection of 5% in a business-as-usual scenario, this sub-sector will see its GHG emissions increase from 2,066.00 Gg CO2-eq.46 in 2012 to 8,354.00 Gg CO2-eq.47 in 2050. Rwanda is targeting a reduction of GHG emissions from the crop sub-sector to at least 7,194.0 Gg CO2-eq.48 in 2050 under one of its medium mitigation options plans49.

    RGIF interventions in this sector will support specific climate smart agriculture activities that will ensure that national agriculture goals are achieved in a resilient way, and that sufficient financing is available to fund the ambitious projects laid out in the country NDC targets. These RGIF interventions include investment in solar irrigation development, water efficiency systems for irrigation, the promotion of solar energy systems as an alternative to biomass or diesel in the agribusiness sector in Rwanda, etc.

13. The RGIF will support activities contributing to result areas on 'Energy access and power generation', 'Low-emission transport', 'Buildings, cities, industries and appliances', and Health and wellbeing, food and water security'.

    In terms of the technologies supported under RGIF, the solar technologies besides providing mitigation benefits, do also provide adaptation co-benefits notably allowing communities to better resist global shocks by helping to relieve energy burdens and provide clean, reliable, local energy.

    Technologies like solar photovoltaics (gird tied and off grid) and solar water heaters can play a crucial role in enhancing adaptive capacity, strengthening resilience, and reducing exposure or vulnerability to climate change in several ways[50]:

[42] https://cdkn.org/wp-content/uploads/2010/12/Rwanda-Green-Growth-Strategy-FINAL1.pdf
[43] Rwanda Environment Management Authority (REMA), 2020
[44] https://cdkn.org/wp-content/uploads/2010/12/Rwanda-Green-Growth-Strategy-FINAL1.pdf
[45] Third National Communication under the U.N.F.C.C.C Report, 2020
[46] Third National Communication under the U.N.F.C.C.C Report, 2020
[47] Third National Communication under the U.N.F.C.C.C Report, 2020
[48] Third National Communication under the U.N.F.C.C.C Report, 2020
[49] See feasibility report in the annex.
[50] https://repository.lboro.ac.uk/articles/report/How_solar_household_systems_contribute_to_resilience/9484844/1/files/17110064.pdf

- Supporting disaster risk awareness and management: Solar PV allows communities which are not connected to power grids to have access to power for telecommunications and small health infrastructure. In the advent of a climate hazard, solar power enables communities to have access to early warning systems and take steps to minimize impact of the climate hazard[51]
- Reduced Energy Costs: Solar PV and solar water heaters can also reduce energy costs for households and businesses, providing financial savings that can be used to build adaptive capacity and resilience to climate change impacts.
- Improved Access to Energy: Solar PV and solar water heaters can provide energy access to people living in remote or underserved areas, enabling them to build resilience and adapt to the effects of climate change.
- Increased Water Availability: Solar water heaters can increase water availability by reducing the need for traditional water heating methods that consume large amounts of energy and water.

Small hydro power (less than 15MW) also contribute to enhancing adaptive capacity, strengthening resilience, and reducing exposure to vulnerability in several ways:

- Energy Security: Hydroelectric power provides a reliable and consistent energy source. Unlike solar or wind power, which are intermittent, hydropower can generate electricity consistently, allowing for stable energy supply even during periods of high demand or when other sources of energy are unavailable. This energy security enhances adaptive capacity and resilience by ensuring a continuous power supply for critical services and infrastructure, such as hospitals, water treatment plants, and communication networks.
- Water Management: Hydroelectric power plants require the management of water resources, including damming and reservoirs. This water management can contribute to enhancing adaptive capacity and reducing vulnerability to water-related challenges, such as droughts and floods. By regulating water flow, hydropower plants can help store water during periods of excess and release it during dry spells, providing a more stable water supply for agriculture, drinking water, and industrial use.
- Flood Control: Hydropower plants with reservoirs can regulate water flow downstream, which helps control and manage floods. By adjusting the release of water from the reservoirs, the impact of flooding can be reduced, protecting communities and infrastructure located downstream. This flood control mechanism enhances resilience by mitigating the negative effects of extreme weather events, reducing vulnerability to flood-related disasters.
- Revenue Generation: Hydropower plants often generate revenue through electricity sales. This revenue can be used for social and environmental projects, such as investing in education, healthcare, and environmental conservation. These investments can enhance adaptive capacity by improving social welfare and supporting initiatives that build resilience, such as climate change adaptation programs and ecosystem restoration.

Both technologies also create jobs and promote local economic development, helping to build adaptive capacity and resilience in communities.

14. The potential role of reliable, affordable, and sustainable modern energy services in strengthening societies' capacities to better adapt to climate change impacts has not been widely acknowledged in either policy or practice[52]. Table below provides some examples of energy-related adaptation interventions[53].

[51] https://repositorio.cepal.org/bitstream/handle/11362/45098/1/S1901175_en.pdf
[52] https://www.sciencedirect.com/science/article/abs/pii/S2214629618308521
[53] https://www.irena.org/-/media/Files/IRENA/Agency/Publication/2021/Aug/IRENA_Bracing_for_climate_impact_2021.pdf

Example of climate impacts	Key risks	Services provided through renewable energy	Adaptation benefits
Drought	Water service disruption	Water distribution, pumping, transport, supply and distribution efficiencies	Increased reliability for human and industrial use
	Degraded water quality	Wastewater treatment, water purification	Reduction of waterborne disease, water recycling
	Water shortage for agricultural use	Irrigation and pumping	Maintenance or increase of crop yield
Temperature variation	Reduction in food production	Access to water through irrigation	Crop yield increase
	Increased food loss	Food storage and refrigeration	Reduction in food loss
	Degraded air quality	Air filtration system, ventilators in hospitals	Reduction in respiratory diseases
	Increased vector-borne diseases	Operation of health care facilities, refrigeration	Reduction in disease rate
	Heat or cold waves	Space cooling or heating, fans, heaters	Heat or cold fatality reduction in vulnerable population
	Increase in heat related disease	Water chillers, freezers, ice-making plants	Alleviation of heat stress
Natural disasters, Tropical storms, and floods	Mass casualty caused by disaster	Energy supply for medical services	Continued operation of medical service
	Communication service disruption	Television, radio, Internet, telephone	Dissemination of information, communication
	Energy supply disruption	Emergency energy service for residential, commercial and industrial buildings	Energy recovery for disconnected facilities

Based on the climatology and historical climate of Rwanda (refer to para.2) and the climate projections (refer to para 3), the targeted investment will contribute to the enhancing the adaptive capacity as follows:

Result area	Climate risks (Refer to para 3)	Proposed intervention	Adaptation benefit
	A decline in annual rainfall is projected with the western region more affected.	Solar PV and hydro	Access to energy for pumping facilities to alleviate water needs for agricultural and domestic needs.

Energy access and power generation	A decline in the number of rainy days Increased number of dry days		Access to energy for water treatment kit to reduce water borne diseases. Water management facilities through dams linked to hydro plants
	Increased number of very wet and consecutive days especially in the eastern part of the country	hydro	Flood management facilities through dams linked to hydro plants
	Increased mean temperature in the eastern and western parts of the country	Solar PV and hydro	Access to energy for pumping for irrigation to increase crop yield. Access to energy for food storage through refrigeration Support to power ventilation systems and cooling devices resulting to increased wellbeing.
Health and wellbeing, food and water security	A decline in annual rainfall is projected with the western region more affected. A decline in the number of rainy days Increased number of dry days Increased mean temperature in the eastern and western parts of the country	Improved irrigation	Access to energy for pumping facilities to alleviate water needs for agricultural. Increase food security. Increase economic resiliency of local population.

B.2 (a). Theory of change narrative and diagram (max. 1500 words, approximately 3 pages plus diagram)

Present the theory of change (ToC) that contains a goal statement and describes how the proposed project/programme will contribute towards the goal statement by using results chain links from activities, outputs, to outcomes. By referring to the sample ToC diagram template available in the guidance note, present a ToC diagram (approximately 1 page) which visually represents the same logic in the narrative description. The ToC diagram and narrative may include a wide range of co-benefits[54] as applicable in the context of the project/programme.

Note all co-benefits will need to be further elaborated in section D.3 (sustainable development potential) and correspondent co-benefit indicators should be provided under section E.5 (project/programme specific indicators).

The theory of change should also include any relevant barriers (social, gender, fiscal, regulatory, technological, financial, ecological, institutional, etc.) that need to be addressed as well as risks and assumptions. Note that the assumptions can be elaborated further in sections E.3 (GCF outcome level: reduced reduced emissions and increased resilience) and E.5 (project/programme specific indicators) for each relevant indicator, as appropriate.

15. Rwanda has set ambitious goals for economic development and green growth (see section B.1). However, Rwanda faces many local challenges that hold back investment in green sectors and hold back growth of Rwanda's green and resilient economic sectors. A tailored solution is therefore needed to address specific market barriers, and support Rwanda's green transition. The RGIF program has been designed to meet the needs of the local market, and is based on feasibility analyses, market studies and stakeholders input that have informed the ultimate RGIF program design.

16. Within the full set of cross cutting RGIF Investment criteria (as defined in section B.4 of this Funding Proposal and in Annex 21, RGIF Operations Manual), a distinction is provided to differentiate between projects that have demonstrated "climate" benefits vs projects that are "green" but not specifically focused on climate benefits. The specific Investment Criteria that are designed to ensure climate-specific benefits include the following:
    - The project matches with at least one of the eligible priority sectors or key interventions defined for the RGIF, and which are aligned with Rwanda's updated NDCs (where NDC's are climate specific goals).
    - The project must contribute to at least one of the climate change related outputs (mitigation or adaptation) listed in the RGIF Log Frame.

    Green-specific criteria for RGIF investment are highlighted in the following complimentary but distinct criteria:

    - The project is not a "Category A" project, defined under the environmental and social risk categories section of this document. Category A projects include activities with potential significant adverse environmental and/or social risks and impacts that, individually or cumulatively, are diverse, irreversible, or unprecedented. Category A projects are not eligible to receive RGIF funding, either from the PPF or Credit Facility.
    -

17. **Assumptions:** Rwanda's future economic growth and the prosperity of its people are intimately linked to a successful transition to a green and resilient economy. For example, two major contributors to Rwanda's current GDP growth —agriculture and construction – are both areas that face increasing climate vulnerabilities (see section B.1) and are also major opportunities for climate change mitigation, through practices such as green urbanization/green buildings, and climate smart agriculture, including increased use of water-efficient, solar-powered irrigation systems to improve agriculture yields. (More info in section B.1). In order to recognize these climate and economic benefits, a large increase in investment is needed in Rwanda. This investment need is estimated at USD10 billion of new investment needed over a 10-year period. In the near-term sectors identified as part of the RGIF design process, over $420million in investment opportunities/project pipeline have been identified.

[54] GCF categorizes co-benefits into six areas which are: environmental, social, economic, gender, adaptation (relevant for pure mitigation projects) and mitigation (relevant for pure adaptation projects). Further guidance is available in the funding proposal (FP) guidance note.

18. **Barriers and Risks**: To achieve these increased levels of investment, new interventions are needed to address the specific barriers and risks that hold back the local Rwandan market. Rwanda is a small country, with a small banking system and a limited group of local project developers. Many local developers in the green economy do not have long track records, which can limit the ability to raise equity or debt. While some international project developers can raise money internationally (in foreign currency), local Rwanda players struggle to raise financing, including in Rwandan francs, which further stymies the expansion of the local market. On the financing side, local banks often struggle to provide long-term finance (which is critical for certain green sectors). Lack of experience in green sectors at local commercial banks can lead to general risk aversion, high perception of risk and high collateral requirements. Furthermore, local banks often do not have deep expertise in project finance, and instead focus on short-term working capital or corporate finance. This, further limits access to finance for local green projects, which need affordable tailored financing solutions (including long-term debt) to make the economics work for end-customers.

19. **Project Activities**: Based on the RGIF feasibility study and design work, the RGIF has been developed as a tailored solution to address the specific barriers of the Rwandan market. The RGIF takes an integrated program approach, offering both grants and financing support to eligible projects, across the typical project development timeline. Refer to section B.4 for the full integrated implementation framework.

20. **Grants** (under the PPF managed by FONERWA) are used to address the following local market issues:

a) Lack of perceived "bankability" of projects, and lack equity capital for nascent developers looking to scale up: the PPF will offer grants and reimbursable grants to cover early-stage project activities to move projects from feasibility to bankability, including paying for project-level technical studies, securing permits and lease agreements, financial modeling, and contract development, etc.

High collateral requirements of local banks: the PPF will offer reimbursable grants to serve as partial collateral support. High collateral requirements (sometimes up to 150% of a project's value) can significantly constrain the finances of developer companies and can limit their ability to grow their business and serve more customers. Partial collateral support from the PPF will allow developers to raise financing for more projects, and further grow their customer (beneficiary) base, while also further proving the viability of green projects in the local market. PPF will provide only partial collateral support (capped at 50% of the project needs) and will be in a "second position" to ensure that local developers have sufficient skin in the game. The AE had discussions with the EE on credit enhancement options. It appeared from these discussions that the use of a guarantee will not be appropriate because the focus is not risk sharing concerns but comfort for investors with the collateral.

In addition, a guarantee instrument would mean the Government of Rwanda pays a guarantee fee from the onset, which would result in charging a higher fee to the sub-projects to cover the entire instrument 's lifetime. Using a guarantee instrument would reduce the potential impacts, and make the project less viable, more prohibitive, and therefore not yield the intended results. As indicated above, the reimbursable grant will serve as a partial collateral support to select projects seeking loans from BRD or other financiers without sufficient collateral requirements. The need for these collateral arises due to the fact that debt is taken at development stage when the project have viability uncertainties. Developers will have skin the game by covering 50% of the development cost from their own resources. In case projects are deemed financially viable, they are eligible to debt for CAPEX and the collateral returned. At the end of the RGIF project lifespan of 7 years, whatever amount has not been recovered will be considered as written off. Whatever amount will be in the FONERWA account for the reimbursable grant account at the end of the project (7 years) will be returned to AfDB. Since the funds would be issued and reimbursed in local currency (RWF), the prevailing market rates would be used in converting the funds from RWF into USD. In case the project are deemed not financially viable at development stage, the collateral is called and 50% of development risk is covered.The grants proceeds used as reimbursable grants will be recycled within the RGIF for the duration of the project. At the end of the project implementation period (7 years) the collateral not call will be refunded to GCF in the USD equivalent of the local currency at that point in time to avoid any FX variations. The conversion into reimbursable grant at facility level is to ensure sustainability of the project and maximize the impacts (by reusing the proceeds not called).

b) Limited ability to pay from certain population segments, and challenging project economics, especially for “first of kind” projects: In select cases, the PPF will offer grant financing to bring down the upfront costs of projects, including project equipment, to enable projects economics to be affordable for vulnerable and low-income populations, such as rural solar home systems, and to help demonstrate the technical viability for priority “first of kind” projects.

21. **Debt financing** (under the Credit Facility managed by BRD) are used the address the following local market issues:

a) High risk perception/limited experience at commercial banks: Rwanda suffers from lack of project finance expertise at commercial banks, and unwillingness to be “first mover” or perform technical due diligence on green projects that are perceived as new or risky. The Credit Facility at BRD will provide direct financing to projects, including co-financing with commercial banks, to help be a first mover” and allow commercial banks to gain more first-hand exposure and experience with green sector projects. This can include the credit facility organizing debt syndicates with other commercial co-financiers, as well as financing upfront projects as a bridge toward a debt refinance, either from a private debt placement or securitization. The solar securitization initiative under CPI’s Climate Finance lab is an example of how this can work in Rwanda, using BRD’s Credit Facility capital to bridge toward private sector securitization.[55]

b) Lack of liquidity and lack of long-dated capital available from local commercial banks: Commercial banks in Rwanda often lack access to long-dated capital, and face liquidity constraints in general. This makes banks reluctant to provide long-tenor lending capital to projects, even when green projects are in need of long-dated capital to make project economics work. Additionally, RGIF Credit Facility as well the PPF will offer technical assistance on green project finance to project developers including women led projects to ensure projects bankability and successful implementation of the RGIF program. It will be delivered by both BRD and FONERWA regarding the Credit Facility and the PPF respectively:

BRD and FONERWA will supervise the capacity building of the market regarding the PPF products:

- Training of commercial banks relevant staff on the PPF products with the focus on the reimbursable grants provided as collateral to commercial banks financing of green projects in the priority sectors.
- Training of SACCOs and Microfinances relevant staff on the PPF products with the focus on the reimbursable grants
- Training of project developers in RGIF priority sectors including women developers on how to access RGIF PPF program.

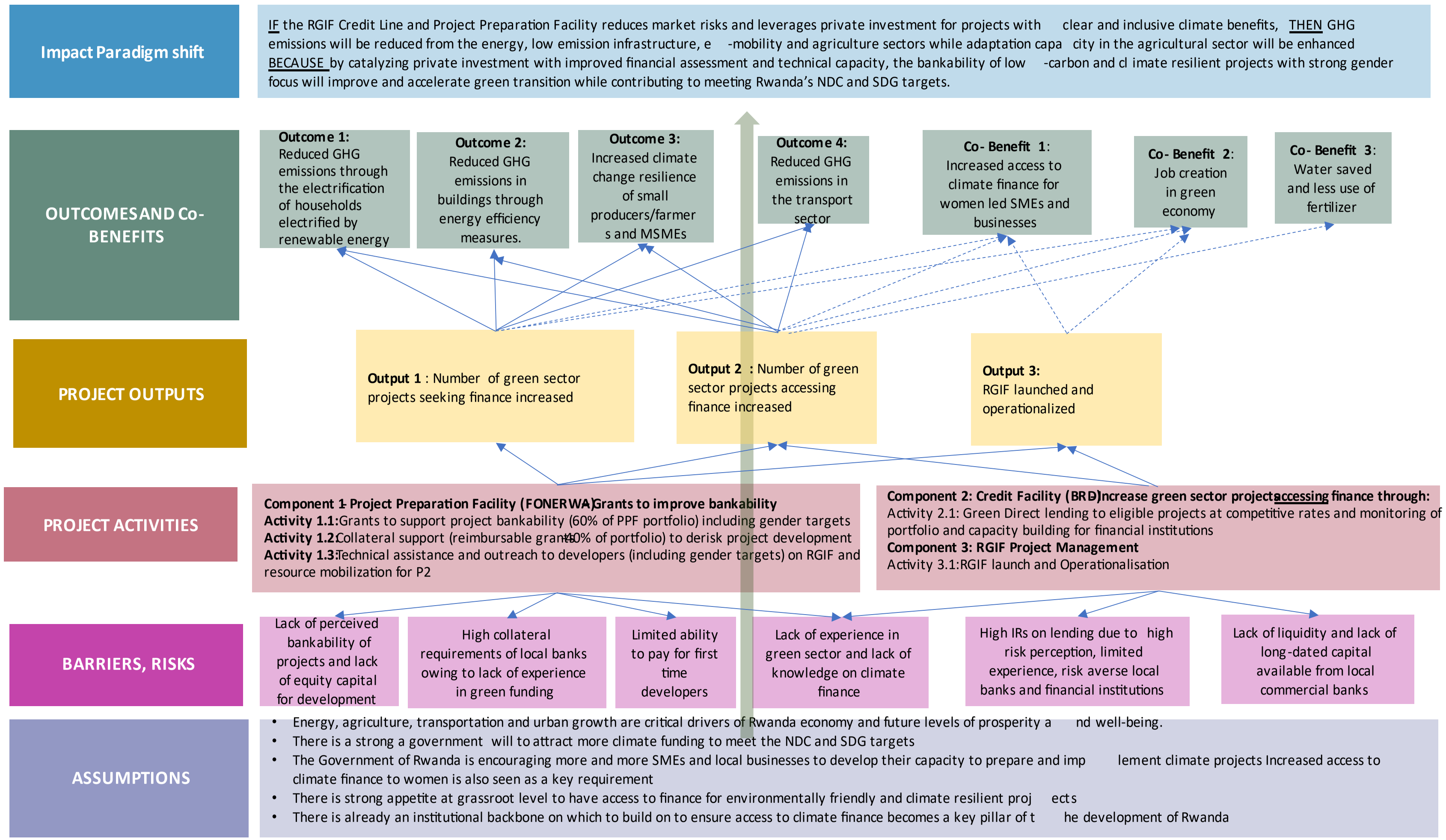
22. **Theory of Change:** In order to achieve its sustainable development targets, the Rwandan government needs to create the appropriate conducive environment to leverage financing for climate projects. Achieving reduced GHG emissions in the electrification of households, energy efficiency in buildings and transport sector while also increasing the climate resilience of small farmers, requires derisking of the private investment through the creation of a bankable pipeline of projects eligible for

[55] https://www.climatepolicyinitiative.org/wp-content/uploads/2020/07/Solar-Securitization-for-Rwanda_Instrument-overview.pdf

financing. Strengthening local institutions to better support green investment while also providing concessional financing for green projects, increasing awareness on availability of climate finance together with an inclusive approach encouraging more women to access same will help align the socio economic development of Rwanda with the sustainable development goals through specific activities undertaken by BRD and FONERWA. These activities will help remove or minimize existing market risks such as high collateral requirements, lack of liquidity, perceived lack of bankability of projects, lack of experience in the green sector. The Program is designed in such a way that entrepreneurs wishing to engage in climate focused project are provided with a systemic pathway for project preparation and access to climate finance within a conducive and inclusive ecosystem. Besides the climate benefits, the program will also promote increased access to climate finance for women, will create jobs in the green economy and will result in other environmental benefits such as water savings and reduced use of fertilizers. The proposed approach- detailed in the ToC- is aligned with the GCF objectibes of mainstreaming climate risks and promote investment opportunities for sustainable development.

Despite the strong demand for climate financing including from MSMEs and the establishment of FONERWA and BRD to support investment in climate projects, factors including lack of experience of the banking sector in climate finance, lack of capacity to demonstrate bankability of projects and high collateral requirements has not been conducive to the development of this market
The RGIF program's integrated approach, and dedicated financial tools will result in increased availability of local currency financing and affordable debt for local developers and . While the GCF Funding will be in USD, the Executing Entities, the Government of Rwanda as represented by MINECOFIN, will make the funds available to BRD in local currency via the Central Bank of Rwanda at an affordable cost. BRD will then lend the funds to local developers in Rwandan francs. The Central Bank of Rwanda implements a hedging mechanism called the "Monetary Policy Rate (MPR) Corridor." The MPR Corridor is a framework used by the Central Bank to manage short-term interest rates in the country's financial system. The project will also result in more green finance capacity in the country, with dedicated programs at FONERWA and BRD (GoR owned institutions which also will serve as Executing Entities to the RGIF) resulting in local market capacity being strengthened. More bankable green projects (supported by the credit facility and the PPF) will also result in decreased risk perception of local financiers, and increased co-investments from commercial banks to the green sector. Through the provision of grant support and collateral support in project development, project bankability will be assessed thereby providing the comfort required to BRD to support project implementation through the credit line on projects focused on solar, hydro, green buildings, climate resilient agriculture and low carbon transport. Capacity building and awareness raising campaigns will also support ensuring that additional climate finance can be 22inimize22 to ensure continuity post GCF intervention while the gender dimension will be streamline across all project activities.These outcomes will result in the ability of local project developers to grow their businesses and expand their offerings to end beneficiaries and customers, including agricultural cooperatives, villages in need of electricity, and urban dwellers in need of efficient and resilient housing stock. Beyond the climate benefits, growth in these industries will also have direct economic impact, contributing to more economic activity and increased output in key growth sectors, including agriculture, construction, and energy.

Figure B.2 (a).1: RGIF Theory of Change


Impact Paradigm shift
IF the RGIF Credit Line and Project Preparation Facility reduces market risks and leverages private investment for projects with clear and inclusive climate benefits, THEN GHG emissions will be reduced from the energy, low emission infrastructure, e-mobility and agriculture sectors while adaptation capacity in the agricultural sector will be enhanced BECAUSE by catalyzing private investment with improved financial assessment and technical capacity, the bankability of low-carbon and climate resilient projects with strong gender focus will improve and accelerate green transition while contributing to meeting Rwanda's NDC and SDG targets.
OUTCOMES AND Co-BENEFITS
Outcome 1: Reduced GHG emissions through the electrification of households electrified by renewable energy
Outcome 2: Reduced GHG emissions in buildings through energy efficiency measures.
Outcome 3: Increased climate change resilience of small producers/farmers and MSMEs
Outcome 4: Reduced GHG emissions in the transport sector
Co- Benefit 1: Increased access to climate finance for women led SMEs and businesses
Co- Benefit 2: Job creation in green economy
Co- Benefit 3: Water saved and less use of fertilizer
PROJECT OUTPUTS
Output 1 : Number of green sector projects seeking finance increased
Output 2 : Number of green sector projects accessing finance increased
Output 3: RGIF launched and operationalized
PROJECT ACTIVITIES
Component 1- Project Preparation Facility (FONERWA) Grants to improve bankability
Activity 1.1: Grants to support project bankability (60% of PPF portfolio) including gender targets
Activity 1.2: Collateral support (reimbursable grant-40% of portfolio) to derisk project development
Activity 1.3: Technical assistance and outreach to developers (including gender targets) on RGIF and resource mobilization for P2
Component 2: Credit Facility (BRD) Increase green sector project accessing finance through:
Activity 2.1: Green Direct lending to eligible projects at competitive rates and monitoring of portfolio and capacity building for financial institutions
Component 3: RGIF Project Management
Activity 3.1: RGIF launch and Operationalisation
BARRIERS, RISKS
Lack of perceived bankability of projects and lack of equity capital for development
High collateral requirements of local banks owing to lack of experience in green funding
Limited ability to pay for first time developers
Lack of experience in green sector and lack of knowledge on climate finance
High IRs on lending due to high risk perception, limited experience, risk averse local banks and financial institutions
Lack of liquidity and lack of long-dated capital available from local commercial banks
ASSUMPTIONS
• Energy, agriculture, transportation and urban growth are critical drivers of Rwanda economy and future levels of prosperity and well-being.
• There is a strong a government will to attract more climate funding to meet the NDC and SDG targets
• The Government of Rwanda is encouraging more and more SMEs and local businesses to develop their capacity to prepare and implement climate projects Increased access to climate finance to women is also seen as a key requirement
• There is strong appetite at grassroot level to have access to finance for environmentally friendly and climate resilient projects
• There is already an institutional backbone on which to build on to ensure access to climate finance becomes a key pillar of the development of Rwanda

B.2 (b). Outcome mapping to GCF results areas and co-benefit categorization

Fill in the GCF results area table below to map each project/programme outcome identified in section B.2(a) to the contributing GCF results area(s) by referring to the description of eight results areas provided in the guidance note.

Outcome number	GCF Mitigation Results Area (MRA 1-4)				GCF Adaptation Results Area (ARA 1-4)			
	MRA 1 Energy generation and access	**MRA 2** Low-emission transport	**MRA 3** Building, citiies, industries, appliances	**MRA 4** Forestry and land use	**ARA 1** Most vulnerable people and communities	**ARA 2** Health, well-being, food and water security	**ARA 3** Infrastructure and built environment	**ARA 4** Ecosystems and ecosystem services
Outcome 1 *Reduced GHG emissions through the electrification of households electrified by renewable energy*	☒	☐	☐	☐	☐	☐	☐	☐
Outcome 2 *Reduced GHG emissions in buildings through energy efficiency measures.*	☐	☐	☒	☐	☐	☐	☐	☐
Outcome 3 *Increased climate change resilience of small producers/farmers and MSMEs*	☒	☐	☐	☐	☐	☒	☐	☐
Outcome 4 *Reduced GHG emissions in the transport sector*	☐	☒	☐	☐	☐	☐	☐	☐

If any co-benefits have been identified in section B.2(a), fill in the Co-benefit table below to map each co-benefit to the corresponding category as defined in the FP guidance note.

Co-benefit number	Co-benefit					
	Environmental	**Social**	**Economic**	**Gender**	**Adaptation**	**Mitigation**
Co- benefit 1	☐	☐	☐	☒	☐	☐

Increased access to climate finance for women led SMEs and businesses						
Co- Benefit 2: Job creation in green economy	☐	☐	☒	☐	☐	☐
Co- Benefit 3: Job creation in green economy	☒	☐	☐	☐	☐	☐

B.3. Project/programme description (max. 2500 words, approximately 5 pages)

Define the project/programme. Describe the proposed set of components, outputs and activities that will be undertaken by the project/programme to attain the intended outcomes elaborated in Section B.2 (a). Please also elaborate how the project/programme activities will address the barriers described in Section B.2.

This section of the funding proposal should be consistent with sections C.2 (financing by component), E.5 (project/programme results level) and E.6 (project/programme activities and deliverables).

Referring to the feasibility study, describe why this set of interventions was selected instead of alternative solutions and how the project/programme can help unlock the needed support in a sustainable manner. Also identify trade-offs of the selected interventions, if applicable.

For Enhanced Direct Access (EDA) proposals and projects/programmes with financial intermediation (loans or on-granting), describe the selection criteria of the sub-project and types.

23. The overall cost of climate change to Rwanda's economy has been estimated to be in excess of USD 3 billion USD by 2030. Rwanda could lose over 1% of its GDP each year due to climate related losses by 2030 if business stays as usual. Hence the commitment of the Rwandan government to a climate resilient and sustainable development laid out in its various national policies including the Green Growth and Climate Resilience Strategy (GGCRS) launched in 2011. Aligned to the Government of Rwanda (GoR) overall national planning objectives and development goals, RGIF aims to address private sector investment demand in the Rwanda green sector, stimulate national green economic growth while supporting the implementation of the country's climate plans. Current investment trajectories show a shortfall of investment to meet Rwanda green development goals, particularly from the private sector. The low carbon-sector in particular faced a substantial investment gap to drive any significant economic growth. Structural challenges and barriers remain regarding national green investments: high upfront capital needs to develop key projects, high financing costs, small-scale and distributed projects unable to secure financing both locally or internationally and existing local financing capacity too small to meet Rwanda's investment needs to address climate change challenges. Additionally, local financial markets have limited green finance experience and expertise, and there is currently no cross-cutting program dedicated to scaling green finance in the country. (see section B.2 (a)).

24. RGIF is specifically designed to support climate goals alongside development and job growth through the building of green development sectors needed to ensure economic recovery such as agriculture,

renewable energy, transport, etc. and align with Rwanda's national plans and sustainable development goals. As an example, agriculture and urban construction – two primary focus areas of the RGIF – are two of the most important drivers of Rwanda's GDP. Investing in these sectors will serve as a driver for Rwanda's GDP growth recovery through creation of more jobs and a more resilient and sustainable society.The Rwanda Green Investment Facility (RGIF) will utilize a blended finance approach to catalyze green investment and help drive Rwanda's NDCs while supporting development goals. RGIF will directly finance measures designed to reduce the country's economic burden and enable Rwanda's economy to 26inimize climate impacts and grow and thrive. The RGIF mandate is to catalyze green and low-carbon private investment in Rwanda, with a focus on blended finance by providing financial instruments (grants, debt, credit enhancements e.g. guarantees) to projects that are commercially viable in the green sector. The RGIF will serve the following objectives:

- Address local market gaps to facilitate the flow of private investment through local market-fit financial tools,
- Strengthen Rwanda's ownership of climate finance by empowering the country to create a first of its kind cross-cutting green finance support facility.
- Build the green finance capacity of local banks through innovation, risk mitigation and deal arrangement.

25. The RGIF is an initiative of the GoR to be implemented by two of the country's leading green finance institutions: the Rwanda Green Fund (FONERWA) and the Development Bank of Rwanda (BRD). The RGIF program is the culmination of a multi-phased stakeholder input and design process that began in 2018, and has been supported by the GoR, UNDP, NDF, AfDB and the World Bank. The design process included a market study and pipeline analysis, feasibility study, structural design option analysis, capitalization outreach and structuring, and multiple rounds of stakeholder input and workshops, with participation from a wide range of stakeholders including GoR ministries and program staff, project developers, financiers, development partners and international experts on development finance, climate finance and green banking. The result of this feasibility and design work is an RGIF program design that is tailored to the local Rwanda context, offering targeted support across projects' typical development lifecycles. Because the green sectors in Rwanda identified during the feasibility study are considered nascent or lacking track record (see section B.2), the RGIF program is designed to offer support at the front end of project's development (i.e. supporting feasibility studies and technical needs to better prepare and structure projects to access finance) as well as targeted financial products, including direct lending to enable projects to scale and access commercial finance. Given the constraints on government budgets and sovereign debt, the RGIF program is specifically designed to be implemented in two phases to maximize leverage co-investment of commercial investors, both at the individual project live, as well as after projects reach their commercial operation date (COD), via refinancing and securitization techniques (see section B.2 (a)).
During the feasibility study, no alternative forms of support for these sectors were identified. Based on the specific barriers holding back investment growth in the target sectors (high collateral requirements, high perception of risk, etc, outlined in B.2 (a)) it was determined that an integrated, two-pronged approach was necessary to provide both grant support and credit support, to enable these sectors to scale and attract further investment. In order to provide this full-spectrum of support to the market, an integrated program approach was necessary, and was achieved via a partnership arrangement between FONERWA (grant provider) and BRD (credit provider). This arrangement allows each entity to work together in a structured way, and it also leverages the strengths of the respective institutions. FONERWA has a strong track record of mobilizing grant capital and channeling resources to local projects and developers. BRD has a strong track record as a development financial institution, with strong underwriting capacities and credit teams, and experience managing credit lines and investment programs of development finance institutions. Working together, the two sister organizations will

manage the following two integrated facilities under the RGIF program, to support the growth of key sectors of Rwanda's green economy.

26. Additionally, due to new economic circumstances related to the covid19 crisis, the RGIF capitalization strategy has to follow a two-phases approach in order to ensure a successful capitalization. Rwanda has been dedicated to manage the economic and health crisis due to the pandemic and has prioritized covid19 recovery investments. This has had an impact in its ability to mobilize resources with a major constraint on sovereign borrowing. The two-phased capitalization approach aims to address this sovereign constraint and launch the RGIF program as soon as possible to support the country's green economy
The two-phased capitalization approach consists in:

- Capitalization initial Phase 1: securing initial seed loan and grant funding to launch the RGIF. The seed funding includes a small loan from the GCF to launch the Credit Facility and a grant from the GCF as well as other financiers (such as FCDO and The Danish International Development Agency) to support the launch of the Project Preparation Facility. This fundraising phase is expected to close by 2028.
- Capitalization Phase 2: the second fundraising is scheduled for 2028 (when the GoR headroom with AFDB will be available) and consists in receiving an additional tranche from the GCF with funding from the AFDB as co-financier. This additional funding will help scale up RGIF market outreach.

27. As detailed in Section B.4 (Implementation Arrangements), and Section C.2. (Financing by Component) the RGIF will be composed of two elements designed to work together in an integrated program to support investment in Rwanda's green sector, supported by Project Management. It should be noted that a developer will be able to benefit both from the PPF support and the CF. The overall project components include:
Component 1: Grants to improve bankability

    - Implemented via a 'Project Preparation Facility' (PPF) managed by FONERWA (details below)

Component 2: Credit to provide debt finance and drive co-investment

    - Implemented via a 'Credit Facility' managed Rwanda's National Development Bank, BRD (details below)

Component 3: RGIF Project Management

28. Component 1. Grants to improve bankability:

The Project Preparation Facility (PPF) managed by FONERWA, Rwanda's existing Green Fund: the PPF of the RGIF is a dedicated facility that provides reimbursable and non-reimbursable grants to support early-stage project development and improve the bankability of eligible projects. The purpose of the PPF is to help projects transition "from feasibility to bankability" and assist projects to secure commercial finance through the finance arm of the RGIF and other financiers. With grant money often in limited supply, PPF funds are intended to provide "catalytic" funding at an early stage for transactions that may otherwise be too risky or complex to pursue. RGIF PPF will offer grants and reimbursable grants to selected priority sectors projects to support technical studies and other activities that contribute toward a specific project's viability. The financing by component will be: Grants to support project bankability (60% of the PPF portfolio) and Reimbursable grants (40% of the PPF portfolio) to provide partial collateral support. The specific operations of the project selection, investment committee, disbursement and triggers for the grant and partial collateral support are outlined in the RGIF Operations Manual (Annex 21). The project management costs will support the implementation of these activities at both FONERWA and BRD.

Output 1: Increased number of green sector projects seeking finance:
The PPF component of the RGIF is specifically designed to increase the bankability of projects. That is, projects will use grants and collateral support to then seek finance to implement their projects. This integrated approach is designed to increase the number of projects seeking finance. The RGIF is also expected that 60% of the PPF funding will be available to women led enterprises. It will be implemented via the following activities:

Activity 1.1. Grants to support project bankability (60% of the PPF portfolio)
In response to the lack of perceived "bankability" of projects, for nascent developers looking to scale up, the PPF will offer grants early-stage project activities to move projects from feasibility to bankability, including paying for project-level technical studies and environmental studies, securing permits and lease agreements, financial modeling and legal contract development, etc. To implement this, the PPF, managed by FONERWA, will perform the following specific sub-activities:

- Activity 1.1.1 Design and lauching of RFP process to support development of project pipeline including selection process for consultants and review of project submissions for eligibility criteria and awards of grant support.
- Activity 1.1.2 Monitoring, Reporting and Verification of project disbursement againts results areas and support to FONERWA for managing grantees for pipeline development
- Activity 1.1.3 Disburse grants to support project bankability (60% of Portfolio) for the 4 results areas 1) Clean energy, 2) low carbon building, 3) low carbon transport 4) climate resilient agriculture
- Activity 1.1.4 Preparation of impact reports for steering committee and donors

Activity 1.2 Reimbursable grants (40% of the PPF portfolio) to provide partial collateral support.
In response to the high collateral requirements placed on projects by banks, the PPF will offer reimbursable grants to serve as partial collateral support for projects that are seeking loans from financiers with collateral requirements. The PPF will provide only partial collateral support (capped at 50% of the project needs) and will be in a "second position" to ensure that local developers have sufficient skin in the game. To implement this, the PPF, managed by FONERWA, will perform the following specific sub-activities:

- Activity 1.2.1: Conduct all necessary legal & administrative requirement to launch a reimbursable product including tracking and recovering mechanism.
  This activity will be performed during the first year.
- Activity 1.2.2: Issue RFP for projects that meet RGIF eligibility criteria across priority sectors for collateral support and review of project submissions for eligibility and award of partial collateral support
- Activity 1.2.3: Manage and monitor collateral support (repayments follow-ups,) including project control & monitoringActivity

- Activity 1.2.4: Disburse Collateral grants (40% of GCF portfolio)
- Activity 1.2.5: Evaluate and report projects impact to the Steering Committee

Activity 1.3 Technical assistance for capacity building, outreach to project developers on RGIF offerings and establishing partnerships
In order to raise awareness for the RGIF program and ensure that project developers are aware of the RGIF program offerings, FONERWA will conduct a series of technical assistance trainings and outreach to market participants. This will include performing a market awareness campaigns for project

developers in priority sectors and performing capacity building to target groups regarding the reimbursable grants as collateral products. The Credit Facility, managed by BRD and the PPF managed by FONERWA will also benefit from this training and will work closely with project developers to help them understand the program eligibility requirements, as well as with local financiers on how they can work with BRD to structure deals and take advantage of credit enhancing financial products to specifically increase the ability of projects to access finance. In order to achieve maximum impact of the RGIF program, FONERWA and BRD will work to secure additional funding for the RGIF over time, to ensure its on-going operations and support provided to green sector project developers in Rwanda. This activity will also enable both institutions to establish partnerships with key development partners and donors.

To implement this, the PPF, managed by FONERWA, will perform the following specific sub-activities:

- Activity 1.3.1: Perform market awareness campaign for projects developers in priority sectors – PPF
- Activity 1.3.2: Perform capacity building for FONERWA and BRD and for targets groups regarding the reimbursable grants as collateral product
- Activity 1.3.3: Establish partnerships with key development partners and donors for fund mobilization for Phase 2

Most of these activities will be performed the first two years.

29. **Component 2: Credit to provide debt finance and drive co-investment**

Output 2: Increased number of green sector projects accessing finance: The RGIF program's Credit Facility (managed by BRD) will specifically focus on increasing the number of projects that actually *access* financing. This will be done by offering competitive financing rates to directly eligible projects, and through new staff and capacity building at BRD to originate and due diligence projects in the RGIF-eligible sectors (Capacity building at BRD will be supported through grants to BRD from GCF -as part of this Funding Proposal- and from FCDO and DANIDA). The Credit Facility managed by Rwanda's National Development Bank, BRD: the Credit facility of the RGIF is a dedicated green finance facility that offers direct loans to priority green sectors projects. The Credit Facility will provide lending capital to projects based on the RGIF investment criteria and procedures outlined in the operations manual. It is also expected that at least 30% of the CF will be allocated to women led enterprises. This lending capital's main activities are:

Activity 2.1: Direct lending to project developers

BRD will offer direct lending to projects, working with co-financiers (EIB, AFD, GCPF and AfDB). In this way, the RGIF will be able to offer direct lending products and provide needed support to projects, for example through offering technical underwriting capacity and deal arrangement, as well as direct credit support. This direct lending modality with co-financiers will further enable co-financiers to gain "hands on" experience financing projects in new sectors and under new regulatory regimes. The RGIF Credit Facility will offer loan products designed to mobilize additional investment and including grace periods and longer tenor. Longer tenors coupled with grace periods will help facilitate affordable "end-user" prices as compared to existing costs. The RGIF will evaluate the potential to offer longer tenors and grace periods for projects where necessary. The loan maturity will be between 5 to 10 years depending on the project needs and the credit risk assessment. The loans will be denominated in Rwandan Franc (FRW) including the total amount, interest charges and all applicable fees.

Credit risk aspects – Direct project finance

BRD will assume the full credit risk for all direct loans to SMEs and project developers. Credit risks will differ from the type of loans offered by BRD and will follow RGIF credit approval procedures as specified in the RGIF Operations Manual.

- **Senior loans**: BRD will offer senior loans at interest rates that take into account at minimum BRD's cost of funds including foreign exchange costs, operating costs and an appropriate credit risk margin based on a thorough credit assessment of the borrower. The senior loan rate to projects shall not exceed [11.2% p.a].

Interest Rate: The interest rate is estimated to be at 11.2% and below is table justifying the margin and exhibiting the breakdown of arriving at the interest rate of 11.2%

	RGIF FINAL PRICING	
LENDER	**Projected Draw Down**	**Int rate**
LENDER		0.75%
TOTAL		**0.75%**
Swap Cost		**6%**
Cumulative Int. rate		**6.75%**
Average Cost of Risk		**2.0%**
Desired return profit margin		**0.4%**
Administration cost		**1.0%**
Service Fee and annual mgt fee		**1.0%**
TOTAL BRD MARGIN		**11.2%**
End beneficiary Int rate		**11.2%**

During the design of the facility, the GoR indicated that they were not in a position to take on the FX risk, hence the inclusion of the 'Swap Cost' in the above table. If the GoR was to bare the FX risk, BRD would be able to on-lend the facility to PFIs and still achieve a final beneficiary pricing at approximately 12%. In terms of repayment, it will be flexibled to include monthly, quarterly or semi-annually depending on the Client's cash flows and there will be no ticket size as the funds shall finance up to 70% of the eligible sub-project cost.

Guarantees to cover the risks of prospective projects aligned with sustainable development targets. The guarantee cover is to be provided by SIDA only. It should be noted that the SIDA guarantee is intended to facilitate increased lending by the Guarantee beneficiary to SMEs in the eligible sectors in Rwanda, improving both the conditions of and increasing the quantity of these qualifying loans, thereby, stimulating electrification and the transitioning to a resilient and green economy in Rwanda. The SIDA guarantee will cover up to 50% of SME's active in the eligible sectors and up to 70% for female borrowers of the guarantee beneficiary's net losses. The SIDA Guarantee has a maximum guarantee amount per qualifying borrower of USD 1,500,000 for SME's active in eligible projects.It should however be noted that projects benefitting from collateral support under Activity 1.2, will not be eligible to benefit from the SIDA guarantee.

To implement this, the Credit Facility, managed by BRD, will perform the following specific sub-activities:

- Activity 2.1.1: Launch Request for Proposal (RFP) process to support development of a robust project pipeline for the Credit Facility and review of RFP responses and project selection across priority sectors (investment due diligence, etc);
- Activity 2.1.2: Perform capacity building and market awareness campaign for target financial institutions (commercial banks, microfinance, SACCOs, etc) [56]
- Activity 2.1.3: Manage and monitor project loans (include loan repayments follow-ups, project control, monitoring and reporting, etc)
- Activity 2.1.4: Disburse credit to selected projects. BRD will offer direct lending to projects in the senior position, with a target minimum of 30% of non RGIF funding in the deal, by working with sponsors/developers and co-financiers to structure projects that utilize RGIF financing but are able to access sufficient co-investment. With this product, BRD will make direct investments and originate syndications with local banks to finance specific green projects (mitigation & adaptation) in priority sectors offering longer tenor with grace period with commercial banks providing short term or medium-term tranches
- Activity 2.1.5: Issue Bank Guarantees (from SIDA only) to selected projects
- Activity 2.1.6: Evaluate and report loan portfolio to the Steering Committee

These activities will be performed during the 7 years of the program.

30. **<u>Component</u> 3: RGIF Project Management**
In addition to the main components, the current Funding proposal also include a project management to launch RGIF and ensure its successful implementation and supervision.

Output 3: RGIF Launch & Operationalization

The two arms of the RGIF will work in tandem to expand financing capacity designed to fill local market gaps, attract public and private funding, while supporting national green growth objectives. Successful implementation of the RGIF Program is dependent on strong oversight, staffing and operational activities. In order to the launch and operationalize the RGIF, the following activities will be undertaken by the FONERWA and BRD:

- Activity 3.1.1: Finalize all relevant administrative and internal documentation (credit procedures development, term sheet template, MRV dashboard, bank accounts, etc)
- Activity 3.1.2: Design of RGIF final product – Credit Facility and Project Preparation Facility
- Activity 3.1.3: RGIF operational expenses (supported by FCDO and DANIDA)
- Activity 3.1.4: Project Management and Oversight
- Activity 3.1.5: Develop market outreach & communication plan -Credit Facility & PPF (including a gender chapter)
- Activity 3.1.6: Manage RGIF branding and communicate on RGIF initial impact (include RGIF website and online activities)

31. **<u>Expected results and outcomes</u>:** As outlined in section E.5, the expected results of the RGIF program are increased access to finance for the eligible sectors of the RGIF program. Specifically, the RGIF program *integrated* approach (offering support across a project's lifecycle, from development to term finance) will have the following expected outputs: 1) The number and quality of bankable projects able to apply for credit line for green projects is increased. 2) Awareness level on RGIF increased at all levels and partnership with development partners established. 3) Number of women led SMEs and businesses having access to climate finance be at least 30% of portfolio 4) Demand for concessional

[56] Please note that the capacity building for BRD staff is that which is provided under Activity 1.3.

climate finance met through Credit facility 5) Increased capacity of financial institutions to support green investment

Based on the project pipeline identified, the RGIF will direct support (grants and loans) to the sectors outlined below. These investments are limited to projects that meet the sector requirements and eligibility requirements of the RGIF and will have the following outcomes: i) Increased number of households electrified through small, medium and large power suppliers, ii) Increased number of energy efficient and resilient buildings. Iii) Improved agri production during droughts) Increased use of low-carbon transport and will also yield the following co-benefits: a) Strengthened institutional system for climate responsive planning. b) Increased access to climate finance for women led SMEs and businesses. c) Job creation in green economy.

32. RGIF Market Focus

The above outcomes are based on the eligibility criteria developed and priority sectors identified during the feasibility study and design phase of the RGIF. During the feasibility study and design, review of project documents and input from stakeholders and market participants identified barriers to implementation and strong investment needs across the project development lifecycle in the below sectors.The investment strategy and market focus for the RGIF is based on the RGIF design work, market assessment and pipeline analysis conducted by FONERWA and Coalition for Green Capital to inform the initial focus of the program (see attached summary as provided in Feasibility Study). Based on this market assessment, the RGIF will serve the green sector with a near term focus on renewable energy & biomass energy reduction, climate smart agriculture/irrigation & water efficient systems, energy efficiency in commercial buildings and clean transportation. It should also be noted that under the PPF, funding for activities such as pilot testing, preliminary engineering design, prototype testing, project development and other technical assistance expenses will be funded under grants (both reimbursable and non-reimbursable). While the Credit facility will also finance some of these aspects, its main focus will be on providing credit lines and bank guarantees (from SIDA) to businesses that have reached a more advanced stage in the business life cycle. However, for businesses transitioning or expanding into the green sector, these technical assistance costs would be covered by both the PPF and the CF.

RGIF has identified a strong pipeline of projects in various national priority (NST1) sectors with a strong potential for GDP growth and job creation in addition to climate change mitigation and adaptation.

33. **$420M project pipeline**: More than $420M in financing needs have been identified for the next three years in terms of debt and equity as expressed by private sector developers and GoR planners:

- Solar & mini hydro off-grid projects. Mini-hydro projects will be considered only with clear eligibility criteria to ensure climate rationale.
- Climate Smart Agriculture: Solar PV to replace existing diesel-powered (costly & GHG-emitting) irrigation systems, other rural agriculture processes, etc.
- Energy efficiency & green cities: RGIF to provide financing solutions to support green city development and the application of the new Energy Efficiency Law regarding commercial buildings.
- And clean transportation.

Once the RGIF has developed a track record and other sectors have matured, the facility can help unlock private investments in other priority sectors such as recycling, biomass & biogas, water, sanitation and ecological services for wetlands rehabilitation.

34. Priority Sectors for the near term:

The RGIF will invest across the following near-term priority sectors via one integrated facility. Building on this foundation, the RGIF will seek a proportionate distribution of resources across the near-term priority market sectors but be market-responsive and tailored to meet the actual needs and near-term project pipeline. The near-term focus sectors are climate smart agriculture, renewable energy green buildings and clean transportation. The exact portfolio mix will depend on numerous factors over the course of project implementation, including continuation of on-going regulatory enabling environments, quality of projects/developers submitted for financing, etc. It is assumed that the RGIF will allocate approximately 25% of its funds toward each of the four near-term priority sectors. The eligible sectors for the RGIF program are also based on priority sectors identified in Rwanda's updated NDCs, as well as a project pipeline assessment conducted during the RGIF program design process, which consisted of an on-the-ground stakeholder consultation process, interviews and workshops, and desk review of available proposed business plans and feasibility studies of projects in key NDC-aligned sectors in Rwanda. Eligibility Criteria for projects in each of the priority sectors are defined in Section B.4 of this Funding Proposal and in Annex 21, Operations Manual.

35. **Renewable *Energy Systems***: Current financially viable transactions in the pipeline include 4.96MW of small- and medium-size solar PV on-grid (with renegotiating PPA tariffs), 28.1 MW on-grid mini hydro meeting specific eligible criteria; 3.2 MW micro/mini- grid hydro (which environmental and climate impacts will need to be checked prior approval); 4,800 solar water heaters and pumps in over 100 rural sites. Moreover, the GoR anticipates about 99.5MW through small RE (mostly hydro) plants to be part of the 2030 NDC[57] targets at an estimated total cost of USD328M. And within the NDC framework, the GoR has also set a total RE target for 68MW mini-grids (solar & hydro) by 2030 at estimated total costs of USD 206M (including battery replacement). In pursuit of increasing the percentage of RE in its energy mix as a strategy for meeting the NDC targets, the GoR has just increased its off-grid territory target from 22% to 48%. All these developments will result in the need to invest in projects that will help achieve these national targets. The RGIF will support these goals by providing financing to a portion of early sage projects to be developed in Rwanda, and his does not include knock-on effects after the RGIF make first rounds investments to de-risk the sector to future investment.

36. **Climate *Smart Agriculture/Irrigation:*** RGIF will focus on supporting investments into climate smart irrigation projects with impacts on both mitigation and adaptation. RGIF will also include eligibility requirements in its lending procedures, to focus on projects that have a resiliency or efficiency component, compared to baseline. Irrigation projects identified in Rwanda are typically focused on either a) installing irrigation systems in areas that currently rely on rain-fed agriculture (which are susceptible to changing rainfall patterns under climate change), b) opening up areas of cultivable land that are currently fallow or engaged in low-yield, marginal agricultural activities, to irrigation/farming using efficient/resilient technologies (a green development goal of Rwanda), or c) replacing existing old/inefficient irrigations systems that run on diesel, with newer systems that run on solar and include water efficient technology (low flow rates, drip irrigation). Other projects in the pipeline involve new irrigation systems (using climate smart technologies) on currently cultivated land with currently low-productivity and subsistence farming, which is primarily rain-fed. These projects replace existing or projected diesel-powered (costly & GHG-emitting) irrigation systems in remote rural areas. These projects will be using new water efficient technology, such as drip irrigation to adapt ongoing drought conditions in water scarce areas.

37. **Energy *Efficiency in Commercial Buildings and Green cities:*** the green cities initiatives launched recently in Rwanda, and planned for the near future development, have energy efficiency and resiliency components that RGIF plans to support. While the government has set lofty targets for

[57] https://unfccc.int/sites/default/files/NDC/2022-06/Rwanda_Updated_NDC_May_2020.pdf

resiliency and energy efficiency in urban areas, there are no dedicated financing vehicles set up to finance these new activities. Furthermore, the nascency of the regulatory regimes and the perceived "newness" of related technologies and business models can have negative effects on the interest and risk tolerance of commercial financiers. This provides a strong value addition for RGIF and GCF, and a clear investment opportunity when these ambitious projects are brought to fruition. Current pipeline for the medium term includes estates with green and resilient features such as: a) Zero Carbon building using demand reduction coupled to onsite renewable electricity generation[58]; b) water autonomy systems including a water treatment plant; c) waste management plants, d) adequate transport and mobility system with principles that feed into Urban Heat Island mitigation as they avoid the large waste heat output from conventional road vehicles[59] (this will also reduce vehicle use and air quality pollution); and other resiliency features to protect against floods and landslides.

38. ***Clean* transportation:** Rwanda's transport sector is driven by increasing urbanization and population growth and has been identified as one of the drivers for the country's growth. As one of the major sources of CO2eq emissions in the country, Rwanda has committed itself to reduce emission of short-lived climate pollutants and pledge to promote new technologies to reduce transport emission and improve vehicle efficiency through vehicle and fuel quality regulations and taxations policies under its NDCs. The current National infrastructure strategy focuses on building climate resilient infrastructure and promoting clean transportation. A law governing the preservation of air quality and prevention of air pollution was adopted in 2016 and mandates emission testing for all vehicles and imposes a tax on petrol burning vehicles. These recent developments coupled with the rapid urbanization increase has laid out the market demand for electric automobiles in Rwanda. According to the Fifth Integrated Household Living Conditions Survey 2016/17 (EICV5), 77% of people in Kigali use public transport regularly or often. Current trends indicate that public transit and moto use will grow from 32% to 35% between 2017 and 2050 while car use will grow from 16% to 43% during the same timeframe[60]. Projects currently in the pipeline include the development and distribution of electric motorcycles, the importation and assembling of electric vehicles, the introduction of electric bus for public transportation as part of the Kigali City Bus Rapid Transit scheme (total cost of the project estimated to be around $2.5bn in 10 years[61]). RGIF interventions will focus on supporting current projects in the pipeline that aim to switch from diesel powered motorcycles to electric powered motorcycles. This is supported by a strong enabling environment, with GoR plans to eliminate gas motorcycles in its taxi sector in favor of e-motos and diesel bus to electric buses. Feasibility studies to construct electric battery stations are currently ongoing. In the near-term, RGIF interventions will focus on projects that plan to reduce local air pollution and greenhouse gas emission by replacing petrol motorcycles and vehicles with zero emission electric or more efficient vehicles powered by clean energy using grid electricity or solar power energy.

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

Provide a description of the project/programme implementation structure, outlining legal, contractual, institutional and financial arrangements from and between the GCF, the Accredited Entity (AE) and/or the Executing Entity(ies) (EE) or any third parties (if applicable) and beneficiaries.

[58] Green City Mid-Term Feasibility Report.

[59] Green City Mid-Term Feasibility Report.

[60] Kigali City Master Plan Report

[61] Kigali City; https://ktpress.rw/2016/03/kigali-city-planning-2-5-billion-special-bus-highway/

- *Provide information on governance arrangements (supervisory boards, consultative groups among others) set to oversee and guide project implementation. Provide a composition of the decision-making body and oversight function, particularly for Enhanced Direct Access (EDA) proposals.*
- *Provide information on the financial flows and implementation arrangements (legal and contractual) between the AE and the EE, between the EE or any third party and beneficiaries. For Ees that will administer GCF funds, indicate if a Capacity Assessment has been carried out. Where applicable, summarize the results of the assessment.*
- *Describe the experience and track record of the AE and Ees with respect to the activities (sector and country/region) that they are expected to undertake in the proposed project/programme.*

Provide a diagram(s) or organogram(s) that maps such arrangements including the governance structure, legal arrangements, and the flow and reflow of funds between entities.

39. The RGIF project is an initiative of the Government of Rwanda (MINECOFIN), BRD and FONERWA which will act as the Executing Entities. The RGIF has two components: A Project Preparation Facility (PPF) with a grant component and reimbursable grant to support project preparation, and a Credit Facility to provide financing to target projects. The two windows are designed to work together in an integrated program to achieve its mission and objectives of the RGIF. The Government of Rwanda will implement these two components through two national institutions: The Development Bank of Rwanda (BRD) as one of the Executing Entities to implement the RGIF Credit Facility, and Rwanda's Green Fund, FONERWA, to implement the grant component. According to the establishing documents for FONERWA and BRD, the former has legal personality and enjoys administrative and financial autonomy. Accordingly, FONERWA is a statutory entity of the Government which has been conferred with administrative and financial autonomy. BRD is a Public Company limited by shares with about twenty (20) shareholders and is a separate and independent legal entity from the Republic of Rwanda. The African Development Bank and GCF have signed an Accreditation Master Agreement (AMA). The Bank's role as the GCF accredited entity would be to appraise the project according to Bank's rules and procedures for public sector operations; assist MINECOFIN, FONERWA and BRD in the preparation of the funding proposal to GCF; administer and manage the GCF proceeds and monitor and evaluate the project according to the Bank's rules and procedures and carry out its obligations as per the AMA. The Bank will sign a project specific Funded Activity Agreement (FAA) with the GCF to receive in trust GCF reimbursable funds (for the loan to MINECOFIN), the reimbursable grants and non-reimbursable funds (for the grant to MINECOFIN) for the RGIF program. It is to be noted that the Rwanda Aid policy mentions that all ODA and climate finance is channeled through the Ministry of Finance (MINECONFIN) and on-granted to the specific institutions charged with implementation. The same applies for Sovereign debt.

40. As FONERWA and BRD are to receive and manage GCF financing and in line with the AE's policies, the Republic of Rwanda (via MINECOFIN) will enter into grant, reimbursable grant and loan agreements with each of these entities. These agreements will ensure the flow of funds from the Government to the Executing Entities. It will also ensure that the Government passes on the obligations to implement the Project in accordance with the Bank's policies on Procurement, Financial Management, Disbursement, Environmental and Social Safeguards, as well as the provisions of the FAA to BRD and FONERWA.

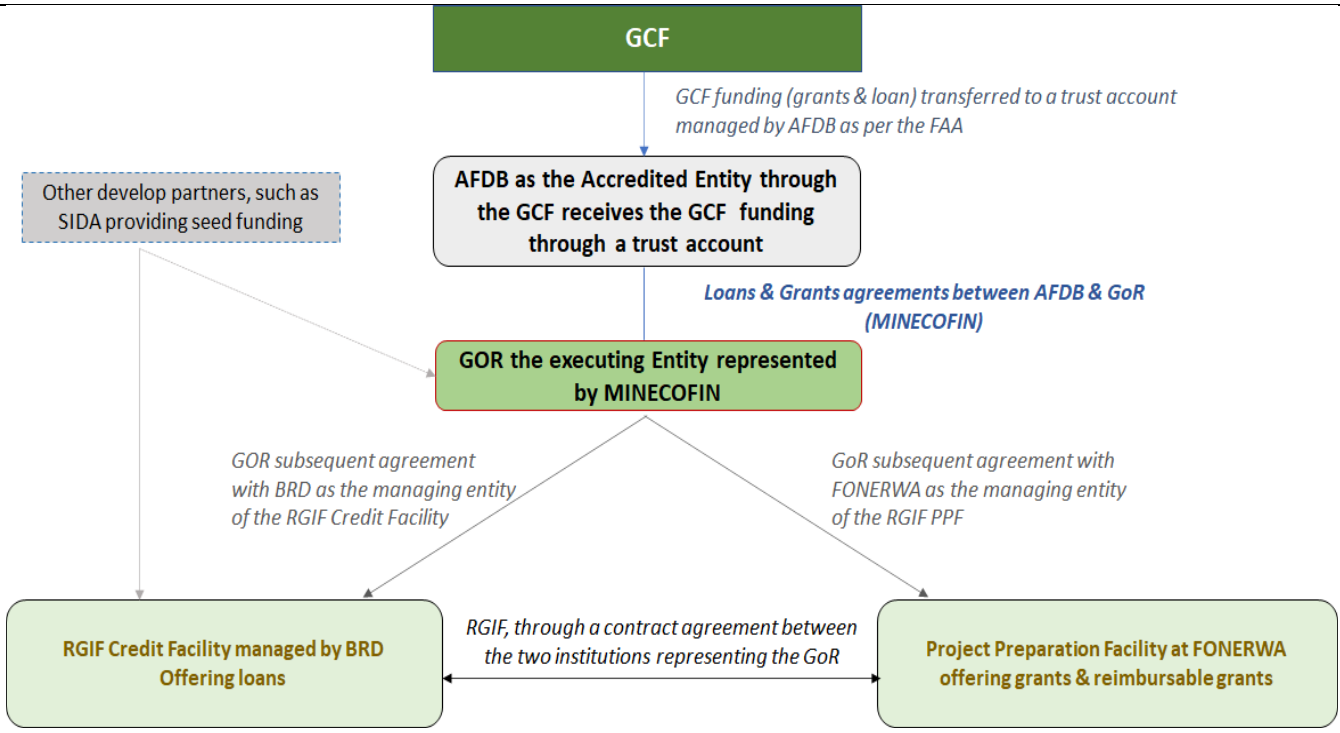
41. The Bank will report to GCF with the support of GCF funded consultants using the PPF and CF budgets. The reporting process is outlined in the RGIF Operations Manual (section 11), and costs outlined in the programme budget annex.. MINECOFIN will allocate the loan proceeds to BRD for the CF and the grant proceeds to FONERWA for the PPF. These arrangements are consistent with Rwanda Aid policy and the same flow of funds goes with AFD, SIDA, EIB and other donors listed in the project.

- The grant component of the RGIF will support project preparation, technical assistance, and project grants and will be implemented by FONERWA. Regarding the flow of funds, AfDB will sign a grant agreement with Rwanda's Ministry of Finance and Economic Planning (MINECOFIN) for the Project Preparation Facility (PPF) component of the RGIF through FONERWA. The GoR will sign grant and reimbursable agreements with FONERWA for the use of the proceeds. FONERWA will use grant funds to support pipeline development and then receive reimbursements from select projects (under the reimbursable collateral support program as part of the PPF) to help sustain the program (more in section B.6). Non-reimbursable funds will also be used for technical assistance and advisory services to projects without any repayment obligation.
- The loan component for financing selected projects through the RGIF Credit Facility will be implemented by BRD as Executing Entity. Regarding the flow of funds for the credit facility, AfDB will sign the loan agreement with MINECOFIN as well. The GoR, through MINECOFIN, will then sign a loan agreement with BRD to implement the Credit Facility as a-GoR-owned entity.

42. BRD and FONERWA will then sign agreements regarding the operationalization of the RGIF as an integrated program of the Government of Rwanda that comprises the PPF and the Credit Facility. The GoR (as represented by MINECOFIN) will be part of the agreement as the Executing Entity. Additionally, a percentage of the grant component will be used to fund operations costs of both FONERWA and BRD who will also act as Executing Entities to support RGIF project implementation. The total operations costs are detailed in the budget in annex 4.The RGIF project will be implemented in a two-phased approach over a 7 years period. The current Funding Proposal is intended to cover both capitalization phases, with the GCF providing an initial tranche of funds to support the launch of the RGIF programme and an additional tranche of funds in 2028 to scale-up the programme. The overall flow of funds is indicated in Figure B.4.2.

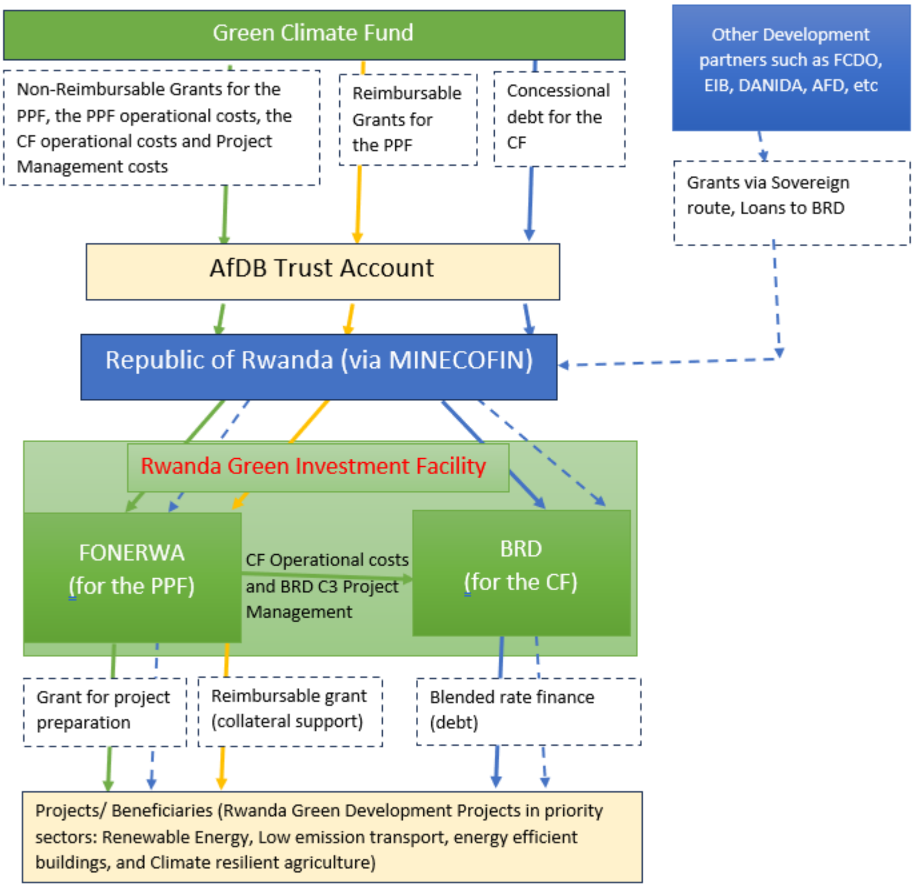
- The first phase of capitalization consists of securing initial seed loan and grant funding to launch the RGIF. The seed funding includes a small loan to launch the Credit Facility and a grant to support the launch of the Project Preparation Facility. The initial capitalization will have the main objectives to build the RGIF project pipeline, provide adequate support to priority green projects to demonstrate RGIF impact potential with the main goal of leveraging additional funding support from various potential funders on phase 2. The GCF is expected to provide the seed funding as a first tranche during this phase alongside other development partners (ongoing discussions with NDF and other), which will also help mobilize further resources in phase 2. The first phase is expected to be closed by 2028.
- The second capitalization phase is scheduled for 2028 and will consist of a second tranche of funds from the GCF while raising additional funding from various partners including the AFDB and others. This second phase of the RGIF will also take advantage of lessons learned from phase 1 implementation and seek to scale-up RGIF market outreach to support long-term project sustainability. The second tranche of the GCF funding is conditional on co-financing from the AFDB as per the term sheet (Annex 14).

43. **Figure B.4.1: implementation arrangement diagram between the AE and the RGIF managing entities**



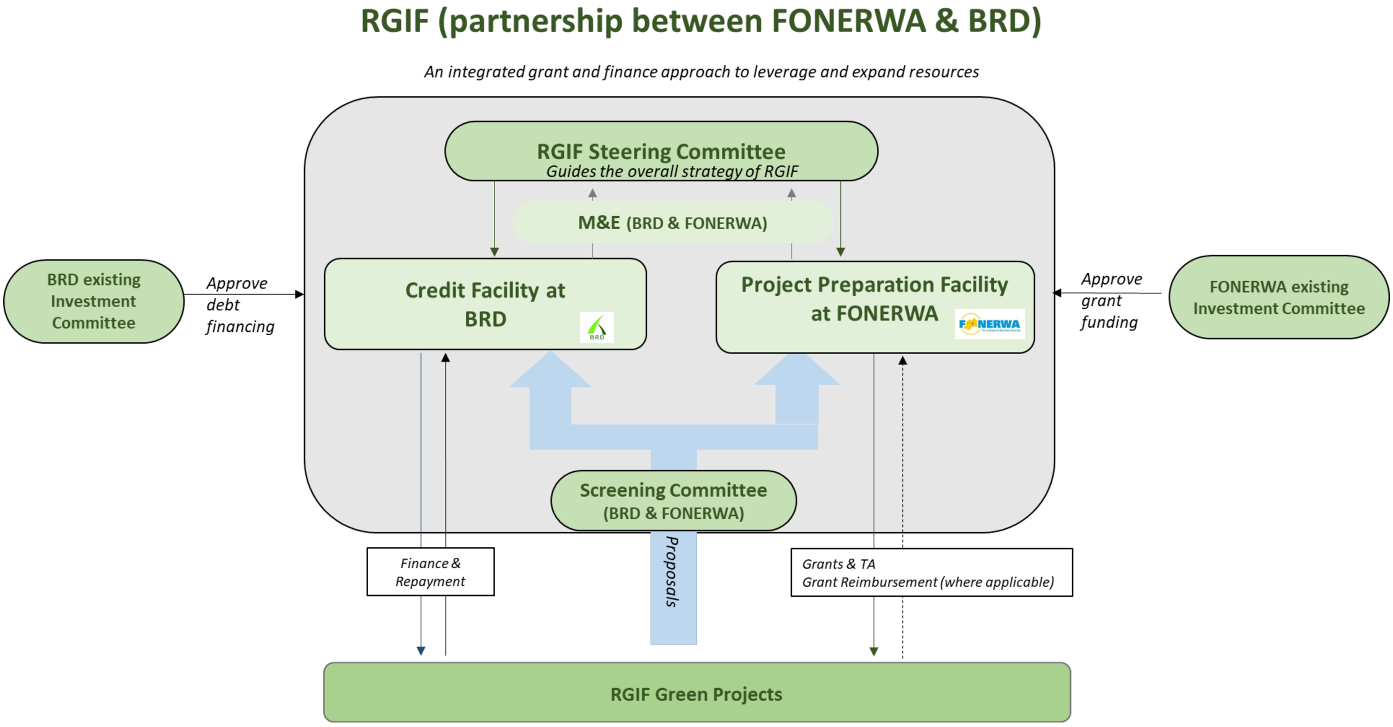
AFDB will sign the Funded Activity Agreement with the GCF covering both phases to receive in trust GCF loans and grants for the RGIF. The AfDB will create an RGIF sub account under the GCF Special Account to receive the proceeds from the GCF. Upon signing the GCF loan and grants agreements with the GoR represented by MINECOFIN, AFDB will the allocate the funds to Government of Rwanda (GoR) in accordance with the loan and grant agreements between GoR and the AfDB. The GoR represented by MINECOFIN would then on-grant/lend the grant funding to FONERWA for the PPF and the loan proceeds to BRD for the CF according to the provisions of their respective agreements. AfDB will not enter into any contractual agreement for this transfer. The signed grant and loan agreements with the GOR are the sole bases for the transfers. AfDb will also enter in a Project Agreement between AfDB and FONERWA for the implementation of Components 1 and Component 3 as well as a Project Agreement with BRD for the implementation of Components 2 and Component 3. Additionally, AFDB will have the overall oversight of the implementation framework alongside the RGIF's steering committee and will report to GCF as per the terms to be agreed under the Accreditation Master Agreement (AMA).

44. **Figure B.4.2: Flow of Reimbursable and Non-Reimbursable Funds**



A clear and integrated RGIF management and governance mechanism represented by a Steering Committee will be created to ensure an effective connection between the PPF at FONERWA and the Credit Facility at BRD. This should result in a robust pipeline of projects to feed both into RGIF Credit Facility and PPF.

45. Figure B.4.3: RGIF Implementation Framework



<u>RGIF Steering Committee</u>

The RGIF Steering Committee provides guidance to the entire RGIF program (both the PPF and the Credit Facility) and sets overall program strategy. The Steering Committee will be composed of 5 representatives from FONERWA and BRD C-Level executives, relevant GoR institutions (MINECOFIN, REMA, etc) and or potentially development partners funding the RGIF. It will serve an advisory role only, not binding, and will not have any fiduciary duties. It is expected that MINECOFIN will chair the Steering Committee.

The Steering Committee will provide strategic oversight and guidance for RGIF including proposing changes in the operations manual. These proposals would be ratified and implemented after board approval from both FONERWA and BRD. The steering committee's tasks will also include:

- Supervise the partnership between the two implementing institutions, facilitate and ensure effective coordination between BRD and FONERWA as well as project implementation.
- Make decisions on issuing new Requests for Proposal or "funding windows" that solicit proposals in the RGIF's priority sectors (e.g. mini-grids, climate smart agriculture, green cities, etc.).
- Ensure that RGIF delivers its outputs and achieves its outcomes. The Steering Committee will approve the RGIF MRV framework and ensure its application by both FONERWA and BRD, and uniform reporting to donors and partners.
- Review and supervise the project implementation performance, including financial management aspects.
- Assess regular progress reports and metrics briefings from the RGIF program staff (PPF and Credit Facility) against set KPIs. For example, FONERWA and BRD staff will report to the Steering Committee on key metrics and KPIs, such as the number of projects that have applied for PPF funds,

number that were approved, number of projects that have applied for Credit Facility funds, number that were eligible to move to next step, status of project pipeline, overall quality of projects presented, strategies to increase the quality of projects, strategies to increase market awareness, etc.

- Review of the internal audit reports, the annual audited financial statements complemented by the operational and performance information reports, the auditor's report, and remedial actions recommended in the auditor's management letters.
- Discuss and agree with BRD and FONERWA on changes needed in the operations manual and discuss/address all issues that might impede effective project implementation or compliance with agreed policies and procedures.

The Steering Committee will meet on a regular basis, every 8 weeks, to discuss progress on implementation, review project progress and evaluations and help set high-level strategic direction of the RGIF programs.

46. **Figure B.4.4: RGIF Implementation *RACI* Matrix**

	Steering Committee	Credit Facility / BRD	FONERWA
Define RGIF Strategy	R/A	A	A
Supervise RGIF Implementation	R/A	C	C
RGIF Monitoring & Evaluation	A	R/A	R/A
PPF overall Execution	C	C	R/A
PPF project Screening		C	R/A
PPF project Appraisal		C	R/A
PPF Investment decision	I	C	R/A
Credit Facility Overall Execution	C	R/A	I
CF Project Screening		R/A	C
CF Project appraisal & Credit risk assessment		R/A	I
CF Projects Investment Decision	I	R/A	I
Projects Reporting (PPF & CF)	I	R/A	R/A
Projects Monitoring & Evaluation (PPF & CF)	I	R/A	R/A

R= Responsible; A= Accountable; C=Consulted; I= Informed.

47. **<u>RGIF Operations</u>**

The operationalization of the integrated RGIF facilities composed of BRD and FONERWA will be achieved through an operating agreement/contract between FONERWA and BRD. Through this agreement, each institution commits to working together to implement the RGIF and to coordinate necessary actions to achieve the RGIF's vision, mission and objectives.

Some of these coordinated activities will include:

- Working in close cooperation to create an integrated program and eligibility criteria to access RGIF investment support. This include identifying needs of priority sectors, where grants & finance are both needed as well as rolling out coordinated RFPs for sectors where both finance and grants are needed.
- Providing clear and coordinated communications to project developers to explain the RGIF program and clarify both the grant and financing windows;
- Working in collaboration through a Screening Committee to select projects eligible to the RGIF. This include applying consistent criteria so projects emerging from the PPF are a strong match for financing through the Credit Facility of the RGIF;
- Working in collaboration to prepare RGIF Monitoring and Evaluation reports to be submitted to RGIF Steering Committee; and
- Raising additional funding based on identified needs.

48. RGIF Screening Committee

The Screening committee will be responsible for the initial selection of all projects eligible to engage in the RGIF process for investment support. It will provide the first-level project screening for assessing project eligibility to the RGIF's programs. The RGIF screening team will be composed of both FONERWA & BRD staff with appropriate skills and experience working in close cooperation to assess whether projects meet the high-level program eligibility criteria including: project type, size, green sector eligibility (definition of project as one of 4 eligible green project types, funding support or products requested, etc.), climate change objective (mitigation or adaptation) and other relevant criteria. For instance, activities that use fossil fuels for power generation are excluded, as well as energy efficiency measures in the fossil fuel industry (investments that extend the lifetime of fossil fuel assets". The RGIF eligibility criteria will be aligned to the RGIF mission and objectives as well as GCF investment criteria. They will also be aligned with BRD screening criteria to minimize burden on the key staff at BRD implementing the Credit Facility. A simple questionnaire will be used by the screening team to assess project eligibility for further appraisal by the PPF and/or the Credit Facility. Once a project is reviewed by the screening team, it will follow the following steps for further analysis and appraisal by the BRD Credit Facility or at the FONERWA PPF, depending on its needs. The second step appraisal will focus on more detailed eligibility criteria. Core elements of the RGIF eligibility criteria include:

49. RGIF Eligibility & Investment Criteria

The RGIF eligibility criteria are aligned to the RGIF mission and objectives as well as GCF investment criteria. They are also aligned with BRD screening criteria to minimize burden on the key staff at BRD implementing the Credit Facility. A project-level questionnaire, part of the project appraisal step, will be used by the screening team to assess project eligibility for the PPF and/or the Credit Facility.

RGIF cross-cutting Investment Criteria and guidelines: The cross-cutting investment criteria and guidelines of the RGIF specify which projects are eligible to receive grants from the PPF at FONERWA as well as loans from the Credit Facility at BRD.

The cross-cutting investment criteria for the RGIF are as follows:

- The project matches with at least one of the eligible priority sectors or key interventions defined below, which are aligned with Rwanda's updated NDCs.
- Project must contribute to at least one of the climate change related outputs (mitigation or adaptation) listed in the RGIF Log Frame.
- Projects must demonstrate financial viability (i.e. through a financial model, business plan, supporting documentation) including articulating a strategy for accessing private or commercial investment. This should include demonstrated capacity by the applying organization to deliver the project.
- Project must provide an indication that it currently faces difficulty in securing access to finance from local or international financiers, and how the PPF grant funding or CF financing will help address this problem.
- All activities using only fossil fuels for power generation are ineligible. Hybrid renewable energy projects connected to fossil fuel sources as well as improving energy efficiency of fossil fuel power plants will not be considered under the facility.
- For the PPF: Project conforms to specific uses/activities of funds from the PPF (feasibility studies, technical studies, legal and contract support, partial collateral support). More detail in the PPF section eligibility below.
- For the CF: Project conforms to specific financing modalities of CF (through direct lending, offering senior debt). More information in the CF section eligibility below.
- Benefits from the project will be sustained after the lifetime of the project, including economic development, poverty reduction, skills development, etc.
- The project offers good value for money.

- The project targets a high number of beneficiaries with clear demonstration of gender and social inclusion; with a preference for projects with strong gender impacts (detailed in section on gender) and aligns with the RGIF gender targets set for the PPF and CF.
- The project is not a "Category A" project, defined under the environmental and social risk categories section of this document. Category A projects include activities with potential significant adverse environmental and/or social risks and impacts that, individually or cumulatively, are diverse, irreversible, or unprecedented. Category A projects are not eligible to receive RGIF funding, either from the PPF or Credit Facility.
- Project size must match the RGIF parameters.
- Projects must conform with the conflict-of-interest policies referenced in the RGIF Operations Manual and COI policies at BRD and FONERWA.
- Please note that under the PPF a reimbursable grant and it would follow the same eligibility criteria as other non-reimbursable grants. Specific criteria to be eligible for the PPF window include:
    - Project is in an emerging sub-sector (within RGIF priority sectors) or proof-of-concept (first time that the project has been done.
    - Project must provide an indication that it faces difficulty in securing access finance from local financiers.
    - Project conforms to specific use/activities of funds from the PPF (feasibility studies, technical studies, legal and contract support, partial collateral support.
    - Project aligns with FONERWA's overall eligibility criteria, applied with equal weighting: 1) the project matches one of the FONERWA thematic windows (research and development in green technologies, or environmental and climate change mainstreaming); 2) benefits from the project will be sustained after the lifetime of the project activity; 3) the project offers good value for money and activities are carefully designed to deliver results (a. Economy: The right inputs have been identified to deliver the required outputs and will be procured cost effectively. b. Efficiency: Operational costs are appropriate given the benefits. The benefits exceed the costs. c. Effectiveness: The project achieves one, or more, of FONERWA's core objectives); 4) stakeholders, particularly local communities, have been consulted and there is a plan in place to communicate and consult with stakeholders throughout the lifetime of the project. 5. The project can be linked with national and local strategies related to climate change and environmental management. The project builds on existing activities. 6. The project conforms to existing legislation. In particular, there is no involvement or complicity in corruption.

- Specific criteria for the Credit Facility window include:
    - Align to BRD general lending criteria: a) company's organization, business strategy, ownership and governance structure, b) a feasibility study for the project (technical and financial) including its business plan; c) company past years financial performance, d) adequate technical capacity in the field of the project for which finance is being sought; e) capacity to manage the project; f) adequate market share to ensure a good turn-over level and project profitability.
    - Project must demonstrate potential for mobilizing private investment.
    - The RGIF Credit Facility may only provide up to 70% of a total deal size—therefore to reach financial close, the project must have a matching 30% (including equity, debt, or both) from other capital providers. BRD will work closely with commercial banks to structure transactions where commercial banks can participate and will report on its progress toward the goal of mobilizing co-investment. BRD may forgo the 70% matching requirement only in cases where commercial co-investment is anticipated on the back end of the project (e.g. a transaction especially targeting a refinance via a portfolio securitization whereby a co-financier provides take-out financing.
    - Project must provide bankable cash flow and financing projections through the expected maturity of the loan.

50. Eligible Sectors and Project Types

The eligible sectors for the RGIF program are based on priority sectors as identified in Rwanda's updated NDCs, as well as a project pipeline assessment conducted during the RGIF program design process, which consisted of an on-the-ground stakeholder consultation process, interviews and workshops, and desk review of available proposed business plans and feasibility studies of projects in key NDC-aligned sectors in Rwanda.

The NDC-aligned eligible sectors for the RGIF program are:

- Energy Sector
  - Projects that supply off-grid communities with renewable energy mini-grids, including for domestic or SME productive use, as an alternative to diesel, biomass or lack of electricity
  - Projects focused on biomass replacement through renewable energy technologies, including promotion of clean cooking technologies
  - On-grid renewable energy projects, including solar PV, small-scale hydro and wind projects

- Transport sector
  - Projects that promote the use of smart mobility technologies, including electric mobility (electric buses) and electric moto-taxis with reduced carbon footprint.

- Agriculture sector
  - Climate smart agriculture projects, including solar-powered efficient irrigation projects, and projects that increase resilience to climate impacts.

- Construction and industrial sectors
  - Development of green and resilient development projects, including energy efficiency, on-site renewable generation and climate resilience (e.g. flooding and landslide resilience) in residential and commercial building developments.
  - Development of climate-resilient construction materials,
  - Projects that deploy energy efficient technologies
  - Use of climate smart production practices (e.g. energy efficient measures) in industrial processes.

51. Environmental and Social Risk Categories:

World Bank/IFC guidelines define Environmental & Social Risk Category for projects (A, B or C), and these definitions are the same as those utilized by the Green Climate Fund and the RGIF. Only projects that fall under Category B or C are eligible for funding from the RGIF program. Category A projects are not eligible to receive funding from the RGIF. Please refer to annex 6 for more details.

52. Mitigation & Adaptation Eligibility Criteria for RGIF-funded Projects

- The climate change eligibility criteria for RGIF-funded projects limit eligibility to projects that have direct impact on climate change mitigation or adaptation. For RGIF-funded projects to be eligible for funding, they must be aligned with Rwanda's National Environment and Climate Change Policy, Rwanda's Nationally Determined Contributions (NDCs) and address the specific outcomes of the RGIF program.
- Green project types: projects must achieve a quantifiable climate mitigation or climate adaptation impact in one of the selected priority sectors: renewable energy and biomass energy reduction, climate smart agriculture/irrigation & water efficient systems, energy efficiency in buildings and clean transportation. The RGIF will target a minimum of 30% of programme investment in projects that are either adaptation or cross-cutting.
- Projects must have measurable outcomes with objectives aligned with RGIF's own Theory of Change on either climate change mitigation or adaptation.

Mitigation projects

Eligible RGIF-funded projects in the mitigation category include projects that reduce emissions through measures including increased low-emission energy access and power generation, use of energy efficient building practices or industrial processes and increased use of low-emission transportation.

All RGIF-funded projects are required to demonstrate and calculate a reasonable emissions “baseline” or counterfactual for the proposed project activity. This can include, for example, use of diesel or grid electricity with higher levels of GHG emissions compared to the proposed project, use of transportation technology, etc.

Adaptation projects

Eligible RGIF-funded projects in the adaptation category include Climate smart agriculture projects, including solar-powered efficient irrigation projects, and projects that increase resilience to climate impacts patriculaly on the prolonged effects of droughts in the long term as detailed in section B.1.These eligibility criteria are further detailed in the RGIF Operations Manual, annex 21.

53. RGIF Project Preparation Component executed by FONERWA

The Project Preparation component (PPF) of the RGIF is a dedicated unit with FONERWA, that provides reimbursable and non-reimbursable grants to support early-stage project development and potential direct funding to RGIF eligible projects. The purpose of the PPF is to help projects transition “from feasibility to bankability” and assist projects to secure commercial finance through the finance arm of the RGIF. With grant money often in limited supply, PPF funds are intended to provide “catalytic” funding at an early stage for transactions that may otherwise be too risky or complex to pursue. Project preparation grants are intended to support feasibility studies, technical studies, legal and contract support, business plan refinement, financial modeling and other activities that contribute toward a specific project’s viability. PPF support will prioritize early-stage, high-impact, innovative projects and businesses that have a high probability of successful completion based on developer track record and sound business plans. That is, PPF grants shall be aligned with the early-stage maturity of the targeted businesses, and the grants should be used to make these projects bankable.

The PPF itself will be a team within FONERWA Business Development Division, led by a Program Director with an experienced staff and budget in place to execute the mandate of the PPF, in coordination with the broader RGIF program. The PPF Team will be in charge of the overall leadership of the Unit, pipeline development and origination, project screening and appraisal as well as portfolio management. The detailed operating costs of the PPF team is described in the RGIF Budget in Annex 4 and expected to be funded by the GCF and by internal resources. The PPF team will comprise on a of:

- A PPF Program Director who will be responsible for the overall management and execution of the PPF activities within FONERWA. The Director will coordinate all RGIF/PPF activities at FONERWA with other relevant divisions including the executive office, investment committee, communication division and monitoring and evaluation division. The Director will also coordinate activities with external parties including the Credit Facility at BRD and the RGIF Steering Committee. He will report to FONERWA Executive Management as well as to the RGIF Steering Committee.
- An Outreach and Pipeline Specialist in charge of project screening, appraisal and pipeline development. The Specialist is a member of the RGIF Project Screening Unit alongside BRD staff and reports to the PPF Program Director. The Outreach and pipeline Specialist will handle the first initial customer relationship of the RGIF as well as all administrative tasks related to the PPF screening process.
- A Credit Risk & Collateral Specialist responsible for the overall risk management of the grant as collateral product. The Specialist leads on issues related to risk on the collateral support program, including initial due diligence, KYC and default risk. Develops and implements risk procedures for processing and administration of the collateral support product.

- A dedicated Impact Monitoring & Reporting Specialist responsible for the preparation of the reports to the Steering Committee that will be submitted to both AFDB and the GCF. He will report to the PPF Program Director as well as to FONERWA Head of Monitoring & Evaluation (M&E)
- A dedicated RGIF Gender consultant (working for both the PPF & the Credit Facility) will ensure that all the transactions are aligned with RGIF Gender policies and actions plan as described in annex 8.

Other FONERWA staff and consultants will be called to support RGIF implementation. This will include:

- Support on ESS to ensure that all the transactions are aligned with RGIF ESMS policies and actions plan as described in the annex 6.
- Support on procurement to execute all the RGIF procurement related activities as per the RGIF procurement plan in annex 10.

After succeeding the screening test, an eligible project will be reviewed and appraised by the PPF team before submission to FONERWA's investment committee for a final decision. The review process at the PPF will follow an efficient protocol and consist of a commercial viability analysis, assessment of climate change impacts, and risk assessment. Appraisal criteria will include (but not be limited to): projects that are economically feasible but unable to access commercial financing support; co-financing potential and or the ability to crowd in commercial funding with the support of the RGIF; climate change mitigation impact or adaptation goals, projects that are aligned with the GCF eligibility criteria, etc.

FONERWA's current investment committee will serve as the investment committee for all projects going through the PPF process. A designated BRD Credit executive will be invited to be part of the FONERWA investment committee decision regarding PPF projects. This integrated approach will ensure that a project which has received support from the PPF meets the eligibility criteria for further support from the Credit Facility.

Table B.4. 1: PPF Functions within FONERWA

FONERWA Division	**RGIF/PPF Functions**
Business Development Division with a full-time dedicated staff and supported by consultants	Acting as the RGIF project preparation unit with a Program Director in charge of the leadership, overall management and coordination with other FONERWA divisions regarding the PPF activities. The PPF Program Director will also be responsible for the overall reporting of RGIF activities to the Steering Committee, AFDB and the GCF, with dedicated ESS staff at FONERWA and BRD supporting on technical approach, data gathering, etc. Consultants or consultancy firms will also support the PPF. The firms/ consultants would provide measurable deliverables and would be compensated on that basis.
Investment Committee	FONERWA's current investment committee will serve as the investment committee for all projects going through the PPF process.

Monitoring, Evaluation & Reporting Division	Collect data and prepare quarterly progress reports which will be reviewed by the RGIF Steering Committee. The report to the RGIF Steering committee will be on a quarterly basis.
Communication Division	Provide appropriate communications to support pipeline development across the various priority sectors
Legal Division	Provide all necessary legal services to support operation of the PPF

BRD and FONERWA have coordinated closely on the design of PPF investment policies and the procedures manual to guide the PPF team toward projects and developers that have strong track records, solid business models, and high likelihood of being able to secure commercial financing from the RGIF Credit Facility and co-financiers. This close collaboration will continue, once a project starts the PPF application process, to help avoid unintended outcomes in which projects receive PPF grants but fail to reach financial close.

54. RGIF Credit Component executed by BRD

The Credit Facility of the RGIF will be executed by BRD and will offer specific lending products designed to serve the RGIF and address local market gaps while crowding in more private investments. It will offer direct lending to project developers across the country and the funds shall finance up to 70% of the eligible sub-project cost.

The Credit Facility will be supported by a dedicated and skilled staff operating under BRD Investment Division. The RGIF Credit Facility team will be represented by a Program Director in charge of the overall leadership, management of the facility and coordination of the Credit Facility activities both inside and outside the bank. The detailed operating costs of the Credit Facility team is described in the RGIF Budget in Annex 4 and expected to be funded by the GCF and and by internal resources . The RGIF Credit Facility team will comprise:

- A Program Director who will be responsible for the overall management and execution of the RGIF activities within BRD. The Director will coordinate all RGIF activities at BRD with other relevant divisions including the executive office, credit department, investment committee, strategy division, legal department and monitoring and evaluation division. The Director will also coordinate activities with external parties including the PPF at FONERWA and the RGIF Steering Committee. He or she will report to BRD executive management as well as to the RGIF Steering Committee.
- A Climate Finance Specialist, in the BRD investment Division, in charge of project screening and appraisal. The Climate Finance Specialist will be members of the RGIF Project Screening Unit alongside FONERWA staff and report to the Program Director. They will handle the first initial customer relationship of the RGIF as well as all administrative tasks related to the RGIF screening process.
- A Monitoring & Evaluation Specialist to be responsible of the preparation of the MRV reports to the Steering Committee, AFDB and the GCF. The Specialist will manage all aspects of MRV, creating quarterly and annual reports for the Steering Committee and tracking KPIs to inform program implementation. He or She will be responsible for data collection, compilation, analysis and presentation in regular monitoring deliverables to the RGIF Programme Steering Committee. They will also ensure that all project level data is of high quality, available in a timely manner and integrated into BRD's regular organizational M&E processes (e.g. MEL dashboard, reporting tools).
- A dedicated RGIF Gender Staff (working for both the Credit Facility & the PPF) will ensure that all the transactions are aligned with RGIF Gender policies and actions plan as described in annex 8.

Otherstaff and consultants will be called to support RGIF implementation. This will include:

- A Credit Risk Management Specialist to be responsible for the credit risk appraisal of RGIF transactions as per the BRD credit risk procedures in the RGIF Operations Manual. The Specialist will work closely with the RGIF full-time staff including the Program Director.
- Support on ESS to ensure that all the transactions are aligned with RGIF ESMS policies and actions plan as described in the annex 6.
- Support on procurement to execute all the RGIF procurement related activities as per the RGIF procurement plan in annex 10

Once a project passes the screening eligibility test, it will be reviewed and appraised by dedicated investment officers from BRD investment division. These investment officers will be responsible for project review, appraisal, and preparation for submission to the credit investment committee following BRD investments guidelines as well as credit procedures. In addition to the normal BRD appraisal process, the review will include specific RGIF investment criteria including inability to access to commercial finance, the ability to crowd-in/leverage private funding, and climate change mitigation impact or adaptation goals, etc.

BRD's investment committee will play the role of RGIF Credit Facility investment committee applying BRD credit procedures to RGIF project final credit decisions. It's worth noting that the RGIF operation manual is a combination of BRD current credit procedures updated to include specific RGIF pre-defined investment criteria including gender and climate impact, alignment to national climate policies, catalytic potential, paradigm shift potential, etc.

Table B.4.2: RGIF Credit Facility Functions within BRD

BRD Division/Department	**RGIF/Credit Facility Functions**
BRD Investment Division with a full-time dedicated staff and supported by consultants	Acting as the RGIF Credit Facility unit with a Program Director in charge of the leadership, overall management and coordination with other BRD divisions regarding the CF activities. The Credit Facility Program Director will also be responsible for the overall reporting of RGIF activities to the Steering Committee, AFDB and the GCF. Consultants or consultancy firms will also support the CF. The firms/ consultants would provide measurable deliverables and would be compensated on that basis.
Credit & other Risk Department	Provide credit and other risk assessment of RGIF projects based on the RGIF manual of procedures in compliance with GCF guidance. RGIF ESG Risk management policies and procedures as well as environmental and gender policies are derived from FONERWA strong policies and align to GCF guidance. They will be integrated to BRD as needed to ensure alignment with the RGIF mission and objectives.

Investment Committee	BRD's current investment committee will serve as the investment committee for all projects going through the RGIF process
Monitoring, Evaluation & Reporting Division	Collect data and prepare quarterly progress reports which will be submitted to the RGIF Steering Committee. An integrated monitoring & evaluation framework will be defined for the RGIF. Clear monitoring and reporting guidelines will be defined and integrated within each institution MRV frameworks to follow with specific KPIs to report to the Steering Committee. Those KPIs will focus specifically on metrics including green investment and private investment "leverage" as well as RGIF implementation efficiency. The report to the RGIF Steering committee will be on a quarterly basis.
Communication Division	Provide appropriate communications to support project pipeline development across the various priority sectors.
Legal Division	Provide all necessary legal services to support operation of the Credit Facility.

55. <u>Implementing Parties Overview</u>

- **AFDB as Accredited Entity**

The African Development Bank Group (AfDB) is the premier pan-African development institution promoting economic growth and social progress across the continent. It is composed of three institutions, namely 1). The African Development Bank (AfDB) which was established in 1964, 2). The African Development Fund (ADF) which was established in 1972 and 3) the Nigeria Trust Fund (NTF) which was established in 1976. Currently, there are 81 members - made up of 54 independent African countries (regional members) and 27 non-African countries (non-regional members).

The AfDB is currently focusing on five development priorities within the framework of its Ten-Year Strategy (2013–2022) aimed at promoting inclusive and green growth. The five development priorities are usually referred to as the "High 5s", and are (i) Light Up and Power Africa, (ii) Feed Africa, (iii) Industrialize Africa, (iv) Integrate Africa, and (v) Improve the Quality of Life for the People of Africa.

Before the GCF became operational in 2015, AfDB was already assisting Regional Member Countries (RMCs) to mobilize financial resources from international financing mechanisms such as the Global Environment Fund (GEF) and the Climate Investment Funds (CIFs). It is an implementing agency for several climate funds and manages other relevant financing instruments such as the Africa Water Facility (AWF), the ClimDev-Africa Special Fund (CDSF) the Sustainable Energy Fund for Africa (SEFA) and the Africa Climate Change Fund (ACCF). The AfDB has committed to having climate finance constitute 40% of approved operations and to double its commitment to climate finance to US$ 25 billion for 2020-2025.

AfDB is an Accredited Entity (AE) of the GCF and the Accreditation Master Agreement (AMA) between the two institutions is effective. The AfDB was accredited as an International Entity to handle large size (> $250 million) funded activities with High risk (Category A/I-1) Intermediation. As the new funding mechanism on the AfDB climate finance platform, the AfDB is supporting RMCs to mobilize GCF resources at scale towards the implementation of their NDCs. To date, AfDB has mobilized over $180 million from GCF for 5 funding proposals covering 13 RMCs in Africa.

The AfDB is well placed to serve as the Accredited Entity for the RCGIF. In addition, the AfDB is currently in a partnership with the Climate Investment Funds (CIF), to conduct a study on the creation of national climate change funds and Green Banks across 6 countries in Africa. AfDB understands that locally-based Green Banks are powerful tools to address market needs, understand local risk and drive private investment and can be paired with grant programs and strong enabling environments and policies.

The AfDB has a track record for establishing and/or capitalizing financial institutions. Examples are below:

- Facility for Energy Inclusion (FEI) is a $ 500 million Debt Fund with a focus on providing senior and mezzanine debt financing to small-scale renewable energy projects. It operates through 2 windows; 1. FEI Off-Grid Fund ("OGEF") - a $ 100 million fund to support innovative off-grid energy access companies through corporate loans, secured loans and securitized receivables transactions. The OGEF window provides 1-5-year debt for working capital, inventory, receivables and consumer finance. The AfDB allocated $10 million equity and $20 million debt for OGEF from the $100 million total approved for FEI. 2. FEI On-Grid fund window is a $ 400 million fund to support small-scale renewable energy IPPs, mini-grids and captive power projects. It provides long-term debt through project finance transactions. The AfDB allocated $40 m equity and $30 m debt for this window.
- Evolution II Fund is a second-generation closed-ended private equity (PE) fund. The fund has a target size of $ 250 million and the Bank provided equity investment of $ 20 million for the second close. Evolution II will invest in small and medium-sized projects in two key segments (i) clean and sustainable energy and (ii) resource efficiency. The average investment ticket will be between USD 10-25 million with an energy generation capacity of between 5-150 MW per project.

AfDB also played key roles in the establishment and capitalization of the African Renewable Energy Fund. The AfDB played the leading role in establishing the African Renewable Energy Fund (AREF) and providing $65 million as an anchor investment to mobilize additional investments from institutional investors to capitalize AREF. AREF is a joint initiative by the AfDB and the African Biofuel and Renewable Energy Company (ABREC) and includes investor groups such as West African Development Bank (BOAD), Ecowas Bank for Investment and Development (EBID), Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO) and Calvert Investments. It is being managed by Berkeley Energy Africa Limited (Berkeley Energy). AREF targets investments in grid-connected development stage renewable energy projects including small hydro, wind, geothermal, solar, biomass and waste gas between 5MW and 50 MW and a commitment per project of between US $10 million and US $30 million. It also has the capacity to source further funding from co-investors where necessary for a larger investment.

For recent single country financial instruments such as the RGIF, the AfDB provided the financial resources and support to capitalize the Ghana Incentive-Based Risk-Sharing System for Agricultural Lending (GIRSAL). GIRSAL is created to mobilize critical financing for activities in the agricultural sector that are usually perceived as risky by using credit guarantees to address the risk of default. Apart from the Credit Guarantee Scheme, it also has Agriculture Insurance Facility (AIF), Technical Assistance Facility and a Digital Finance Platform for comprehensive financial solutions to address risks and access to credit in the Ghanaian agricultural sector. GIRSAL is coordinated by a Secretariat with key national institutions such as the Ministry of Food and Agriculture, Ministry of Finance and the Bank of Ghana and is aligned with the Ghana Shared Growth and Development Agenda II. AfDB is also the Accredited entity for the AFAWA project approved by the GCF that complements the GIRSAL with gender and climate finance dimensions.

This project is consistent with the AfDB Country Strategy Paper 2017 – 2021 (CSP 2017-21) which is the strategic upstream document between GoR and AfDB for prioritizing interventions in the country within the 5 years implementation period. Building on the CSP 2012-16 which provided the strategic basis for AfDB's support for improving energy and transport infrastructure, promoting enterprise growth, the current CSP 2017-2021 has been designed to innovate and scale-up AfDB support to accelerate Rwanda's economic transformation towards realizing its ambition of becoming and sustaining its status as a middle-income country in Africa. The CSP 2017-2021 focuses greater attention on partnership arrangements between the GoR, the AfDB, the private sector, civil society and other Development Partners with a view to mobilizing co-financing and increasing private investment for financing transformative projects and programmes in the country. Financial operations and support for the country within the CSP 2017-2021 period is prioritized around two complementary pillars of (1) Investing in energy and water infrastructure to enable inclusive and green growth; and (2) Developing skills to promote high value-added economic activities and economic transformation. AfDB's active portfolio in the country is over $500 million ranging from financing for energy, transport and water infrastructure, human development, agriculture and financial sector.

56. <u>FONERWA Profile</u>

Established by the Government of Rwanda in 2012, FONERWA is a cross-sectoral financing mechanism that aims to mobilize financial resources to promote a Rwanda green economy. FONERWA invests largely through grants to support both in climate mitigation and adaptation projects from the public and the private sector in Rwanda. As a national basket fund, FONERWA is both an instrument to facilitate direct access to international environment and climate finance, as well as to streamline and rationalize external aid and domestic finance. Since its operationalization in 2013, FONERWA has successfully mobilized USD 188 million and supported 38 projects including the Gicumbi project fully funded by the Green Climate Fund. Other key impacts include:

- Contributed in protecting 21,964 ha from soil erosion
- Increased forest and agro forest coverage by 42,838 ha
- Protected 27,889 watersheds and water bodies
- Avoided 93,604 tons of CO_2eq emissions
- Supported 112,295 Rwandans in coping with the effects of climate change
- Created over 114,858 green jobs

As Rwanda has committed itself to an environmentally sustainable, climate resilient and green economy, the task however remains large; Rwanda is one of the most vulnerable countries to climate change. Extreme weather events, compounded by the country's topography, cause severe impacts like floods, landslides, soil erosion and droughts. This trend, likely to increase in frequency, poses a severe threat to food security, health and economic growth.

The recently updated NDC submitted in May 2020 has demonstrated Rwanda's great ambition and commitment towards climate action, with a committed emission reduction of 38% by 2030. This will need a total investment of USD 11 billion with USD 5.7 billion for mitigation and USD 5.3 billion for adaptation. A full engagement of the public and private sector along with the civil society will be paramount to achieving these ambitious targets.

FONERWA as the dedicated Rwanda green fund, plays a central role in this ecosystem and plans to support and empower the Rwanda private sector to develop and implement new green technologies. Hence the urgent need to implement the RGIF project preparation facility (PPF). Additionally, by implementing the RGIF PPF, FONERWA will leverage its past experience in providing grants as well as its current programs targeting the private sector such as the green incubation and acceleration programs. This demonstrated capacity to engage the Rwanda private sector on green issues will contribute to RGIF project pipeline development. Furthermore, there are many other benefits of using FONERWA as an implementing entity. These benefits include:

- As an established national climate fund, FONERWA has a strong mandate and government ownership. This will be critical to execute the PPF as a grant facility.
- FONERWA has a strong financial management and fiduciary capacity with operational processes and systems including FRIMS and Monitoring and Evaluation systems. Additionally, FONERWA is regularly audited, including by external auditors.
- FONERWA Staff has knowledge and experience of the Rwanda green sectors with various skills including safeguards staff (environment and social) and a team of international technical assistance consultants, funded by KfW, DFID and SIDA.
- FONERWA has a strong gender plan and its program are gender sensitive
- FONERWA has a strong focus on value for money, to maximize impact of funding and will leverage additional resources for climate change adaptation and mitigation starting domestically as previously done through funded projects (undertaken by implementing partners).

Furthermore, leveraging from its experience, FONERWA as a Executing Entity of RGIF PPF will also expand its capacity to deliver high quality projects, diversity its experience and enhance its ability to develop innovative solutions to address the local low carbon market gaps.

Finally, by relying on an existing strong organizational structure, the RGIF project will ensure a successful implementation while saving on operating costs.

57. <u>BRD Profile</u>

With over 52 years of existence, the Development Bank of Rwanda (BRD), with a total asset of approx. US$273 million[62] , offers short, medium and long-term investment loans to projects in the priority sectors of the Rwandan economy including the green economy. In its strategic plan (2018-2024), the BRD has an expanded and refocused mandate as a typical national development finance institution, and its strategic direction is appropriately aligned with the Rwanda National Strategy for Transformation (NST1) and the Sustainable Development Goals (SDGs).

BRD is a reputable financial institution with a demonstrated track-record and adequate management. Based on 2019 financial statements (unqualified opinion by the auditor), BRD has total assets of RWF 261.2bln FY19 and RWF 236.5bln FY18; equity of RWF 68.4bln FY19 and 63.6bln FY18; and Net income of RWF 1.2bln FY19 and RWF 0.16bln FY18; resulting in a RoA of 046% FY19 and 0.07% FY18, and RoE of 1.75% FY19 and 0.25% FY18.

BRD offers a variety of guarantee funds to cover the risks of prospective projects aligned with sustainable development. Several of these guarantee funds are channeled and managed by the Business Development Fund (BDF) while a few others are granted and managed by other international partners. BRD also provides leasing facilities to already existing clients with projects in the priority sectors. BRD invests in 7 Priority Sectors. These Include Agriculture, Education, Social Infrastructure, Renewable Energy, Export and Manufacturing, Housing and Digital Economy.

Furthermore, BRD offers advisory services and capacity building to its clients faced with challenges of limited skills in terms of compiling their business ideas into bankable business plans and management skills during and after project implementation.

[62] FRW `000: 262,206,204 (2019)

BRD has invested heavily in building robust systems and processes, has well motivated and experienced staff, and strong networks with retail banks in Rwanda as well as other development partners; this has been crucial for the Bank to attract and successfully coordinate the roll-out of the different funds and enable them to meet their objectives.

BRD has an extensive track record in management of other funds on behalf of key partners such as Ministry of Education (*Student Loans and Bursary Scheme*), the World Bank Group (*Renewable Energy Fund, Rwanda Housing Fund, and the Socio-Economic Inclusion of Refugees and Host Communities Project in Rwanda*), and KfW (*Export Growth Fund*), to mention but a few. The specialized fund management service enables BRD to provide direct lending and/or through on-lending to partner financial institutions (PFIs) including MFIs and Commercial Banks.

With this proven track record, BRD has been identified by FONERWA as the implementing partners for the Rwanda *Green* Investment Facility (RGIF) project particularly to support project preparation and project financing by using a blended approach to leverage private and public investments for an initial target of $50M.

BRD will manage the RGIF – Financing Facility (FF) by providing targeted financial products to green projects in *the* priority sectors to address local market gaps. The financing facility will have different financial products – such as direct debt (senior and subordinate)– to directly support commercially viable green projects (public and private).

In *managing* the RGIF credit facility, BRD will specifically undertake key activities including – project pipeline development, credit and risk analysis – and portfolio management (*mainly credit disbursements, repayments management, credit default management, investment monitoring, performance evaluation and reporting including green impacts reporting*).

B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

Explain why the project/programme requires GCF funding to address mitigation or adaptation measures, i.e. Why is the project/programme not currently being financed by public and/or private sector? Which market failure is being addressed with GCF funding? Are there any other domestic or international sources of financing?

Explain why the proposed financial instruments were selected in light of the proposed activities and the overall financing package. i.e. What is the coherence between activities financed by grants and those financed by reimbursable funds? How were co-financing amounts and prices determined? How does the concessionality of the GCF financing compare to that of the co-financing? If applicable, provide a short market read on the prevailing of the pricing and/or financial markets for similar projects/programmes.

Justify why the level of concessionality of the GCF financial instrument(s) is the minimum required to make the investment viable. Additionally, how does the financial structure and the proposed pricing fit with the concept of minimum concessionality? Who benefits from concessionality?

In your answer, please consider the risk sharing structure between the public and private sectors, the barriers to investment and the indebtedness of the recipient. Please reference relevant annexes, such as the feasibility study, economic analysis or financial analysis when appropriate.

58. <u>Market failures being addressed by GCF funding</u>

<u>Lack of current investment flows:</u> There are myriad reasons why the target green sectors are not being financed currently by the public and private financiers, including the following locally specific challenges and market failures:

<u>Risk perception and lack of track record</u>: Green sectors and green project developers in Rwanda generally have limited track records. This is in part due to the relatively small market, and previously limited opportunities for developers to complete a first round of initial projects and subsequently scale up. This is also due to previously unclear regulatory frameworks and enabling environments. New rules and regulations in Rwanda have been clarified in a number of key sectors, including increased

clarity on the land concession process for mini-grids, new PPP frameworks for solar irrigation, new green city master plans and building development frameworks, and new energy efficiency laws for commercial buildings.

High cost of capital, negatively affecting project economics: High risk perception, as well as prevailing high interest rates across the country, result in high cost of capital for green projects, or outright inability to access finance. Prevailing interest rates are high in Rwanda, especially for new sectors and technologies. Current lending rates form commercial banks for green projects are usually around 16+% and the GCF concessionality allows the lending rate to be reduced to 11.2% (see para.29) thereby providing more comfort to investors. Furthermore, high costs of capital have a disproportionately negative effect on green projects.[63] Higher cost of capital and shorter tenors make project-level economics challenging for the end-users/beneficiaries (e.g. higher cost of electricity required in order to be able to cover higher debt service requirements). Therefore, it is critical that GCF concessionality is used to enable projects that otherwise struggle to access finance, and to enable projects that have beneficial economics to end beneficiaries (individuals and businesses benefitting from the new green technology).

Small size of projects limits access to finance: non-utility-scale green projects are often “distributed” or “embedded”, and are small in size: for example, mini-grids, SWH, energy efficiency upgrades, irrigation PV and pumping equipment, etc. The small size of these projects makes them difficult to finance by the local commercial banks. Small and large projects can have similar loan processing and underwriting costs (i.e. staff review time) which incentivizes commercial banks to seek out large projects to maximize their revenue on a per-project basis.

Lack of equity capital: Rwanda’s green sector is small and nascent, with few well-financed international development companies operating in the smaller distributed green sectors such as energy efficiency, irrigation and non-utility scale energy, including PV and SWH. The local financial system is also small, meaning that local project developers can also struggle to raise sufficient equity capital. This lack of available equity constrains local project developers: capital that would go towards things like feasibility studies, environmental studies, engineering studies, site control and lease agreements, legal reviews and contract negotiation, etc. is often in short supply. This makes it more challenging for project developers to bring robust, well-structured projects to commercial banks to seek financing.

Constraints on sovereign borrowing: Rwanda’s debt to GDP ratio is constrained, due to high levels of debt obligations. Rwanda has invested heavily in its development in recent years, including in sectors such as large-scale construction, which has consumed a significant amount of sovereign debt. The Covid-19 economic crisis has further constrained Rwanda’s economic situation, with decreased tax revenues, and local industries (e.g. tourism, airlines and conventions/events) hit hard by the slowdown of international travel. These industries have required support during the economic crisis, which has further constrained Rwanda’s borrowing abilities. These constraints result in less availability of sovereign finance for green projects, and in particular for small distributed projects, or green projects in the private sector.

59. Availability of other international and domestic sources of capital:
GCF capital is the key “anchor” to the RGIF program design, and is critical to the RGIF capitalization. There is no other obvious alternative to GCF funding that has emerged to date. GCF capital brings a number of benefits to help address the market failures listed above. The key benefits that GCF capital brings are:

[63] “The role of capital costs in decarbonizing the electricity sector” *Environmental Research Letters* https://neon.energy/Hirth-Steckel-2016-Capital- Costs.pdf

- Affordable cost of funds: GCF's concessional capital will help bring down the cost of funds of the RGIF Credit Facility, providing a direct benefit to project developers, to project-level economics, and to end beneficiaries.
- Longer tenor better matched to project needs: GCF long-dated and patient capital is critical to the RGIF Credit Facility. Longer amortization will allow for more affordable project economics for end users, as up-front project costs can be amortized over a longer term.
- Grants to bridge gaps in equity and to support early-stage developers: GCF grants will be critical to offering "integrated" support to the market via the RGIF program. That is, projects will be able access grants financing to cover early-stage feasibility costs and support collateral requirements, thereby allowing them to then move on and seek financing from the Credit Facility and other financiers.
- Dedicated funding and mission: GCF's capital is the anchor to support the creation of this dedicated program to finance green projects. GCF support will provide seed funding to help launch the program. This type of dedicated program focused on funding across the project development cycle, and available to a suite of projects in the green sector is the first-of-its-kind in Rwanda. Having this dedicated and institutionally focused implementation arrangement will send a clear signal to market actors, and will help build dedicated sector expertise necessary to scale nascent green sectors in Rwanda.

The specific financial products (direct lending in both senior and subordinate position and grants to support feasibility stage and collateral support) were designed based on the specific constraints in the market, to avoid risk, lower the cost of funding, and increase access to finance, enabling more green projects to be developed.

60. The RGIF approach ensures cost-effectiveness and efficiency via an integrated approach designed to meet multiple needs – blended financing will be offered at a reasonable cost and a long tenor to support green projects. Rather than crowding out private and other public investment, the RGIF structure works specifically to crowd in commercial banks through direct co-investment. While operating under the principle of minimum concessionality, the GCF's concessional pricing is critical for the entire structure to work, as hedging costs will inevitably raise the all-in cost of financing to the projects. The concessionality of the program, supported by GCF funding, is designed to benefit end beneficiaries. The RGIF will report on and be judged by its ability to finance new projects that struggle to access finance, and its impact on target beneficiaries. The GCF's capital will be a key enabler of the market transformation, and as BRD learn from the experience implementing the RGIF Credit Facility, the green financing market will gain efficiency, track record, and lower risk perception.
61. Other sources of capital: GCF will help leverage other domestic and international sources of funding. Initial GCF funding will not only help launch the RGIF but will provide the necessary support for the RGIF to start and demonstrate its track record to attract additional funding in the 2nd phase of capitalization.
62. International capital: GCF funding is helping mobilize funding from the AfDB, SIDA, EIB, AFD, FCDO, RESPONSIBILITY (Danish International Development Agency) and NDF[64].
63. AfDB plans to provide USD 10 million in financing, via a sovereign loan in the 2nd tranche of capitalization once the GoR headroom is available. This will help scale-up RGIF Credit Facility support to the market. Furthermore, RGIF is expected to mobilize at least $10 million from Rwanda developing partners for the 2nd tranche depending on the outcome of ongoing discussions. This includes partners such as NDF with which the GoR has already engaged into RGIF capitalization discussions.

[64] Once RGIF is established, NDF intends to consider further support of the Facility and will evaluate its potential investment against NDF's strategic objectives as well as an assessment of the investment rational. Any NDF commitment is also subject to NDF Board approval.

64. Domestic capital: The RGIF, on the "green bank" model, is specifically designed to mobilize co-investment of commercial financiers at the project level. The RGIF's focus on green finance expertise and patient capital base will enable the Credit Facility to co-invest with local commercial banks in projects, either in a senior or subordinate position. The RGIF Credit Facility will help structure and underwrite projects directly, enabling commercial banks to ``piggyback" on project finance and provide co-financing. This can take the form of a direct co-investment, or RGIF organizing a debt syndicate whereby commercial co-investors supply co-finance to a project. The RGIF will also seek to directly engage international and domestic capital markets (e.g. RSSB, Rwanda's public pension fund). For example, the RGIF could work to provide bridge financing to finance a group or smaller projects, which can be bundled and refinanced by institutional investors, either via a private placement or securitization. The solar securitization framework has already been put forward in Rwanda via the CPI Climate Lab, and is a strong example of a financing approach that is standing ready to be supported using RGIF program funds.[65]

B.6. Exit strategy (max. 500 words, approximately 1 page)

Explain how the project/programme will successfully exit once implementation is completed, including how results and benefits will continue beyond the project/programme period and how the contribution to paradigm shift will be maintained.

Include information pertaining to the longer-term ownership, project/programme exit strategy, operations and maintenance of investments (e.g. key infrastructure, assets, contractual arrangements). In case of private sector, please describe the GCF's financial exit strategy through Initial Public Offerings, trade sales, etc.

Provide information on additional actions to be undertaken by public and private sector or civil society as part of the project/programme to ensure sustainability of the results attained.

65. The RGIF will be based on the Green Bank model and, as noted above, be structured as a blended debt facility in the form of a *self-sustaining* two-part initiative within FONERWA and BRD. The credit facility of the RGIF will be designed to be financially break-even and structured to complete repayment of GCF debt funding and the initial capitalization as provided by one or more Development Finance Institutions as per loan agreements where financial returns are sufficient to meet operating costs to cover expected portfolio losses.
To be a self-sustaining, long-lived catalytic financing operation, the credit facility of the RGIF will draw operating revenue from the following identified sources. See the integrated RGIF Financial Model for full detail on the points noted below:
- To initiate operations, the RGIF credit facility will request grant funding as detailed in the budget annex 4.
- The interest earned by the RGIF on its lending activity will be returned to funders at the loan rates determined in the term sheet.
- To sustain operations over time, the RGIF Credit Facility will cover its operating costs (overhead and risk premium) by adding a spread to the blended cost of the RGIF credit facility. The RGIF will not generate profit over and above covering operating expenses.

66. The Project Preparation Facility of the RGIF, which will provide grants for technical and feasibility studies and grants to support the bankability of market demonstration projects will require ongoing support from development partners to sustain operations and grant capacity. Grant funding sources will include the following:
- An initial grant from the GCF through this Funding Proposal for $12.79illion in 2 phases: $7.52 million for the initial phase 1 and $5.27 million on phase 2 during year 5. This grant from the GCF will be used to provide a mixture of non-reimbursable and reimbursable RGIF project grants through the PPF (and to cover PPF operating expenses as well as BRD operating expenses). Reimbursed grant

65 "Solar Securitization for Rwanda." *Climate Policy Intiative*.https://www.climatepolicyinitiative.org/wp-content/uploads/2020/07/Solar-Securitization-for-Rwanda_Instrument-overview.pdf

funds received by the PPF will be recycled to provide additional project support in subsequent rounds of activity by the RGIF.

- Grant funds from development partners will be secured to sustain the operations for the RGIF PPF and related grant programs for the 2 phases. Initial outreach is underway to the FCDO, Danish International Development Agency, and other development partners to support the launch of RGIF during phase 1. The viability of this model is based upon long-standing engagement of development partners in supporting sustainable development initiatives and green goals in Rwanda. The Government of Rwanda has a proven track record of securing this type of grant support for projects within the mandate of the RGIF. Subsequent support is expected to follow during phase 2 once RGIF has established its own track record.
- To initiate operations, the RGIF Project Preparation Facility will request grant funding to support operational costs as detailed in the budget annex 4. This budget supports the early years of operational expenses including one-time start-up period design and administration and legal costs, gender planning, financial product design, marketing and pipeline development support, monitoring reporting and verification, etc.
- To cover the costs incurred by AFDB in its role as the AE to supervise RGIF implementation (internal project management & monitoring, legal documentation, etc., a management fee of 4.2% of the total funds mobilized from the GCF (via the AE fee) .

67. The RGIF program is expected to create a lasting impact on the sectors it is targeting, by helping developers create track record of successful construction and deployment of green technologies and business models. Through the investment made by the RGIF, project developers will be able to better scale their businesses, thereby building their own capacity, and creating a portfolio of projects that have been financed by banks, and whose performance the banks can analyze in the future to better understand the market. Capacity building at the banks, coupled with real-world experience doing deals in the green sector, will create higher levels of experience and expertise in these sectors. As risk perception is generally higher with “new” sectors or technologies, this increased experience and track record will ultimately help lower risk perceptions and bring down the cost of borrowing that currently holds back projects or negatively affects project economics. That is, after the GCF funding has been spent and the GCF’s exits,” the RGIF will have a lasting effect on the market dynamics through demonstration effects. In addition, the RGIF is a program itself, which can grow and raise additional capital from other partners as it matures. That is, after the additional capacity and experience has been built at FONERWA and BRD, these institutions will be better equipped to raise additional capital from other sources beyond the GCF, and to provide the kind of private sector catalytic support that is needed to truly scale target green sectors in Rwanda.After demonstrating initial success, the RGIF will seek to grow its funding base and corresponding portfolio. Following the initial round of investments, it is also envisaged that commercial banks would become more familiar with the nature of the risks for these types of projects and be interested in participating in new subsequent innovative projects, with other financial instruments for adaptation and mitigation projects. In addition, the AfDB would like to raise the possibility of continued capitalization of the RGIF (and supporting DFIs) to support additional rounds of continued financing.

C. FINANCING INFORMATION

C.1. Total financing

(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)	Total amount		Currency	
	42,793,000		million USD ($)	
GCF financial instrument	**Amount**	**Tenor**	**Grace period**	**Pricing**
(i) Senior loans at Phase 1 (ii)Senior loans at Phase 2	10,000,0000 20,000,000	40 years 40 years	10 years 10years	0 %
(ii) Subordinated loans	Enter amount	Enter years	Enter years	Enter %
(iii) Equity	Enter amount			Enter % equity return
(iv) Guarantees	Enter amount	Enter years		
(v) Reimbursable grants at launch Reimbursable grants in Phase 2	2,285,716 1,714,284			
(vi) Grants at launch Grants in Phase 2	5,237,371 3,555,629			
(vii) Results-based payments	Enter amount			

(b) Co-financing information	Total amount			Currency		
	99,162,898			Options		
Name of institution	**Financial instrument**	**Amount**	**Currency**	**Tenor & grace**	**Pricing**	**Seniority**
African Development Bank	Senior Loans	10,000,000	million USD ($)	40 years 5 years	0,75%	Options
EIB	Senior Loans	20,000,000	million USD ($)	40 years Enter years	Enter%	Options
AFD	Senior Loans	20,000,000	million USD ($)			Options
Global Climate Patrnership Fund (responsAbility)	Senior Loans	15,000,000	million USD ($)	Enter years Enter years	Enter%	Options
FCDO	Grant	8,755,740	million USD ($)	Enter years Enter years	Enter%	
DANIDA	Grant	5,407,158	million USD ($)			
SIDA	Guarantee	20,000,000	million USD ($)			

(c) Total financing (c) = (a)+(b)	Amount	Currency
	141,955,898	million USD ($)
(d) Other financing	*Please also explain other contributions such as in-kind contributions including tax exemptions and contributions of assets.*	

arrangements and contributions (max. 250 words, approximately 0.5 page)	*Please also include parallel financing associated with this project or programme (refer to the co-financing policy).*

AE co-financing:

The Government of Rwanda as EE has submitted a request to the AE to use USD 10 million of the country's allocation for 2023/2024 as co-financing for the RGIF capitalization (i.e. AfDB co-financing). The current headroom constraint is due to other urgent commitments such as the need to fund critical COVID-19 response.

Co-financing:

a) Grant support from the FCDO and the Danish International Development Agency of USD 8,755,740 and USD 5,407,158 respectively in the first phase of the project implementation to cover support to project bankability and on operational costs throughout the project duration.

b) In terms of co-financing in Phase1 , it is expected that EIB (USD 20,000,000), AFD (USD 20,000,000) and Global Climate Partnership Fund (managed by responsibility) -USD 15,000,000) will be providing Loans to support the Credit Facility Portfolio throughout the project duration.

c) Advanced discussions are ongoing with SIDA for the provision of a Guarantee line of USD 20,000,000 in Phase1 to support the Credit Facility Portfolio

The summary of the capital inflows including co-financing is as follows[66]:

Capital Inflows including Co-finance			
Non-Reimbursable Funds for the PPF (including operations budget)	**First-Phase**	**Second Phase**	**Total**
GCF	7,524,000	5,269,000	**12,793,000**
Co-Finance			
FCDO	8,755,740	-	8,755,740
Danish International Development Agency	5,407,158	-	5,407,158
Total grants raised	**21,686,898**	**5,269,000**	**26,955,898**
Reimbursable Funds for the Credit Facility			
GCF	10,000,000	20,000,000	30,000,000
AFDB	-	10,000,000	10,000,000
EIB	20,000,000		20,000,000
AFD	20,000,000		20,000,000
Global Climate Partnership Fund (responsAbility)	15,000,000		15,000,000

[66] Please note that co-finaning from FCDO, DANIDA (both grants) and EIB, AFD, Global Climate Partnership Fund (credit facility)and SIDA (bank guarantee) will be available from year 1 and for the whole project duration.

Total loans raised	**65,000,000**	**30,000,000**	**95,000,000**
SIDA (Guarantee Line)	20,000,000	-	20,000,000
Total Loans and Bank Guarantees Raised	**85,000,000**	**30,000,000**	**115,000,000**
Grand Total	106,686,898	35,269,000	141,955,898

C.2. Financing by component

Please provide an estimate of the total cost per component and output as outlined in section B.3. above and disaggregate by source of financing. More than one co-financing institution can fund a single component or output. Provide the summarised cost estimates in the table below and the detailed budget plan as annex 4.

Component	**Output**	**Indicative cost** Options	**GCF financing**		**Co-financing**		
			Amount Options	**Financial Instrument**	**Amount** Options	**Financial Instrument**	**Name of Institutions**
1.Grants to improve bankability	Output 1: Increased number of green sector projects seeking finance	23,629,450	11,083,200	Grants and reimbursable grants including for operations costs	12,546,250	Grants including for operations costs	FCDO and DIDA
	Click here to enter text.	Enter amount	Enter amount	Choose an item.	Enter amount	Choose an item.	Click here to enter text.
2. Credit to provide debt finance and drive co-investment	Output 2: Increased number of green sector projects accessing finance	116,179,800	31,179,800	Senior loans & grants for operations costs	85,000,000	Senior loans & grants for operations costs	AfDB + EIB+AFD+ GCPF for loans and SIDA for guarantee
	Click here to enter text.	Enter amount	Enter amount	Choose an item.	Enter amount	Choose an item.	Click here to enter text.
3. Project Management	Output 3: RGIF Launch & Operationalization	2,146,648	530,000	Grants	1,616,648	Grants	FCDO and DANIDA
Indicative total cost (USD)		141,955,898	42,793,000		99,162,898		

This table should match the one presented in the term sheet and be consistent with information presented in other annexes including the detailed budget plan and implementation timetable.

In case of a multi-country/region programme, specify indicative requested GCF funding amount for each country in annex 17, if available.

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)	
C.3.1 Does GCF funding finance capacity building activities?	Yes ☒ No ☐
C.3.2. Does GCF funding finance technology development/transfer?	Yes ☐ No ☒

If the project/programme is expected to support capacity building and technology development/transfer, please provide a brief description of these activities and quantify the total requested GCF funding amount for these activities, to the extent possible.

68. Capacity building is key to ensure the sustainability of the outcomes to be achieved under the project. To ensure a successful implementation of the RGIF project BRD and FONERWA institutional capacity will need to be strengthened and budget provision is made under the Project components to ensure resources are allocated for capacity building and awareness. Under Component 1, resources are allocated for Technical assistance for capacity building, outreach to project developers regarding the PPF products:
    - Training of commercial banks relevant staff on the PPF products with the focus on the reimbursable grants provided as collateral to commercial banks financing of green projects in the priority sectors (Activity 1.3.2).
    - Training of project developers in RGIF priority sectors including women developers on how to access RGIF PPF program.(Activity 1.3.1 and Activity 3.1.5)

    In order to raise awareness for the RGIF program and ensure that project developers are aware of the RGIF program offerings a series of technical assistance trainings and outreach to market participants will be conducted. This will include performing a market awareness campaigns for project developers in priority sectors and performing capacity building to target groups regarding the reimbursable grants as collateral products. The Credit Facility, managed by BRD and the PPF managed by FONERWA will also benefit from this training and will work closely with project developers to help them understand the program eligibility requirements, as well as with local financiers on how they can work with BRD to structure deals and take advantage of credit enhancing financial products to specifically increase the ability of projects to access finance. In order to achieve maximum impact of the RGIF program, FONERWA and BRD will work to secure additional funding for the RGIF over time, to ensure its on-going operations and support provided to green sector project developers in Rwanda.

    Under Component 2, BRD will oversee capacity building activities for target financial institutions (commercial banks, microfinance, SACCOs, etc – Activity 2.1.2) as well as to its clients faced with challenges of limited skills in terms of compiling their business ideas into bankable business plans and management skills during and after project implementation. Increased capacity within these institutions will create higher levels of experience and expertise in the green funding

    Under Component 3, support is provided for the hiring of a Gender specialist who will provide advisory support and inputs on awareness and capacity building activities related to gender (Activity 3.1.5). The following support on capacity building and awareness is envisaged under Component 3:
    - Training of RGIF steering Committee on gender program specifics will be provided
    - Perform market awareness campaign for women led projects developers in RGIF priority sectors & women potential beneficiaries of RGIF programs and of the existence of a code of conduct related to SEAH
    - Make RGIF beneficiaries aware of the existence of a code of conduct related to SEAH and gender equal labour conditions among the selected companies

- Provide capacity building of women developers involved in RGIF priority sectors to increase their access to the RGIF programs including financial management and development of viable business plans
- Outreach workshops on the importance of a gender-mainstreamed approach for FONERWA and BRD including workshop on the importance to develop a gender-responsive institutional framework (e.g Environmental and Social Governance and gender-responsive Corporate Social Responsibility aspects, corporate gender strategy and gender action plan)

BRD and FONERWA will benefit from institutional capacity building (Activity 1.3.2) in green-sector project preparation and direct project financing. the RGIF programme will include strengthening the institutional capacity of the FONERWA and BRD to upgrade and become the co-executors of the RGIF and have the mandate, structure, functions, investment focus, financial instruments and systems, strategic and business plan, operational systems and manuals, required staffing and capacity for making catalytic green investments.

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's Initial Investment Framework.

D.1. Impact potential (max. 500 words, approximately 1 page)

Describe the potential of the project/programme to contribute to the achievement of the Fund's objectives and result areas. As applicable, describe the envisaged project/programme impact for mitigation and/or adaptation. Provide the impact for mitigation by elaborating on how the project/programme contributes to low-emission sustainable development pathways. Provide the impact for adaptation by elaborating on how the project/programme contributes to increased climate-resilient sustainable development. Calculations should be provided as an annex. This should be consistent with section E.2 reporting GCF's core indicators.

69. RGIF interventions will focus on projects in target sectors that mitigate or adapt to climate change while creating social impact and economic opportunities. The near-term focus sectors (described in Section B.1 and B.3) are climate smart agriculture, renewable energy green buildings and clean transportation. The exact portfolio mix will depend on numerous factors over the course of project implementation, including continuation of on-going regulatory enabling environments, quality of projects/developers submitted for financing, etc. For the purposes of the impact calculations here, it is assumed that the RGIF will allocate approximately 25% of its funds toward each of the four near-term priority sectors. The calculations are for the total program impact and include RGIF investment as well as assumption on co-investment (to arrive at total project value by sector). Details of the impact calculations and methodology can be found in Annex 22 (a & b).

70. *RGIF Renewable Energy Sector impact potential*
RGIF interventions in the renewable energy sector will focus on supporting the development of the off-grid market including mini grids, and small grid tied mini hydro. RGIF plans to bring down the cost of feasibility work through its project preparation window while also providing partial collateral support to help project developers access to the RGIF credit facility and other available local financing. These interventions in the near term are estimated to result in the installation of a total capacity of 15.15 MW from solar PV and hydro power sources. This will result in a total avoided CO2eq emissions of 881,085tCO2eq. Additionally, it is expected that RGIF interventions in the near and medium term in the Solar PV and hydro mini-grids markets, will lead to 305,423 households having direct access to electricity. This will also enable the reation of 14,486 direct job years created (of which 32% are women) by the lifetime of the RGIF project. (Please refer to the the annex 22b).

Table D.1.1: Expected Carbon Equivalent Emission Reduction by RGIF Activities in the renewable energy sector (by 2050, not including Solar Hot Waters impacts).

Metric	Solar PV Outcome	Hydro mini-grids Outcome
Total Capacity Installed (kW)	4970	10,180
Avoided CO2e emissions (tCO2e)	61,569	540,372
Households electrified	8,114	297,309
Total employment (job-years)	5,566	14,486
Total employment (job-years, female)	1,781	2,854

71. *RGIF Agriculture Sector impact potential*

Current portfolio projects in the agriculture sector include solar productive use of energy for agricultural purposes such as dryers, milling, as well as efficiency drip irrigation projects that aimed at strengthening resilience to droughts by investing in catchment rehabilitation and water infrastructure development (water harvesting and storage, marshland development to offer better flood protection/groundwater recharge, etc.) Other projects in the pipeline also involve switching from irrigation pumps powered by diesel to solar powered pumps, and the promotion of climate resilient seed varieties. RGIF interventions in the solar and efficient irrigation sector is expected to result in a tCO2eq emissions reduction of 44,553 tCO2eq from using solar power for irrigation. This assumes a total irrigated area of 12,425 for the next 25 years. Most of these projects aim to improve Rwanda's agricultural productivity by promoting efficient and sustainable use of water, land, labor and energy, including regions that have been deeply affected by climate change such as the Eastern region. It is worth noting that these projects do not involve deforestation but rather focus on already cultivated and cultivable land, primarily used by low-income and subsistence farmers or by cooperatives or businesses using diesel powered systems for irrigation. Additionally, RGIF interventions to scale-up projects with new irrigation techniques such as drip systems could help save around 9,247 ML per year for the next 25 years with the potential to create 4,757 direct jobs years of which 18.2% for women. In terms of beneficiaries, according to the 2020 Agricultural household Survey[67], the average household farm is 0.4 heactares with nearly 90% of households owning their land. Based from this it is estimated that 31,000 households will benefit from access to climate resilient agriculture. With an average household size in Rwanda being 4.5 and the with females representing 52.5% of the agricultural population,it is estimated that approximately 140,000 people will benefit from the RGIF support with 73,500 females and 66,500 males. It is assumed that the losses in production avoided through the use of climate smart agriculture can enable 2x mores people to improve their food security (indirect beneficiaries), i.e. 280,000 people.

Table D.1.2: Expected Carbon Equivalent Emission Reduction by RGIF Activities in the Agriculture sector (by 2050).

Metric	Outcome
Total Area Irrigated (ha)	12,425
Water savings from drip system (ML/year)	9,247
Annual fertilizer savings (kg)	78,810
Total reduction in CO2e emissions (tCO2e)	44,553
Total employment (job-years)	4,757
Total employment (job-years, female)	856

72. *Green Building Sector impact potential*

As the real estate sector has been a major driver for economic growth contributing more than 7% to the national GDP in the past, Rwanda has been promoting the development of green cities and more sustainable energy and water efficiency in buildings for its urbanization. RGIF interventions in this sector will focus on increasing the use of energy efficient alternative technologies as well as efficient equipment, onsite renewable electricity generation and water autonomy systems. Other potential RGIF interventions include waste management systems and other resiliency features to protect against floods and landslides. The expected impact is based on projects with current building plan

[67] https://www.statistics.gov.rw/file/11834/download?token=WTgsKLbz

assumptions that indicate a 50% reduction in emissions from the baseline, and a 50% reduction in embodied energy of building materials, from the baseline as well as grid emissions factors. Near term RGIF interventions could result in the production of at 621 dwellings with improved efficiency with a total reduction of emission estimated at 27,257 tCO2eq with a total of 11,635MWh of energy savings from the green buildings. Beyond emissions reduction benefits and water savings, RGIF interventions in the near term could lead to expand access to resilient housing and create 11,893 job years including 2,141 women job years.

Table D.1.3: Expected Carbon Equivalent Emission Reduction by RGIF Activities in the Green buildings sector (by 2050).

Metric	Outcomes
Dwellings with improved efficiency	621
Individuals with improved adaptive capacity from climate change	2,796
Avoided CO2e emissions (tCO2e)	27,257
Total employment (job-years)	11,893
Total employment (job-years, female)	2,141

73. *Clean Transport Sector impact potential*

Regarding clean transportation projects, the GoR's interest in replacing diesel 9m buses in Rwanda to electric technology could reduce carbon emissions by around 137,230 tCO2eq per year and the RGIF project pipeline targets conversion of 388 busses currently registered in Rwanda. Additional CO2 emissions reductions could be achieved by using solar electricity instead of the grid. Through the shift from diesel to electric busses, some 1220 jobs years will be created of which 98 are for women.

Table D.1.4: Expected Carbon Equivalent Emission Reduction by RGIF Activities in the Clean Transport Sector (by 2050).

Metric	Outcome
Total Vehicles Electrified	388
Liters of fuel offset	207,741,792
Net CO2e emissions avoided (tCO2e)	137,230
Total job years created	1,220
Female share of employment (job years)	98

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

Paradigm shift potential is defined as 'degree to which the proposed activity can catalyse impact beyond a one-off project or programme investment'. In this section, elaborate on the contribution to paradigm shift and how the proposed project/programme aims to contribute towards it based on the theory of change described in section B2(a). Also describe how and to what extent the project/programme will be able to promote or contribute to paradigm shift through the below.

- *Potential for scaling up and replication*
- *Potential for knowledge sharing and learning*
- *Contribution to the creation of an enabling environment*
- *Contribution to the regulatory framework and policies*

- *Overall contribution to climate-resilient development pathways consistent with relevant national climate change adaptation strategies and plans*

74. The RGIF will address market constraints, playing a catalytic role with a blended finance approach, to increase green and climate related investment as a key driver of Rwanda's sustainable development goals. The RGIF will be the first application of the Green Bank model in a central African nation and will offer a significant demonstration of a country-driven climate finance initiative with broad replicability across the region.

    To this end, the African Development Bank (the Accredited Entity underpinning the RGIF loan application to the GCF), is already exploring replication of this model in more than six additional African countries through their study on application of the Green Bank model in Africa (this study was conducted in partnership with the Climate Investment Funds). The six countries involved in this study include Tunisia, Ghana, Zambia, Uganda, Benin and Mozambique. Consequently, through this partnership, the RGIF has particular potential to support scaling of an innovative approach to climate finance across Africa and to encourage a paradigm shift to help achieve the high levels of private investment required to achieve Paris climate commitments.

    The RGIF will help build local green financial market capacity through innovation designed to spur new investment in the low carbon sector and allow more developers to access project finance. It will contribute to an improved investment environment by offering financial products such as debt, grants to help reduce collateral requirements, being a first mover/risk absorber for low-carbon markets with limited track record and high risks (real and perceived) related to technology, regulation, etc. As more projects are developed (and financed by the private sector) the RGIF will help create an improved environment for future project development.

    The RGIF program also has a high potential to operate at the leading edge of investment challenges in new sectors, applying market lessons in the initial target markets, to further scale-up and address other green sectors suffering from similar barriers. This is a common element in other international Green Bank programs which often demonstrate the profitability of low-carbon investments to accelerate market development across several sectors to improve the risk-return profile and attract new private investment.

D.3. Sustainable development (max. 500 words, approximately 1 page)

Describe the wider benefits and priorities of the project/programme in relation to the Sustainable Development Goals and provide the potential in terms of:

- *Environmental co-benefits*
- *Social co-benefits including health co-benefit*
- *Economic co-benefits*
- *Gender-sensitive development benefit*

75. RGIF objectives are aligned with Rwanda's development goals as well as the following United Nations Sustainable Development Goals (SDGs): goal 1. No Poverty – End poverty, in all forms, everywhere; goal 5. Gender Equality – Achieve gender equality and empower all women and girls; goal 7. Affordable and Clean Energy – Ensure access to affordable, reliable, sustainable and modern energy for all; goal 8. Industry Innovation and Infrastructure - Build resilient infrastructure, promote inclusive and sustainable industrialization and foster innovation; goal 11: Sustainable Cities and Communities - Make cities and human settlements inclusive, safe, resilient and sustainable; goal 13: Climate Action - Take urgent action to combat climate change and its impacts by regulating emissions and promoting developments in renewable energy; and goal 17: Partnerships for the Goals - Strengthen the means of implementation and revitalize the global partnership for sustainable development.

76. Through the provision of grant support and collateral support in project development, project bankability will be assessed thereby providing the comfort required to BRD to support project implementation through the credit line on projects focused on solar, hydro, green buildings, climate resilient agriculture and low carbon transport. Capacity building and awareness raising campaigns will also support ensuring that additional climate finance can be mobilised to ensure continuity post GCF intervention while the gender dimension will be streamline across all project activities.These outcomes will result in the ability of local project developers to grow their businesses and expand their offerings to end beneficiaries and customers, including agricultural cooperatives, villages in need of electricity, and urban dwellers in need of efficient and resilient housing stock. Beyond the climate benefits, growth in these industries will also have direct economic impact, contributing to more economic activity and increased output in key growth sectors, including agriculture, construction, and energy.

77. These RGIF investments are limited to projects that meet the sector requirements and eligibility requirements of the RGIF and will have the following outcomes: i) Increased number of small, medium and large low-emission power suppliers, ii) Lower energy intensity of buildings, cities, industries and appliances, iii) Improved agri production during droughts) Increased use of low-carbon transport and will also yield the following co-benefits: a) Strengthened institutional system for climate responsive planning. b) Increased access to climate finance for women led SMEs and businesses. c) Job creation in green economy.

78. More specifically, RGIF project is expected to deliver socio-economic and environmental benefits in various regions of Rwanda targeting a large spectrum of beneficiaries with a clear effort to impact women in particular. Targeted beneficiaries of the RGIF project fall into two categories:

- RGIF direct beneficiaries: Rwandan green businesses will gain increased access to affordable finance to scale-up their activities, enhance their ability to contribute to Rwanda's NDC targets, and gain experience working with local financial institutions. Green developers in Rwanda currently lack the financial resources to develop and expand their businesses, and the RGIF is designed to enable such businesses to grow and reach their potential to address the country's climate threats while also supporting low carbon economic growth. The RGIF is specifically designed to support investments in NDC priority sectors as well as sectors that are drivers of Rwanda's economic recovery and sustainable long-term growth. These sectors include agriculture, urbanization, energy and transport. RGIF direct beneficiaries also include local financial institutions which will build capacity and gain knowledge and experience specific to the green sector. BRD and FONERWA will also benefit from institutional capacity building in green-sector project preparation and direct project financing.

- RGIF Indirect beneficiaries A diverse array of participants across numerous sectors such as agriculture, green cities, rural households, business and industry and others will benefit from the activities of the RGIF. These benefits will be highly significant for those that are the most vulnerable due to the impacts of climate change through projects in the agriculture, energy and urbanization sectors. RGIF investments in these priority sectors will impact Rwanda in several ways:

  - Social benefits: The RGIF is expected to have an impact on more than 983,953 direct project beneficiaries. Supporting the development of mini-grids will provide electricity access to at least 983,952 families in rural areas. With an average of 5 people per family, 4,519,275 people will be impacted. Additionally, it is expected that at least 3,800people will benefit from the development of 1,964 green and resilient housing units through the Kigali Green City project.

  - Economic benefits: It is expected that projects financed through the RGIF will create at least 1,106,203 (from near term priority sectors) job years and fuel economic growth to support Rwanda's post Covid recovery. Two of the RGIF's priority sectors (green urbanization/construction and more efficient agriculture) are major drivers of Rwanda's GDP growth as highlighted in the national development plan (NST1). Urban construction has been one of the fastest growing sectors of the economy in recent years. The agriculture sector is the largest employer in Rwanda. Consequently, RGIF investments in green building construction and climate smart agriculture are forecast to have significant impacts on economic growth and jobs.

- Environmental benefits: The RGIF will only invest in projects that can achieve real emissions reductions while ensuring climate change resilience and minimizing indirect environmental impacts. Clear and specific eligibility criteria will be defined for the RGIF to serve these outcomes. On water conservation, for example, the amount of water saved per year will be calculated based on a specific methodology developed by the RGIF in coordination with REMA and other relevant parties. Investments in efficient water use is critical for Rwanda's climate resilience considering the increasing water demand (from various sectors). For example, one of the projects in the RGIF pipeline [68] estimates water savings of 20-50% from drip irrigation (depending on crop) as compared to baseline furrow sprinklers. These figures and flow rates result in estimations of 44,487ML water saved/year for efficient irrigation projects.

- Gender equality benefits: Women constitute 52%[69] of Rwanda's population with an even greater majority of women living in rural areas and working in the agriculture sector. RGIF will prioritize funding for women-led enterprises and companies that offer products or services that benefit the most to women, especially women who are the most vulnerable to climate change. The RGIF will place a specific focus on target sectors where gender equality is poorly addressed such as in climate smart agriculture, shift away from biomass for cooking, and rural energy access through mini-grids.
  Women are most likely the primary beneficiaries of projects in these priority sectors. Additionally, women-owned businesses in the RGIF pipeline have been identified and prioritized in the RGIF criteria and in the project pipeline development process. RGIF will target to have an investment portfolio of at least 30% of projects with a strong gender-responsive component.

D.4. Needs of recipient (max. 500 words, approximately 1 page)

Describe the scale and intensity of vulnerability of the country and beneficiary groups and elaborate how the project/programme addresses the issue (e.g. the level of exposure to climate risks for beneficiary country and groups, overall income level, etc.). Describe how the project/programme addresses the following needs:

- *Vulnerability of the country and/or specific vulnerable groups, including gender aspects (for adaptation only)*
- *Economic and social development level of the country and the affected population*
- *Absence of alternative sources of financing (e.g. fiscal or balance of payments gap that prevents government from addressing the needs of the country; and lack of depth and history in the local capital market)*
- *Need for strengthening institutions and implementation capacity*

79. Rwanda is a small, low-income country with significant needs in terms of economic development and is, according to the ND-GAIN Country Index[70], among the most vulnerable countries (rank 151) to climate change. The RGIF is well positioned to address both Rwanda's economic development and climate-related investment needs.
    The electricity and agriculture sectors, for example, are characterized by poor supply and poor productivity and they have a significant impact on the national economy. Approximately 70% of Rwandans lack access to electricity, with 88% lacking access in rural areas and 28% in urban areas.

[68] Source: Netafim, in partnership with NAEB, RAB, MOE, and RDB).

[69] EICV5_Main_Indicators report (National Statistics: www.statistics.gov.rw/publication/eicv-5-main-indicators-report-201617).

[70] https://gain.nd.edu/our-work/country-index/rankings/

Furthermore, 70% of the population works in agriculture with low incomes, and constitute the most vulnerable segment of the population given dependence on rainfall and climate variability. Severe climate-related effects in Rwanda's agriculture sector also pose a threat to food security according to the Government of Rwanda. Hence, there is an urgent need to improve productivity, protect from climate-related food shortages, and to connect rural communities to more diverse economic opportunities.

80. The RGIF projects pipeline focuses on serving these sectors which currently suffer from chronic under investment due to market barriers that impede investment in low-carbon, climate resilient development projects. These barriers include lack of developer track record, high perception of risk, high borrowing costs (negatively impacting project economics), high collateral requirements, and lack of early-stage risk capital to perform feasibility and proper project structuring to get to bankability. The lack of the financial market capacity to provide appropriate financing solutions for these projects have scaled back and deter private investments making the sectors even more unattractive.

Additionally, as the country is recovering from the global pandemic, the private sector will play an important role in spurring economic growth and supporting the country's development trajectory. Public investment, the main driver of Rwanda growth in the past, will not be sufficient to fully develop the critical green sector. Consequently, addressing the major constraints to private investments in general and with a specific focus on the green sector will be essential for Rwanda's susta RGIF investment support will help overcome these barriers, and provide appropriate financing to support these projects and scaling up low carbon markets in Rwanda. This will result in direct benefit impacts to recipients including increased access to clean energy, increased access to climate smart agriculture equipment, and increased access to housing that is energy efficient and climate resilient. (See previous sections for discussion of specific impacts).inable economic development.

RGIF investment support will help overcome these barriers, and provide appropriate financing to support these projects and scaling up low carbon markets in Rwanda. This will result in direct benefit impacts to recipients including increased access to clean energy, increased access to climate smart agriculture equipment, and increased access to housing that is energy efficient and climate resilient. (See previous sections for discussion of specific impacts).

D.5. Country ownership (max. 500 words, approximately 1 page)

Please describe how the beneficiary country takes ownership of and implements the funded project/programme. Describe the following:

- *Existing national climate strategy*
- *Existing GCF country programme*
- *Relevance to and alignment with existing policies such as Nationally Determined Contributions (NDCs), Nationally Appropriate Mitigation Actions (NAMAs), and National Adaptation Plans (NAPs)*
- *NDCs, NAMAs, and NAPs*
- *Capacity of Accredited Entities or Executing Entities to deliver*
- *Role of National Designated Authority*
- *Engagement with civil society organizations and other relevant stakeholders, including indigenous peoples, women and other vulnerable groups*
-

81. The RGIF project is an initiative from the Rwandan Ministry of Environment (MoE), the Rwanda Green Fund (FONERWA) and the Rwandan Development Bank (BRD), both institutions owned by the GoR, to mobilize resources to support the country achieve its NDC targets. The RGIF is being designed in partnership with the AfDB, supported by international development partners including UNDP, NDF AFD, EIB, SIDA, etc..

The project is being designed in coordination with Rwanda Environment Management Authority (REMA) and has secured a Letter of No Objection from REMA, the NDA to the GCF. FONERWA is a government special organ supervised by the MoE with the mandate to scale up climate finance in Rwanda. The RGIF is being designed to complement FONERWA's current grants program, and its existing "private sector facility strategy." The RGIF aims to catalyse private investments in Rwanda, with a unique and specific focus on finance, and unlocking and expanding private investment in the local green sectors.

The establishment of the RGIF is aligned to the Government of Rwanda (GoR) overall national planning objectives and development goals, including Rwanda NDCs and its national development plan, the National Strategy for Transformation (NST-1).

RGIF will support investment in sectors that are specifically targeted in NST-1 and NDC plans and address private sector investment demand in the green sector and stimulate green economic growth. For example, NST-1 calls for scaling up electricity generation and improving quality, affordability and reliability. It also calls for increased productivity and resilience in the agriculture sector (a major driver of Rwanda's economy.) This will require climate smart agriculture and efficient irrigation. The NST-1 calls for the acceleration of sustainable urbanization from 18.4% (2016/17) to 35% by 2024.[71] This will require urban housing that has access to reliable energy and is built in a climate resilience manner (which is a challenge in a naturally hilly country like Rwanda).

Many of these sectors are already significant drivers of Rwanda's GDP growth, and are poised to take an even more important role as national trends continue, such as: increasing urbanization, growing needs for higher agricultural productivity, growing energy needs from industry as "Made in Rwanda" initiatives proliferate, etc.

Other key stakeholders engaged during the design of the RGIF include project developers, commercial banks, the national development bank, the national pension funds (RSSB), the Sovereign Fund (Agaciro Development Fund), the Ministry of Finance (MINECOFIN), Rwanda Development Board (RDB), REG, Ministry of Infrastructure, the World Bank, etc.

D.6. Efficiency and effectiveness (max`. 500 words, approximately 1 page)

Describe how the financial structure is adequate and reasonable in order to achieve the proposal's objectives, including addressing existing bottlenecks and/or barriers, and providing the minimum concessionality to ensure the project is viable without crowding out private and other public investments. Refer to section B.5 on the justification of GCF funding requested as necessary.

[71] http://www.minecofin.gov.rw/fileadmin/user_upload/NST1_7YGP_Final.pdf

Please describe the efficiency and effectiveness of the proposed project/programme, taking into account the total financing and mitigation/ adaptation outcome the project/programme aims to achieve, and explain how this compares to an appropriate benchmark.

Please specify the expected economic rate of return based on a comparison of the scenarios with and without the project/programme.

IPlease specify the expected financial rate of return with and without the Fund's support to illustrate the need for GCF funding to illustrate overall cost effectiveness.

Please explain how best available technologies and practices have been considered and applied. If applicable, specify the innovations/modifications/adjustments that are made based on industry best practices.

82. Impact **Potential**

The climate and economic impact potential of the RGIF is significant and depends on the different priority sectors as illustrated below.

Table D.6.1: RGIF Overall Impact Potential

	CO2 Emissions reduction Expected	Number of jobs expected	Number of Women jobs expected
Renewable energy sector	540,372	14,486	4,635
Climate Smart Agriculture	44,553	4,757	856
Green Buildings	27,257	11,893	2,141
Clean Transport	314,249	1,169	94
Lifetime impact (25 years)	**926,432**	**32,304**	**7,726**

These summary impact metrics are based on the assumption that the RGIF will seek a proportionate distribution of resources across the near-term priority market sectors, but also be market-responsive and tailored to meet the actual needs and near-term project pipeline. The near-term focus sectors are climate smart agriculture, renewable energy green buildings and clean transportation. The exact portfolio mix will depend on numerous factors over the course of project implementation, including continuation of on-going regulatory enabling environments, quality of projects/developers submitted for financing, etc. It is assumed that the RGIF will allocate approximately 25% of its funds toward each of the four near-term priority sectors.

Table D.6.2: RGIF Overall Impact Potential -Summary

Portfolio summary metrics	**Total**
Total tCO2e avoided	926,432
Average annual tCO2e avoided	37,057
Cost of emissions avoided ($RGIF Invested/tCO2e)	$153
Cost of emissions avoided ($GCF Invested/tCO2e)	$46
Total employment (job-years)	32,304
Total employment (job-years, female)	7,726
Households electrified	305,423
Renewable electricity generation capacity deployed (kW)	15,150

83. Paradigm Shift

Globally, estimates of the investment required to achieve a low-carbon transition range from USD 1.6 trillion to USD 3.8 trillion annually between 2016 and 2050, for supply-side energy system investments alone (IPCC 2018), while the Global Commission on Adaptation (GCA 2019) estimates adaptation costs of USD 180 billion annually from 2020 to 2030. However, Climate finance flows reached a record high of only USD 612 billion in 2017, driven particularly by renewable energy capacity additions in China, the U.S., and India, as well as increased public commitments to land use and energy efficiency. This was followed by an 11% drop in 2018 to USD 546 billion[72].

The existing international climate finance system will not be able to fill this investment shortfall alone.[73] Not only does more public capital have to flow into climate investment, but that public capital has to achieve far greater leverage from the private sector. Given that the institutional and financial designs of most DFIs are appropriately designed to minimize risk-taking and maintain high credit ratings, changes of this magnitude and speed will be hard to achieve. The Green Bank/Climate Finance Facility model being demonstrated by the RGIF is specifically designed to provide specialized intermediation and risk mitigation mechanisms, and to offer tailored solutions to fill existing gaps in country-specific low carbon markets.

As noted above in Section D.2, the RGIF will be the first application of the Green Bank model in a central African nation and will offer a significant demonstration of a country-driven climate finance initiative with broad replicability across the region. The RGIF will demonstrate the Green Bank/Climate Finance Facility model which is designed to increase climate investment through using public funds to unlock and mobilize private climate investment both in Rwanda and more broadly. This will contribute to a paradigm shift in developing countries and among Development Financial Institutions. The demonstration effect of the RGIF will be magnified by the above-noted African Development Bank/ Climate Investment Funds project which is engaging more than six additional African countries in exploring the Green Bank / Climate Finance Facility model through their study on application of the Green Bank model in Africa. The six countries directly involved in this study with a view towards project development include Tunisia, Ghana, Zambia, Uganda, Benin and Mozambique. An in-person multi-country Green Bank workshop to advance projects in these countries is anticipated (post-Covid) in mid-2021, hosted by Kenya.

84. Sustainable Development

As noted in Section D.3 (below), the RGIF is specifically positioned to support Rwanda's sustainable development, job growth and economic recovery from the impact of Covid-19 through the re-building of green development sectors such as agriculture, renewable energy, transport, etc. and an overall interface with Rwanda's national plans and sustainable development goals. Indeed, agriculture and urban construction – two primary focus areas of the RGIF – are two of the most important drivers of Rwanda's GDP. Investing in these sectors will place sustainable development at the center of Rwanda's GDP growth recovery through creation of more jobs and a more resilient and sustainable society.

85. Needs of Recipients

[72] Climate Policy Initiative

[73] According to the IEA methodology, the "Current Policy" scenario already accounts for these commitments. Under this assumption, the annual gap between the Current Pathway and the Meet NDC scenario is $364 billion. So even in the most favorable case, this collective pledge only fills 12.6% of the gap between Current and NDC scenarios or only 4.2% of the gap between the Current and Two Degree scenarios.

In addressing the unprecedented challenges created by Covid-19, the RGIF will play a critical role in progressing from near-term emergency aid relief to longer term efforts to build resiliency and re-grow Rwanda's developing economy. The role of catalytic, innovative finance capacity to support critical infrastructure and social investment will be absolutely essential. As the world deploys existing public funds to meet urgent needs in the near term, catalyzing investment and mobilizing public and private resources will become critical in the stage that is to follow.

In terms of specific needs within Rwanda, as a landlocked country and an economy still dependent on rainfed agriculture for both subsistence and exports, the country is highly vulnerable to climate change both in terms of mitigation and adaptation. Cyclical droughts, periodic floods due to intense rainfalls, seasonal temperature shifts (with an average temperature increase of 1.4°C[74] for the last 50 years) and landslides have become increasingly common[75] and extremely difficult to manage with serious consequences for agriculture, health and livelihoods (high soil erosion rates, increased livestock vulnerability to diseases, shifting agro-climatic zones, development of new pests and diseases, etc.) Overall, the cost of climate change to Rwanda's economy is estimated to be in excess of USD 3 billion USD by 2030. Rwanda could lose over 1% of its GDP each year due to climate related losses by 2030. The RGIF will directly finance measures designed to reduce this economic burden and enable Rwanda's economy to minimize climate impacts and grow and thrive.

To tackle this challenge, the country has set ambitious climate and development goals to achieve low-carbon emission while creating economic social impact and job creation. In energy, for example, Rwanda's NDCs target the production of 71.7MW of renewable energy through small hydro power plants and 120MWp solar and hydro mini-grids for rural communities by 2030 with $895.5M total investment needed. However, current investment trajectories show a shortfall of investment to meet these goals, particularly from the private sector. The low carbon-sector in particular faced a substantial investment gap to drive any significant economic growth. Structural challenges and barriers remain regarding national green investments: high upfront capital needs to develop key projects, high financing costs, small-scale and distributed projects unable to secure financing, limited green finance experience, and existing local financing capacity too small to meet Rwanda's investment needs to address climate change challenges.

86. Country ownership

The RGIF is a partnership initiative of the Rwanda Ministry of Environment executed by FONERWA, the nation's Green Fund, alongside the Development Bank of Rwanda (BRD). As such it is an entirely country-driven and country-owned initiative. The RGIF has been developed with the additional support of the Rwanda office of the UNDP and the Nordic Development Fund. The RGIF is fully aligned with the Government of Rwanda's overall national planning objectives and development goals, and is designed to address private sector investment demand in the green sector, stimulate green economic growth while supporting the implementation of the country's national climate plans.

87. Efficiency & Effectiveness

As indicated through the description provided in this section, the RGIF offers an effective and efficient approach to scaling up private climate investment in Rwanda by working with two existing and well positioned institutions (FONERWA and BRD). In terms of efficiency, the RGIF's institutional framework will intentionally build on the capacity of these two central existing institutions to create new and essential climate finance tools, expertise and programmatic capability to support national climate goals. This is an inherently efficient approach utilizing existing resources and institutions vs creating these anew. In terms of effectiveness, the RGIF will build on the established track record of FONERWA in

[74] Rwanda NDC detailed implementation plan, 2017

[75] Rwanda Water & Forestation Authority Interview & PST4 Rwanda Agriculture Strategic Plan 2018-2024

supporting and expanding the green sector and the established financing capacity of Rwanda's national Development Bank.

E. LOGICAL FRAMEWORK

*This section refers to the project/programme's logical framework in accordance with the **GCF's Integrated Results Management Framework** to which the project/programme contributes as a whole, including in respect of any co-financing.*

E.1. Project/Programme Focus

Please indicate whether this proposal is for a mitigation or adaptation project/programme. For cross-cutting proposals, select both.

☒ Reduced emissions (mitigation)

☒ Increased resilience (adaptation)

E.2. GCF Impact level: Paradigm shift potential (max 600 words, approximately 1-2 pages)

This section of the logical framework is meant to help a project/programme monitor and assess how it contributes to the paradigm shift described in section D.2 above by applying three assessment dimensions - scale, replicability, and sustainability.

Accordingly, for each assessment dimension (see the definition per assessment in the accompanying guidance note), describe the current state (baseline) and the potential scenario (target) and rate the current state (baseline) by using the three-point-scale rating (low, medium, and high) provided in the guidance note. Also describe how the project/programme will contribute to that shift/ transformation under respective assessment dimensions (scale, replicability and sustainability). In doing so, please refer to section B.2(a) (theory of change).

Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
Scale	Rwanda low market structural challenges include small-scale and distributed projects unable to secure financing locally. The lack of equity capital for nascent developers looking to scale up has been a barrier for	<u>Low</u>	The RGIF has the mandate to scale up climate finance and increase private investments in low-carbon and climate-resilient projects[76]. The RGIF will directly providing financing solutions to projects that can achieve scale and impact while also attracting co-investment from the local financial market. Investing in projects with a great potential to scale up will help support RGIF program	*Describe key applicable outputs and or resulting outcomes relevant to increasing (scaling up) quantifiable results within the scope of the intervention.* RGIF aims to scale and contribute to the project outcomes including: - Increased number of small, medium and large low-emission power suppliers

[76] OECD (2016) "Green Investment Banks: Scaling up Private Investment in Low-carbon, Climate-resilient Infrastructure." http://www.oecd.org/ environment/cc/green-investmentbanks-9789264245129-en.htm

	growth, project development and green investments.		sustainability. Additionally, further funding in 2025 will be dedicated to scale up RGIF market outreach. This will will help build a dedicated sector expertise necessary to scale nascent green sectors in Rwanda. At least 40% of the total portfolio for both the PPF and the CF will be dedicated to scalable projects.	- Increased Energy Efficiency of buildings, cities, industries and appliances - Increased use of low-carbon transport, etc As well as the following outputs: - Increased number of green sector projects seeking finance - Increased numbers of loans/finance to green sector projects - Increased level of investment from commercial banks and institutional
Replicability	The RGIF will be the first application of the Green Bank/Climate Finance Facility model in a central African nation with the mission to address markets constraints and increase green investments. The current baseline in Africa having been implemented by DBSA. Rwanda low carbon markets as well as those of several regions in Africa have limited finance access both domestically and internationally. This challenge spans across most of the priority	<u>Medium</u>	The RGIF will address market constraints, playing a catalytic role with a blended finance approach, to increase green and climate related investment as a key driver of Rwanda's sustainable development goals. This will offer a significant demonstration of a country-driven climate finance initiative with broad replicability across the region. It will contribute to a paradigm shift in developing countries and among Development Financial Institutions. Furthermore the demonstration effect of the RGIF will be magnified by the African Development Bank/ Climate Investment Funds project which is engaging more than six additional African countries in exploring the Green Bank / Climate Finance Facility model through their study on application of the Green Bank model in Africa.	*Describe key applicable outputs and resulting outcomes that will be replicated to other sectors, markets, geographical regions, or countries.* RGIF implementation will expand both institutions green finance capacity and result to the following outcome or output: - Strengthened institutional and regulatory systems for climate-responsive planning and development (Long-term sustainability of the RGIF, including sustained efforts to support viable green sectors projects) - Increased level of investment from commercial banks and institutional investors as the RGIF demonstrate its ability to be sustainable.

	sectors except renewable energies.			
Sustainability	The RGIF implementation will be the first initiative of its kind in Rwanda so there is no baseline available. It faces the risk that it will be unable to generate sufficient revenues, to support its operating expenses and ensure its sustainability in the future.	High	The RGIF is structured as a blended debt facility in the form of a self-sustaining two-part initiative within FONERWA and BRD. It builds on both BRD and FONERWA existing success and track record to ensure a successful implementation and sustainability. The RGIF Credit Facility is based on an integrated financial model that provides returns to the facility to ensure its sustainability. Furthermore, the PPF will provide 40% of its grant funding, as 'reimbursable grants' to project developers. This will allow for the return and recycling of grant funds and ensure the program sustainability. Finally, the financial model and business plan is structured to generate sufficient revenues through management fees on loans to support the operating expenses of the RGIF.	*Describe key applicable outputs and resulting outcomes that will be sustained beyond the project/programme period.* RGIF implementation will expand both institutions green finance capacity and result to the following outcome or output: - Strengthened institutional and regulatory systems for climate-responsive planning and development (Long-term sustainability of the RGIF, including sustained efforts to support viable green sectors projects) - Increased level of investment from commercial banks and institutional investors as the RGIF demonstrate its ability to be sustainable.

E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)						
Select appropriate IRMF core and supplementary indicators to monitor project/programme progress. More than one IRMF (core and or supplementary) indicators may be selected as applicable for each GCF results area and project/programme outcome (as defined in the table in section B.2(b)). If IRMF indicators are unable to measure any given project/programme outcomes, project/programme-specific indicators should be developed under section E.5 (project/programme specific indicators).						
GCF Result Area	**IRMF Indicator**	**Means of Verification (MoV)**	**Baseline**	**Target**		**Assumptions / Note**
				Mid-term	**Final**[77]	
All mitigation result areas	Core 1: GHG emissions reduced, avoided or removed/sequestered	Through yearly monitoring (Via APR) mid term evaluation and terminal evaluation. Appropriate methology to be used as per assumptions of each result areas	*0*	*52,152 tCO2*	222,426 tCO2 at end of program 926,432 tCO2 at end of lifetime	*Based on estimation of GHG emissions using CDM methodologie*
MRA1 Energy generation and access	Core 1: GHG emissions reduced, avoided or removed/sequestered	Project monitoring and completion reports, competed by FONERWA and BRD (for review by AfDB) audited by independent	0	*23,312 tCO2*	95,383 tCO2 at end of program 584,925 tCO2 at end of lifetime	*Externalities and factors outside project management's control that may impact the outcomes* *Data sources and methodologies applied for estimating baseline and targets* RGIF model is a first of its kind program in Rwanda, so baselines on a similar facility are not available.

[77] The final target means the target at the end of project/programme implementation period. However, for core indicator 1 (GHG emission reduction), please also provide the target value at the end of the total lifespan period which is defined as the maximum number of years over which the impacts of the investment are expected to be effective.

		third-party verifier on a yearly basis Regular reporting from RGIF team, reported to AfDB to GCF as agreed in the AMA				Per attached Annex 22a, assumption of 25% of annual RGIF mobilized investment directed toward clean energy projects. The methodology used to compute the GHG emissions is the AMS-I.L-Electrification of rural communities using renewable energy (version 04)
MRA1 Energy generation and access	Supplementary 1.3: Installed renewable energy capacity	Project monitoring and completion reports, competed by FONERWA and BRD (for review by AfDB) audited by independent third-party verifier Regular reporting from RGIF team, reported to AfDB to GCF as agreed in the AMA	0	5.19 MW of PV and mini hydro installed (1.7 MW of PV off grid and 3.49 MW of hydro)	15.15 MW of PV and mini hydro installed (4.98MW of PV off gridand 10.18 MW of hydro)	The pipeline of project is indicative and subject to the actual bankability of the projects soliciting funding, the final installed capacity might differ
MRA1 Energy generation and access	Supplementary 1.4: Renewable energy generated	Project monitoring and completion reports, competed by FONERWA and BRD (for review by AfDB) audited yearly by independent third-party verifier	0	18,932 MWh (584MWh of PV off grid and 18,932 MWh of hydro)	55,220 MWh (1,704MWh of PV off grid and 53,516 MWh of hydro)	The pipeline of project is indicative and subject to the actual bankability of the projects soliciting funding, the final installed capacity might differ

		Regular reporting from RGIF team, reported to AfDB to GCF as agreed in the AMA				
MRA2 Low-emission transport	Core 1: GHG emissions reduced, avoided or removed/sequestered	Project monitoring and completion reports, competed by FONERWA and BRD (for review by AfDB) audited yearly by independent third-party verifier Regular reporting from RGIF team, reported to AfDB to GCF as agreed in the AMA	0	27,755tCo2	122,598 tCO2 at end of program 314,249 tCO2 at end of lifetime	Per attached impact model, assumption of 25% of RGIF mobilized financing directed toward clean transport projects. See model for full list of assumptions The methodology used to compute the GHG emissions is the AMS-III.C.: Emission reductions by electric and hybrid vehicles, Version 16.
MRA2 Low-emission transport	Supplementary 1.5 Improved low-emission vehicle fuel economy	Project monitoring and completion reports, competed by FONERWA and BRD (for review by AfDB) audited yearly by independent third-party verifier Regular reporting from RGIF team, reported to AfDB to GCF as agreed in the AMA	0	0.2.1L/Km	0.63L/Km	Per attached impact model, assumption of 25% of RGIF mobilized financing directed toward clean transport projects. See model for full list of assumptions The methodology used to compute the GHG emissions is the AMS-III.C.: Emission reductions by electric and hybrid vehicles, Version 16.

MRA3 Buildings, cities, industries and appliances	Core 1: GHG emissions reduced, avoided or removed/sequestered	Project monitoring and completion reports, competed by FONERWA and BRD (for review by AfDB) audited yearly by independent third-party verifier Regular reporting from RGIF team, reported to AfDB to GCF as agreed in the AMA	0	1,086 tCo2	4,445 t CO2e at end of program 27,257 tCO2 at end of lifetime	RGIF model is a first of its kind program in Rwanda, so baselines on a similar facility are not available. Per attached impact model, assumption of 25% of RGIF mobilized financing directed towards green buildings The EDGE APP (edgebuildings.com) has been used to compute the GHG emissions
MRA3 Buildings, cities, industries and appliances	Supplementary 1.1: Annual energy savings	Project monitoring and completion reports, competed by FONERWA and BRD (for review by AfDB) audited yearly by independent third-party verifier Regular reporting from RGIF team, reported to AfDB to GCF as agreed in the AMA	0	2,844 MWh	11,635 MWh	RGIF model is a first of its kind program in Rwanda, so baselines on a similar facility are not available. Per attached impact model, assumption of 25% of RGIF mobilized financing directed towards green buildings The EDGE APP (edgebuildings.com) has been used to compute the GHG emissions
ARA2 Health, well-being, food and water security	Core 2: Direct and indirect beneficiaries reached	Project monitoring and completion reports, competed by FONERWA and BRD	0	40,000 direct beneficiaries of which 21,000	140,000 direct beneficiaries of which 73,500	Per attached impact model, assumption of 25% of RGIF mobilized financing directed toward climate smart

		(for review by AfDB) audited yearly by independent third-party verifier Regular reporting from RGIF team, reported to AfDB to GCF as agreed in the AMA		females and 19,000 males 80,000 indirect beneficiaries of which 42,000 females and 38,000 males	females and 66,500 males 280,000 indirect beneficiaries of which 147,000 females and 133,000 males	agriculture projects. See model for full list of assumptions The number of direct beneficiaries is based on the assumption that all the beneficiaries will be agricultural households with 1 household occupying 0.4 ha and consisting of 4.5 occupants with 53% being female (please refer to para 71 for the detailed estimation of the number of beneficiaries) It is assumed that the losses in production avoided through the use of climate smart agriculture can enable 2x mores people to improve their food security (indirect beneficiaries)
<u>ARA2 Health, well-being, food and water security</u>	<u>Supplementary 2.1: Beneficiaries (female/male) adopting improved and/or new climate-resilient livelihood options</u>	Project monitoring and completion reports, competed by FONERWA and BRD (for review by AfDB) audited yearly by independent third-party verifier	0	40,000 direct beneficiaries of which 21,000 females and 19,000 males 80,000 indirect beneficiaries of which 42,000	140,000 direct beneficiaries of which 73,500 females and 66,500 males 280,000 indirect beneficiaries of	Per attached impact model, assumption of 25% of RGIF mobilized financing directed toward climate smart agriculture projects. See model for full list of assumptions

		Regular reporting from RGIF team, reported to AfDB to GCF as agreed in the AMA		females and 38,000 males	which 147,000 females and 133,000 males	The number of direct beneficiaries is based on the assumption that all the beneficiaries will be agricultural households with 1 household occupying 0.4 ha and consisting of 4.5 occupants with 53% being female

E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)					
Select at least two relevant IRMF core (enabling environment) indicators to monitor and elaborate the baseline context and project/programme's targeted outcome against the respective indicators. Rate the current state (baseline) vis-à-vis the target scenario and select the geographical scope of the outcome to be assessed. Describe how the project/programme will contribute towards the target scenario. Refer to a case example in the accompanying guidance to complete this section.					
Core Indicator	**Baseline context (description)**	**Rating for current state (baseline)**	**Target scenario (description)**	**How the project will contribute**	**Coverage**
Core Indicator 5: Degree to which GCF investments contribute to strengthening institutional and regulatory frameworks for low emission climate-resilient development pathways in a country-driven manner	While RGIF and FONERWA have a track record of implementing climate projects, their capacity needs to be strengthened to cope with an increasing demand and higher complexity projects.The increasing need for climate finance coupled with the variety of funding mechanisms available means that BRD and FONERWA need to further build their capacity to be able to leverage blended finance and properly assess the bankability of climate projects before providing credit facility to developers.	low	The expected outcome an increase in the climate finance leveraged and managed by the two institutions with a corresponding increase in bankable projects being submitted for approval thereby contributing to assist the country in its NDC goals	The RGIF's institutional framework will intentionally build on the capacity of these two central existing institutions to create new and essential climate finance tools, expertise and programmatic capability to support national climate goals. This expertise will be extended to the rest of the market as commercials banks will co-finance green projects.	National level (one country)
Core indicator 7: Degree to which GCF Investments contribute	There are constaints to increase climate	low	The RGIF will help build local green financial	The RGIF will contribute to an improved	National level (one country)

<u>to market development/transformation at the sectoral, local, or national level</u>	investments across several sectors and to improve the risk-return profile and attract new private investment due to lack of capacity to formulate new financial tools. MSMEs and project developers also face challenges in accessing climate finance which sometimes come with high collateral requirement.		market capacity through innovation designed to spur new investment in the low carbon sector and allow more developers to access project finance. It plans to invest 25% of initial capital in each of the four near-term target sectors. The exact portfolio mix will depend on numerous factors over the course of project implementation, including continuation of on-going regulatory enabling environments, quality of projects/developers submitted for financing, etc. It will contribute to an improved investment environment by offering financial products such as debt, grants to help reduce collateral requirements, being a first mover/risk absorber for low-carbon markets with limited track record and high risks (real and perceived) related to technology, regulation, etc. This will result in more project	investment environment by offering financial products such as debt, grants to help reduce collateral requirements, being a first mover/risk absorber for low-carbon markets with limited track record and high risks (real and perceived) related to technology, regulation, etc. This will result in more project development. As more projects are developed and financed by the private sector the RGIF will help create an improved environment that will help accelerate market development.	

			development. As more projects are developed and financed by the private sector the RGIF will help create an improved environment that will help accelerate market development.		
Core indicator 8: Degree to which GCF investments contribute to effective knowledge generation and learning processes, and use of good practices, methodologies and standards	There is a lack of experience in green sector and lack of knowledge on climate finance within the various development sectors resulting from capacity gaps to understand and properly de-risk climate projects. As such, financial institutions tend to lend with high interest rates	low	BRD and FONERWA will benefit from institutional capacity building in green-sector project preparation and direct project financing. the RGIF programme will include strengthening the institutional capacity of the FONERWA and BRD to upgrade and become the co-executors of the RGIF and have the mandate, structure, functions, investment focus, financial instruments and systems, strategic and business plan, operational systems and manuals, required staffing and capacity for making catalytic green investments.	RGIF indirect beneficiaries include local financial institutions which will build capacity and gain knowledge and experience specific to the green sector as they co-finance projects alongside the RGIF. The initial phases will act as blueprint for other project developers and through lessons learnt, general understanding of climate finance will increase, leading in higher demand for such financial products. Finally, RGIF programme will also enhance Rwanda's capacity to mobilize green investments and upgrade local capacity to provide green finance	National level (one country)

				and support national green development.	

E.5. Project/programme specific indicators (project outcomes and outputs)						
*This section should list out project/programme-specific performance indicators (outcomes and outputs) that are not covered in sections above (E.1-E.4). List down tailored indicators to monitor /track progress against relevant project/programme results (outcomes/outputs). AEs have the freedom to decide against which outcomes they would like to set project/programme specific indicators. If any co-benefits are identified in sections B.2(a)(b), and D.3, AEs are encouraged to add and monitor co-benefit indicators under the "**Project/programme co-benefit indicators**" section in table below. Add rows as needed.* *Please number each outcome and output as shown below to indicate association of outputs to the contributing outcome. The numbering for outputs under this section should correspond to the output numbering in annex 4 (detailed budget plan).*						
Project/programme results (outcomes/ outputs)	**Project/programme specific Indicator**	**Means of Verification (MoV)**	**Baseline**	**Target**		**Assumptions / Note**
				Mid-term	**Final**	
		Sources of information and methods used to collect and report data/information to measure progress against targets	*The starting point or current value of the indicators before the implementation of the project*	*The estimated value of the indicator at the mid-point of the implementation*	*The estimated value of the indicator at the completion of the implementation*	*Externalities and factors outside project management's control that may impact on the Component* *Data sources and methodologies applied for estimating baseline and targets*
Outcome 1 1. Reduced GHG emissions through the electrification of households electrified by renewable energy	Number of households having access to clean RE	Project monitoring and completion reports	0	100,000	305,423	Based on review of commissioning reports certifying the number of connections made to connect households to RE sources. It is assumed that developers will not have any issues connecting the households to the RE systems

Outcome 2 Reduced GHG emissions in buildings through energy efficiency measures.	Number of low carbon households constructed	Project monitoring and completion reports	0	213	621	Based on review of project completion reports of energy efficient household submitted by the promoter. It is assumed that the construction will not face delays.
Outcome 3 Increased climate change resilience of small producers/farmers and MSMEs	hectares of land irrigated	Project monitoring and completion reports	0	4,000ha	12,425ha	Based on review of project completion reports submitted by installers of drip irrigation system confirming the area under cultivation being connected to drip irrigation systems
Outcome 4 Reduced GHG emissions in the transport sector	Number of electric busses and ebikes on the road	Project monitoring and completion reports	0	213 buses 600 ebikes	372 buses 1050 ebikes	Based on review of project completion reports on the number of electic busses delivered for urban transport. It is assumed that the charging infrastructure will be also available for the ebusses
Output 1 Number of green sector projects seeking finance increased	Amount of funding invested in supporting project development through either grant or collateral support covering the four GCF results areas equally.	Quarterly monitoring reports tracking expenditure	0	10.5m	18.4m	Assuming the grant support is capped at USD100,000 and the collateral support capped at USD 300,000 and the co-financing from FCDO and DANIDA is made available throughout the project duration

Output 2 Number of green sector projects accessing finance increased	Amount of debt funding made available to project developers covering the four GCF results areas equally	Quarterly monitoring reports tracking expenditure	0	41.4m	95m	Assuming that the maximum ticket size us USD10m and that the co-financing from EIB, AfDB, AFD and GCPF is available throughout the duration of the project.
Output 3 RGIF launched and operationalised	Number of outreach sessions aimed at project developers in RGIF priority sectors to increase awareness on the availability of RGIF support	Reporting to Steering Committee including overall project progress and status of outreach activities	0	8	14	Market outreach & communication plan is available from the first year and 2 outreach activities are conducted annually with a focus on gender
Project/programme co-benefit indicators						
Co- Benefit 1: Increased access to climate finance for women led SMEs and businesses	Percentage of women benefitting from RGIF	Training reports and Project monitoring and completion reports	30% of PPF beneficiaries women led SMEs and businesses 10% of CF beneficiaries are women led SMEs and businesses	40% of PPF beneficiaries women led SMEs and businesses 15% of CF beneficiaries are women led SMEs and businesses	60% of PPF beneficiaries women led SMEs and businesses 30% of CF beneficiaries are women led SMEs and businesses	Gender component is streamlined in the project design and implementation at all stages and disaggregated data is collected in the quarterly and annual reporting to track percentage of investment benefitting from RGIF resources.
Co- Benefit 2: Job creation in green economy	Number of green jobs years created	Project monitoring and completion reports	0	10,000	32,355	Estimation will be based on governmental sources e.g. Rwanda National Labour Force Survey Thematic Report, the National Institute of Statistics of Rwanda or

						other sources including ILO, IRENA (for % employment per MW per technology)
Co- Benefit 3: Water saved and less use of fertilizer	Volume of water and quantity amount of fertlizers reduced	Project monitoring and completion reports	0	25,000 ML of water saved 200,000 kg of fertilizers saved	65,000 ML of water saved 551,670 kg of fertilizers saved	Estimation of volume saved to be conducted based on FAO estimates of water use for different types of agriculture or from surveys farmers to assess reduction in water use and savings on fertlisers used

E.6. Project/programme activities and deliverables			
All project activities should be listed here with a description and sub-activities. Significant deliverables should be reflected in annex 5 implementation timetable. Add rows as needed. Please number the activities as shown below to indicate association of activities to the related outputs provided above in section E.5. Similarly, please number sub-activities as shown below to associate to the related activity.			
Activities	**Description**	**Sub-activities**	**Deliverables**
1.1. Activity 1.1. Grants to support project bankability (60% of the PPF portfolio)	In response to the lack of perceived "bankability" of projects, and lack equity capital for nascent developers looking to scale up, the PPF will offer grants early-stage project activities to move projects from feasibility to bankability, including paying for project-level technical studies and environmental studies, securing permits and lease agreements, financial modeling and legal contract development, etc. To implement this, the PPF, managed by FONERWA, will issue an RFP for projects applying for PPF support to bring selected projects to feasibility and bankability work across all RGIF-eligible sectors.	**1.1.1** Design and lauching of RFP process to support development of project pipeline including selection process for consultants and review of project submissions for eligibility criteria and awards of grant support. **1.1.2** Monitor pipeline of projects **1.1.3** Disburse grants to support project bankability (60% of Portfolio) **1.1.4** Preparation of impact reports for streering committee and donors	**1.1.1** Finalised RFPs for development support to pipeline. Development of necessary tools, checklists, guidelines, PF standards, screening tools, underwriting process **1.1.2** Monitoring reports on pipeline projects **1.1.3** Monitoring reports on grant disbursement **1.1.4** Impact reports delivered to SC
1.2. Activity 1.2 Reimbursable grants (40% of the PPF portfolio) to provide partial collateral support	In response to the high collateral requirements placed on projects by banks, the PPF will offer reimbursable grants to serve as partial collateral support for projects that are seeking loans from BRD or other financiers with collateral requirements. The PPF will provide only partial collateral support (capped at 50% of the project needs) and will be in a "second position" to	**1.2.1:** Conduct all necessary legal & administrative requirement to launch a reimbursable product including tracking and recovering mechanism **1.2.2:** Issue RFP for projects that meet RGIF eligibility criteria across priority sectors for collateral support and review of project submissions for eligibility and award of partial collateral support	**1.2.1:** Strategy report for reimbursable product **1.2.2:** RFP for projects eligible for collateral support launched. . Development of necessary tools, checklists, guidelines, PF standards, screening tools, underwriting process **1.2.3:** Monitoring reports on status of collateral

	ensure that local developers have sufficient skin in the game.	**1.2.3:** Manage and monitor collateral support (repayments follow-ups) including project control & monitoring **1.2.4:** Disburse Collateral grants (40% of GCF portfolio) **1.2.5:** Evaluate and report projects impact to the Steering Committee	**1.2.4:** Disbursement reports **1.2.5:** Evaluation reports
1.3. Activity 1.3 Technical assistance for capacity building, outreach to developers on RGIF offerings and establishing partnerships	In order to raise awareness for the RGIF program and ensure that project developers are aware of the RGIF program offerings, FONERWA will conduct a series of technical assistance trainings and outreach to market participants. This will include performing a market awareness campaigns for project developers in priority sectors and performing capacity building to target groups regarding the reimbursable grants as collateral products. The Credit Facility, managed by BRD and the PPF managed by FONERWA will also benefit from this training and will work closely with project developers to help them understand the program eligibility requirements, as well as with local financiers on how they can work with BRD to structure deals and take advantage of credit enhancing financial products to specifically increase the ability of projects to access finance. In order to achieve maximum impact of the RGIF program, FONERWA and BRD will	**1.3.1:** Perform market awareness campaign for projects developers in priority sectors - PPF **1.3.2**: Perform capacity building for FONERWA and BRD and for targets groups regarding the reimbursable grants as collateral product **1.3.3:** Establish partnerships with key development partners and donors for fund mobilization for Phase 2	**1.3.1:** Activity reports on awareness campaigns **1.3.2**: Capacity builing reports **1.3.3:** Signed partnership reports

	work to secure additional funding for the RGIF over time, to ensure its on-going operations and support provided to green sector project developers in Rwanda. This activity will also enable both institutions to establish partnerships with key development partners and donors.		
2.1. Activity 2.1: Direct lending to project developers	BRD will offer direct lending to projects, working with commercial financiers (equity sponsors and banks) as co-financiers. In this way, the RGIF will be able to offer direct lending products and provide needed support to projects, for example through offering technical underwriting capacity and deal arrangement, as well as direct credit support in the form of lending with commercial co-financiers in a senior position (for projects with limited track record and higher perception of risk). This direct lending modality with co-financiers will further enable co-financiers to gain “hands on” experience financing projects in new sectors and under new regulatory regimes.	**2.1.1:** Launch Request for Proposal (RFP) process to support development of a robust project pipeline for the Credit Facility and review of RFP responses and project selection across priority sectors (investment due diligence, etc); **2.1.2:** Perform capacity building and market awareness campaign for target financial institutions (commercial banks, microfinance, SACCOs, etc) **2.1.3:** Manage and monitor project loans (include loan repayments follow-ups, project control, monitoring and reporting, etc) **2.1.4:** Disburse credit to selected projects. BRD will offer direct lending to projects in the senior position, with a target minimum of 30% of non RGIF funding in the deal, by working with sponsors/developers and co-financiers to structure projects that utilize RGIF financing but are able to access sufficient co-investment. With this product, BRD will make direct	**2.1.1:** RFP document for project pipeline of CF. Development of necessary tools, checklists, guidelines, PF standards, screening tools, underwriting process **2.1.2:** Capacity Assessment reports **2.1.3:** Loan Monitoring reports **2.1.4:** Statements confirming lending **2.1.5:** Reports on Bank guarantee **2.1.6:** Evaluation report for loans

		investments and originate syndications with local banks to finance specific green projects (mitigation & adaptation) in priority sectors offering longer tenor with grace period with commercial banks providing short term or medium-term tranche **2.1.5:** Issue Bank Guarantees (from SIDA) to selected projects **2.1.6:** Evaluate and report loan portfolio to the Steering Committee	
3.1. Activity 3.1 RGIF launch and Operationalisation	The two arms of the RGIF will work in tandem to expand financing capacity designed to fill local market gaps, attract public and private funding, while supporting national green growth objectives. Successful implementation of the RGIF Program is dependent on strong oversight, staffing and operational activities.	**3.1.1:** Finalize all relevant administrative and internal documentation (credit procedures development, term sheet template, MRV dashboard, bank accounts, etc) **3.1.2:** RGIF product final design - Credit Facility and Project Preparation Facility **3.1.3:** RGIF operational expenses (supported by FCDO and DANIDA) **3.1.4:** Project Management and Oversight **3.1.5:** Develop market outreach & communication plan -Credit Facility & PPF (including a gender chapter) **3.1.6:** Manage RGIF branding and communicate on RGIF initial impact	**3.1.1:** Finalised admin and internal documentation (credit procedures development, term sheet template, MRV dashboard, bank accounts, etc) **3.1.2:** RGIF product final design document **3.1.3:** Operational expenses **3.1.4:** Staffing costs **3.1.5:** Communication plan for Credit Facility & PPF (including a gender chapter) and workshop reports **3.1.7:** Website and social media presence

		(include RGIF website and online activities)	

E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)

Besides the arrangements (e.g. annual performance reports) laid out in Accreditation Master Agreement (AMA), please give a summary of the project/programme specific arrangements for monitoring, reporting and evaluation including a description of the monitoring and reporting system that will be used to assess the climate results of the proposed activity. Please also summarize the types of interim and final evaluations. Describe Accredited Entity (AE) project reporting relationships, including to the National Designated Authority (NDA)/Focal Point and between AE and Executing Entity (EE) as relevant, identifying reporting obligations from the EE to the AE. This should relate to the frequency of reporting on project indicators, implementation challenges and financial status. Please note that interim and final evaluations are expected to embed an assessment of project/programme's contributions to a paradigm shift and enabling environment using a three-point scale rating. Refer to the guidance note for the summary requirements and factor in additional evaluation /assessment activities under this section accordingly.

88. **In** its role as AE, the AfDB will oversee and supervise the implementation of this project in accordance with the agreement signed between AfDB and the GCF and as detailed in the implementation arrangements and in accordance with the GCF's evaluation criteria as per the GCF Evaluation Policy.

89. M&E plan

The project includes monitoring and evaluation systems to track progress towards the planned outcomes over the project duration. A monitoring and Evaluation Plan (the M&EPlan) has been prepared for the project – Annex 11. AfDB will will require adherence with the M&E Plan and the relevant monitoring and evaluation systems described in this Funding Proposal as per the implementation arrangements outlied in section B.4

90. Primary Responsibility for Monitoring & Evaluation

The primary responsibility for day-to-day data collection, project monitoring, and implementation of monitoring and evaluation processes will rest will FONERWA and BRD and will be conducted with the resources provided under the relevant activities in Components 1-3 and will report to the RGIF steering Committee and donors including the development of necessary MRV tools. The implementation and monitoring of each stage of the project will be guided and managed by a defined RGIF M&E Framework based on both FONERWA's and BRD's M&E systems as well as in line with the GCF's Evaluation Policy. It will also include a clear additive focus on climate mitigation and adaptation impact.

FONERWA's M&E unit will be responsible for the monitoring, reporting and evaluation of all PPF projects following the M&E policies and procedures as described in the RGIF operations manual. The BRD Strategy Department (in charge of BRD M&E) will be responsible for the monitoring and reporting of all projects supported by the RGIF Credit Facility. In this capacity, BRD will collect data and reports from project developers and assess progress towards the RGIF's expected outcomes. Reports will be provided to the RGIF Steering Committee quarterly. In addition to field visits and interviews with final beneficiaries to be conducted by BRD and FONERWA, projects that received RGIF investment support are expected to submit yearly action plans and regular progress reports on a quarterly basis to both BRD and FONERWA. Achievement of RGIF project objectives will be measured through specific indicators for each window of project support (PPF or/and the Credit Facility), and project types (priority sectors) as detailed in the RGIF manual of procedures (please see Annex 21). These indicators will comply with GCF policies and guidance, include climate mitigation and adaptation metrics in line with the results areas in the FP, and indicate private

investment leverage. BRD and FONERWA will also apply standard management tools such as work plans to monitor progress and financial reporting, as well as action plans for gender, stakeholder engagement, and environmental and social safeguards. In terms of the tracking of the mitigation and adaptation benefits, the relevant CDM methodologies used for the results areas are to be applied as detailed in Annex22a, 22b and 22c of the Funding Proposal. Any third party monitoring project impact will be required to use this approach.
In terms of reporting, there will be a two-line reporting procedure. First, project feedback to AfDB from the Project Management Unit and Steering Committee, and the AfDB will conduct a annual supervision. Secondly, reporting of AfDB to GCF will comply with the relevant GCF policies (as specified under the AMA) in reporting and evaluation arrangements for this framework. The AfDB will provide the annual performance report (APR) to the GCF during the five-year implementation period. In addition, following the arrangement under the AMA and the FAA, inception report, mid-term and final evaluation reports, and financial information reports (semi-annually throughout the life of the loan) will be submitted.

In addition to quarterly reports, the M&E teams at FONERWA and BRD will conduct biannual impact reviews of both the PPF and the Credit Facility to submit to the RGIF Steering Committee. The bi-annual reviews will identify challenges in implementation, delays, and risks and recommend actions to be taken to ensure successful implementation of the RGIF. The respective BRD and FONERWA M&E Teams will conduct regular supervision missions including an annual review of portfolios of projects, assessments of project progress against initial target and expected impact. Additionally, they will monitor the performance of the portfolio with regard to interest service, principal repayment, disbursements, or grants repayments (as the PPF will offer reimbursable grants) etc.

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91. <u>Periodic Reports to AE</u>
The MnE teams in BRD and FONERWA will support the development and submission an Annual Performance Report (APR) to the AfDB, by January 31 each year of implementation, consolidating information from all project progress, including a narrative report on implementation progress based on the logical framework submitted in this Funding Proposal and considerations on the ongoing performance of the project against the GCF’s investment framework criteria. This narrative report will include updates on the indicators described in the GCF’s Results Management Framework, and a report on safeguards,that includes updates on any specific grievances recived, including any SEAH-specific grievances; gender; and co-benefits indicators.
The Technical Executing Entities (BRD and FONERWA) will also be required to support the AfDB in any new reporting requirements put forward by GCF during the project implementation phase. BRD and FONERWA will also be required to submit to the AE quarterly financial reports that consolidate all financial information in view of reporting to GCF.

92. <u>AfDB support in Monitoring and Evaluation</u>
AfDB will provide support in the launcing of the project (inception workshop and will provde necessary support for the overall implementation Start-up. Yearly supervision missions will be conducted including briefing and discussing with operational focal points on project progress and will duly provide a copy of all reports submitted to GCF to the NDA and Government partners.
AfDB will arrange and contract for independent interim and final evaluations that will be conducted at end of Phase1 (year 4) and at the end of year 7. AfDB will, in collaboration with the BRD, FONERWA and MINECOFIN, prepare a formal management response to the findings of the independent evaluations, and will provide the evaluation reports and the management response to the GCF.
The interim evaluation will take place at the mid-point of project implementation starting mid year 4 around the end of Phase 1. This mid-term evaluation will evaluate progress towards the achievement

of outcomes and will suggest corrective actions if needed. The findings of the interim evaluation and responses in the management response will be incorporated as recommendations for enhanced implementation during the second half of the project.

The final evaluation will be submitted six months after the project's completion date. It will aim at identifying project outcomes, their sustainability, and future actions needed to assure continuity of these outcomes.

Within three months of the project's completion date, BRD and FONERWA will prepare the Project Completion Report for the AE's review and revision, and AfDB will submit the final report to the GCF.

Table E.7.1: RGIF Monitoring Plan

Data/Source	Collection Tool	Frequency	Indicator
Inception Workshop	Focus groups	One time project inception	Notes of Meeting of inception workshop including key points of review of FP and proposed recommendations for implementation
Monitoring of pipeline of project in PPF v/s indicators in project result framework	Document review	Quarterly	Report on disbursement and alignment with gcf result area (including mitigation and adaptation result measurement)w, Project impacts and progress of project pipeline and ensuring that gender, E&S, financial terms , etc. are aligned with donor requirements
Monitoring of collateral support (repayment follow ups)	Document review	Quarterly	Report on status of use of collateral support including alignment of project with donor requirements

Monitoring of credit disbursement to selected projects for all four results areas (see annex 11)	Document review	Quarterly	Report on status of loans vs gcf result area, Project impacts and progress of project pipeline and ensuring that gender, E&S, financial terms , etc. are aligned with donor requirements
Reporting to Steering Committee	Document review	Bi-annual	Report analyzing progress in the delivery of RGIF outputs, financial implementation and identifying corrective actions and reporting of invested projects

F. RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

Please describe financial, technical, operational, macroeconomic/political, money laundering/terrorist financing (ML/TF), sanctions, prohibited practices, and other risks that might prevent the project/programme objectives from being achieved. Also describe the proposed risk mitigation measures. Insert additional rows if necessary.

For probability: High has significant probability, Medium has moderate probability, Low has negligible probability

For impact: High has significant impact, Medium has moderate impact, Low has negligible impact

Prohibited practices include abuse, conflict of interest, corruption, retaliation against whistleblowers or witnesses, as well as fraudulent, coercive, collusive, and obstructive practices

1/ RGIF facility-level risk mitigation measures:

Selected Risk Factor 1 RGIF Performance Risk – facility level

Category	Probability	Impact
Technical and operational	Low	Low

Description

Please describe the risk to the best of your knowledge at this point in time.

Risk: Risks associated with the financial performance and capacity to execute transactions within the RGIF. For the RGIF, Performance Risk is defined as the risk that the facility as a whole and/or the component parts will not deliver on its mandate and outcomes as intended.

Mitigation Measure(s)

Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?

The Credit Facility of the RGIF will be located within BRD, with dedicated and skilled staff operating under BRD investment division. The Credit Facility of the RGIF will be located within BRD, with dedicated and skilled staff operating under BRD investment division. The key element of managing performance risk for the RGIF will be to build on BRD's existing success and track record, and to add expanded green finance capacity with strong fund management, leadership, origination, market outreach, and reporting and metrics capacity.

BRD's investment committee will play the role of RGIF Credit Facility investment committee. The RGIF will utilize strong investment criteria and a skilled fund management team, with capacity focused on financing commercially viable projects. Within BRD, RGIF governance will be designed using international best practices that allow for independence of investment decision making and avoidance of investment decisions based on political considerations. The RGIF is based on an integrated financial model that takes advantage of the blended capital stack to offer financial products/investments that simultaneously drive the market and provide returns to the facility to ensure its sustainability.

Selected Risk Factor 2 Project Pipeline & Bankability

Category	Probability	Impact
Technical and operational	Medium	Medium

Description

The RGIF faces the risk of not being able to meet its mandate and target goals due to an inadequate pipeline of bankable projects.

Ensuring that projects are able to move from feasibility to bankability, and that there is a robust pipeline of projects for RGIF investment. Given the nascent and underdeveloped nature of the target green sector

projects in Rwanda, there is a risk that despite grants and support provided, project sponsors will still struggle to properly structure their projects in a bankable way, to be able to access commercial finance.
Mitigation Measure(s)
Through its Project Preparation Facility, the RGIF will support development of bankable projects in priority sectors by providing project preparation assistance and grants and also (reimbursable) grants to compliment project development as needed. RGIF will build on FONERWA's past experience of supporting feasibility studies for key local green projects such as the Kigali Green City, the electric motorcycles, etc. The purpose of the PPF is to help projects transition "from feasibility to bankability" and assist projects to secure commercial finance through the finance arm of the RGIF. PPF support will prioritize early-stage, high-impact, innovative projects and businesses that have a high probability of successful completion based on developer track record and sound business plans. Through this support to project developers, the PPF will help ensure that projects are able to move from feasibility to bankability, and that there is a robust pipeline of projects for RGIF investment. The RGIF will also work closely with market actors and local commercial banks to address market gaps, build project pipelines and catalyze more private investments.

Selected Risk Factor 3	**Financial Sustainability Risk**	
Category	**Probability**	**Impact**
Technical and operational	Low	Medium
Description		
Ensuring the financial sustainability of the RGIF over time, including both its credit facility and activities of the PPF. The RGIF faces the risk that it will be unable to meet the requirement of its financial model and business plan to generate sufficient revenues through management fees on loans to support the operating expenses of the RGIF.		
Mitigation Measure(s)		
Two complementary measures will be used to ensure the financial sustainability of the RGIF. On the project development side, projects will be carefully vetted for viability and bankability at the front end of the PPF process to ensure a high rate of success. Where the PPF provides grant funding, it will be offered as 'reimbursable grants' wherever possible to allow for the return and recycling of grant funds. In addition, a diverse array of grant funds from several development partners will be engaged in the PPF to make this funding source more robust. Secondly, on the financing side of the RGIF, the financial model and business plan will be structured to generate sufficient revenues through management fees on loans to support the operating expenses of the RGIF. It will take several years to generate adequate deal flow to achieve financial sustainability, but this is a proven model for Green Bank operation.		

Selected Risk Factor 4	**Co-Finance Risk**	
Category	**Probability**	**Impact**
Technical and operational	Low	Medium
Description		
The RGIF faces the risk that its program will not reach the size intended, and with less operating capital will be unable to extend financing to as many projects and will have a decreased impact on the growth of the local market.		
Mitigation Measure(s)		

If AfDB does not provide senior loans to the project in year 5, the potential risk and impact to the RGIF is that the program will not reach the size intended, and with less operating capital will be unable to extend financing to as many projects and will have a decreased impact on the growth of the local market. To mitigate this potential risk, the RGIF (FONERWA and BRD) will work with other potential DFI partners that can support the RGIF. For example, the Agence France de Development has indicated strong interest in capitalizing the RGIF as have other development partners and IFIs such as KfW and others. Additionally, EIB (which has just launched its new "climate bank" program) is increasing its appetite for climate transactions. The RGIF will proactively work with these capital providers to seek to raise additional funds to expand the RGIF's financing capacity.

Selected Risk Factor 4	**Forex Risk**	
Category	**Probability**	**Impact**
Forex	Medium	Medium
Description		
Ensuring that the RGIF can provide affordable financing and avoid expensive forex costs. The RGIF faces the risk of high cost of capital due to foreign exchange costs.		
Mitigation Measure(s)		
The RGIF will provide financing in local currency (Rwandan Francs). MINECOFIN has been exploring to take the currency risk for the RGIF and pass funds onto BRD in local currency (Rwandan francs). Further details on the pricing are provided in the term sheet (annex 14). Additionally, BRD will provide direct financing to the project developers with a capped spread to ensure affordable costs. Pricing is yet to be finalised as it will be subject to the overall cost of funds. The goal will be to keep costs low and pass savings onto end beneficiaries/borrowers to ensure effective and affordable financing. 2/RGIF project-level risk mitigation measures		

Policy Risk		
Category	**Probability**	**Impact**
Legal	Low	Low
Description		
Ensuring that policies and regulations do not impact the bankability and long-term success of projects. The RGIF RGIF faces risks related to changing national policies and the enabling environment for other priority investment sectors.		
Mitigation Measure(s)		
The RGIF is embedded directly in Rwanda's market with strong relationships with government agencies. It is designed to work closely with policy makers across relevant sectors and agencies within the Government of Rwanda to understand and improve the enabling environment across relevant sectors for RGIF projects. While Rwanda has a very stable policy environment with an extremely low index corruption, to reduce policy-related risks to individual projects and priority sectors, the RGIF will work closely with policy makers across relevant sectors and agencies within the Government of Rwanda to understand and improve the enabling environment across relevant sectors for RGIF projects. This is one of the key benefits of the Green Bank model where dedicated catalytic finance capacity is embedded directly in the market and strong relationship to government, to provide feedback on policies or regulations that are increasing risk or inhibiting investment.		

Project Viability Risk		
Category	**Probability**	**Impact**
Technical and operational	Low	Medium
Description		
The RGIF faces risk related to the viability of projects selected as eligible for the program.		
Mitigation Measure(s)		
The RGIF will reduce project risk through the in-depth work of its Project Preparation Facility (PPF) to strengthen the bankability of projects. The PPF will work closely with project developers and commercial banks to address project vulnerabilities, improve structuring, permitting, contractual agreements, etc. and to improve bankability.		

Financial Risk		
Category	**Category**	**Category**
Credit	Credit	Credit
Description		
The RGIF faces risk related to the bankability and financial success of projects.		
Mitigation Measure(s)		
The RGIF will address financial risk of projects through offering tailored financial projects specifically designed to close market gaps and address financing barriers to improve bankability and transaction success (e.g. credit enhancement products such as debt).		

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

Provide the environmental and social risk category assigned to the proposal as a result of screening and the rationale for assigning such category. Present also the environmental and social assessment and management instruments developed for the proposal (for example, Environment and Social Impact Assessment (ESIA), Environment and Social Management Framework (ESMF), Environmental and Social Management Plan (ESMP), Environmental and Social Management System (ESMS), environmental and social audits, etc.). Provide a summary of the main outcomes of these instruments. Present the key environmental and social risks and impacts and the measures on how the project/programme will avoid, minimize and mitigate negative impacts at each stage (e.g. preparation, implementation and operation), in accordance with GCF's Environmental and Social Safeguard (ESS) standards. If the proposed project or programme involves investments through financial intermediations, describe the due diligence and management plans by the Executing Entities (EEs) and the oversight and supervision arrangements. Describe the capacity of the EEs to implement the ESMP and ESMF and arrangements for compliance monitoring, supervision and reporting. Include a description of the project/programme-level grievance redress mechanism, a summary of the extent of multi-stakeholder consultations undertaken for the project/programme, the plan of the Accredited Entity (AE) and EEs to continue to engage the stakeholders throughout project implementation, and the manner and timing of disclosure of the applicable safeguards reports following the requirements of the GCF Information Disclosure Policy and Environmental and Social Policy.

Describe any potential impacts on indigenous peoples and the measures to address these impacts including the development of an Indigenous Peoples Plan and the process for meaningful consultation leading to free, prior and informed consent, pursuant to the GCF Indigenous Peoples Policy.

Attach the appropriate assessment and management instruments or other applicable studies, depending on the environmental and social risk category as annex 6.

93. For projects supported under the RGIF program, the preparation of ESS studies will have to adhere to Rwandan laws and regulations as well as the ESS policies, guidelines, and standards of the AfDB. For this proposal, only the sub-projects at the category B level (according to the GCF criteria) will be considered. Category B (I-2) projects involve activities with potential mild adverse environmental and social risks and impacts that, individually or cumulatively, are few, generally site-specific, largely reversible and readily addressed through mitigation measures.

94. In order to assess the Environmental and Social viability of the proposed investments, an Environmental and Social Management System (ESMS), Annex 6, has been developed with the purpose of setting out management requirements, policies and guidelines for environmental, occupational health and safety, as well as social issues present throughout the project's life cycle. This manual provides practical guidance on environmental and social policies to support RGIF investment decisions. RGIF commitment to the environment is set out and is intertwined with the Environmental Policy of BRD and FONERWA. It is important to note that both FONERWA and BRD have adequate E&S capacity to assess and finance projects meeting set RGIF safeguard standards. The two institutions have permanent E&S specialists overseeing the implementation of E&S assessment procedures as well as the performance of financed projects when it comes to implementing approved E&S mitigation measures. The two implementing institutions have fully fledged E&S screening procedures, E&S risk categorization systems, monitoring procedures and clear guidance set in place to manage risk categories of financed projects. Risk categorization is benchmarked on the National E&S regulation which is in line with IFCs E&S risk categorization (i.e., Category A: High risk, Category B: Medium risk and Category C: Low risk projects).

95. The 2 institutions ensure stakeholder engagement is given high consideration to promote the involvement of project beneficiaries in the project design and social risks such as complaints associated to financed projects are effectively managed by creating comprehensive Grievance Redress Mechanisms which are crucial in ensuring that affected communities are given an avenue to submit their grievances and get assisted accordingly and in transparency to achieve a sustainable development with a positive socio-economic impact. The ESMS is a safeguard tool that was developed

to provide clarity on the following crucial aspects contributing to the successful implementation of RGIF: (i) Objective and Scope of RGIF ESMS, (ii) E&S organizational competencies of both FONERWA and BRD, (iii) RGIF components, activities and expected outputs, (iv) E&S commitment of both FONERWA and BRD, (v) E&S assessment and management procedures, (vi) Complaint resolution procedures and stakeholder engagement, (vii) Monitoring, reporting and review of the RGIF ESMS, and (viii) Disclosure procedures.

96. The implementing partners of the Fund and the Project Management Units (BRD and FONERWA) will follow this ESMS to ensure the environmental and social risks and impacts are fully assessed and mitigation measures are in place prior loan approval and implementation of the relevant project activities.The ESMS manual provides a policy and practical framework that integrates environmental and social risk management and reporting into the RGIF business processes. It is a set of actions and procedures that are implemented concurrently with the Fund's broader risk management procedures. The Manual ensures that the Fund's activities are in compliance with its environmental and social standards. It helps the Fund to avoid and manage investments with potential environmental and social risks by conducting environmental and social due diligence prior to deal completion and adequate supervision of activities during the term of the investment.

97. The ESMS demonstrates that Rwanda possesses strong policies, laws and procedures in place that set out guidelines for the compliance with E&S requirements, Climate Change, land management and expropriations as well as Occupational Health and Safety. They provide for humans' wellbeing, judicious use, and preservation of natural resources as well as the institutional framework for E&S management. The constitution, the supreme law of the country, policies on various socio-economic sectors, including ratified international conventions are in place to provide for the compliance with E&S requirements. The ESMS is also compliant with the Bank's Integrated Safeguards System (ISS) which is designed to promote the sustainability of project outcomes by protecting the environment and people from the potentially adverse impacts of projects

98. The implementation and management of the RGIF ESMS will follow the approved operational and management structures and procedures stipulated in FONERWA and BRD's governance and operational manuals. The execution of the RGIF ESMS will be across FONERWA and BRD's operations with the support of the E&S Safeguards team. The environment and social assessment and management procedures will be undertaken in accordance with national and international safeguards requirements. Screening of investments will commence right at the project inception phase as soon as the specific sub project details are known including nature and scope, proposed location and area among other parameters. Screening is expected to happen concurrently with the project specific feasibility studies so that any potential impacts identified through screening are immediately incorporated into the feasibility study hence ensuring adequate consideration of environmental and social aspects at the project design phase.

99. The classification of each project under the appropriate environmental and social risk category will be based on the screening results, and projects will be categorized as per their risks and impacts magnitude. In line with the Rwanda Ministerial Order N0 001/2019 of 15/04/2019 establishing the lists of projects, activities and works that must undergo E&S assessment, as well as the provisions of IFC's standards on Environmental and Social Risks, each proposed project's E&S screening will result in one of the 3 risk categories. During the screening process, some activities will be deemed ineligible and rejected. Such activities involve the significant conversion or degradation of critical natural habitats; those that will significantly damage non-replicable cultural property or involve production or activities involving harmful or exploitative forms of forced labour/harmful child labour. The screening process could result in any of the following determination:

- Full ESIA
- A stand-alone ESMP (Partial ESIA) or
- No further environmental study for low-risk projects.

100. The RGIF program is focused on supporting projects in green sectors, and only category B or C project are not likely to have significant impacts on the environment. However, the construction of RGIF-eligible green projects including renewable energy generation, mini-grids and climate-smart irrigation (full list in eligibility criteria above) have the potential to lead to adverse environmental and social impacts. The adverse impacts associated with the project are considered to be moderate to low in nature. However, the construction of RGIF-eligible green projects including renewable energy generation, mini-grids and climate-smart irrigation (full list in eligibility criteria above) have the potential to lead to adverse environmental and social impacts. The adverse impacts associated with the project are considered to be moderate to low in nature. However, the specific adverse impacts for each investment will be distinguished during the preparation of the specific ESIA or ESMP based on the sub project investment environmental category once the screening process is complete. Mitigation measures must be defined for significant impacts (i.e., those with major, moderate or minor rating). The mitigation measures, including responsibilities and monitoring requirements must be summarized in the project specific ESMP.

101. RGIF will require that every recipient of funds develop an Emergency Preparedness and Response Procedure based on the identified HSE risks associated with the various proposed projects. The EPRP will cover all potential emergency situations (environmental and safety) which may occur for various projects as well as make provision for disaster management in terms of severe storms, flooding, earthquakes, and fires amongst others.

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

Provide a summary of the gender assessment and project/programme-level gender action plan that is aligned with the objectives of GCF's Gender Policy. Confirm a gender assessment and action plan exists describing the process used to develop both documents. Provide information on the key findings (who is vulnerable and why) and key recommendations (how to address the vulnerability identified) of the gender assessment. Indicate if stakeholder consultations have taken place and describe the key inputs integrated into the action plan, including: how addressing the vulnerability will ensure equal participation and benefits from funds investment; key gender-related results to be expected from the project/programme with targets; implementation arrangements that the AE has put in place to ensure activities are implemented and expected outcomes will be achieved, monitored and evaluated.

Provide the full gender assessment and project-level gender action plan as annex 8.

102. Women constitute 51.5%[78] of Rwanda's population with an even greater majority of women living in rural—and more climate-vulnerable – parts of the country. Major priority sectors such as energy, agriculture, water and sanitation are characterized by poor supply and productivity, lack of basic infrastructure and reliable service affecting the majority of people in rural areas. In the energy sector for example, approximately 70% of Rwandans lack access to electricity, with 88% lacking access in rural areas and 28% in urban areas. Furthermore, 70% of the general population works in agriculture, and 82% of women work in agriculture,[79] which are typically subsistence or low wage occupations. They constitute the most vulnerable segment of the population given climate variability and dependence on rainfall for crop production. The urban sector which also lacks appropriate climate resilient infrastructure is also impacted by climate variabilities as Rwanda is very hilly which contributes

[78] EICV5_Main_Indicators report (National Statistics: www.statistics.gov.rw/publication/eicv-5-main-indicators-report-201617).

[79] http://riverapublications.com/article/agricultural-transformation-in-rwanda-can-gendered-market-participation-explain-the-persistence-of-subsistence-farming#:~:text=The%20sector%20involves%2082%20percent,employer%20of%20women%20in%20Rwanda.

to high localized population densities (Rwanda is one of the most densely populated nations in the world according to the World Bank) and vulnerability to landslides in urban (and rural) areas. Investing to address structural challenges in national priority sectors such as energy, green cities, agriculture, water and sanitation, etc while empowering women who are the most vulnerable, has the potential to make a significant impact on the Rwanda economy. The RGIF has the mandate to scale up climate finance and increase private investments in low-carbon and climate-resilient projects[80], and is well positioned to address both Rwanda's economic development and climate-related investment needs while empowering women. Indeed, as outlined below, women are most likely the primary beneficiaries of projects in RGIF priority sectors.

103. The RGIF will place a specific focus on target sectors where gender equality is poorly addressed such as in climate smart agriculture, shifting away from biomass for cooking, and rural energy access through min-grids targeting at least 30% of its total investment portfolio. The RGIF project pipeline and eligibility criteria focus on serving these sectors which currently suffer from chronic under investment due to market barriers that impede investment in low-carbon, climate resilient development projects. RGIF investment support will help overcome these barriers and provide appropriate financing to support these projects and scaling up low carbon markets in Rwanda. A strong focus on women component will result in direct benefit impacts to recipients, targeting at least 40% of women led or related businesses. These benefits include increased access to clean energy, increased access to climate smart agriculture equipment, and increased access to housing that is energy efficient and climate resilient.

104. The RGIF will operate in accordance with Rwanda's recognition that gender equality and fulfilment of human rights are interlinked - and a prerequisite for sustainable development and inclusive economic growth. In addition, the RGIF will be aligned with the GCF's Gender policy and support its the three main objectives as noted below including:
   a) To support climate change interventions and innovations through a comprehensive gender approach, applied both within the institution and by its network of partners, including accredited entities (AEs), national designated authorities (NDAs) and focal points, and delivery partners for activities under the GCF Readiness and Preparatory Support Programme;
   b) To promote climate investments that:
      (i) Advance gender equality through climate change mitigation and adaptation actions; and
      (ii) Minimize social, gender-related and climate-related risks in all climate change actions; and
   c) To contribute to reducing the gender gap of climate change-exacerbated social, economic and environmental vulnerabilities and exclusions through GCF climate investments that mainstream gender equality issues.

105. To achieve these goals, the RGIF will build on FONERWA's current Gender Strategy and Action Plan crafted to ensure that gender mainstreaming supports successful institutional and organizational transformation, and gender equity across all programmatic interventions for environmental conservation and climate change mitigation and adaptation. Specifically, RGIF through its own Gender Action Plan (annex 8) is committed to promoting gender equality at the project level. Focusing on addressing specific challenges related to women empowerment to address climate change will not only benefit the country's development goals but will contribute to national economic recovery. It is worth noting that RGIF gender interventions leverages FONERWA Gender Strategy and contributes to achieve the goals of Rwanda's National Gender Policy (2011) and the above noted goals of the GCFs Gender Policy. The FONERWA Gender Strategy and Action Plan on which RGIF Gender Action

[80] OECD (2016) "Green Investment Banks: Scaling up Private Investment in Low-carbon, Climate-resilient Infrastructure." http://www.oecd.org/ environment/cc/green-investmentbanks-9789264245129-en.htm

Plan has built on has qualified for enrolment in the national Gender Seal Certification Programme, being implemented by the Rwandan Gender Monitoring Office (GMO); to support Gold Status on gender equality in decision making bodies, gender-sensitive communication, bridging pay gaps, challenging gender stereotypes in work division, and creating work-life balances for both men and women, strengthening our gender-sensitive working environment with effective reporting mechanism for any forms of sexist behavior or communication etc.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

Describe the project/programme's financial management including the financial monitoring systems, financial accounting, auditing, and disbursement structure and methods. Refer to section B.4 on implementation arrangements as necessary.

Articulate any procurement issues that may require attention, e.g. procurement implementation arrangements and the role of the AE under the respective proposal, articulation of procurement risk assessment undertaken and how that will be managed by the AE or the implementing agency. Provide a detailed procurement plan as annex 10.

106. As the Accredited Entity, AfDB conducted an assessment of FONERWA and BRD's financial management (FM) systems and concluded that the capacities of both Executing Entities (EEs) are adequate to implement the RGIF and the overall fiduciary risk is moderate. The RGIF shall make use of the Country's Public Financial Management systems as well as the AfDB's Rules and Procedures. The Chief Budget Managers of FONERWA and BRD, will each retain the fiduciary responsibility for the grant (Reimbursable and non-reimbursable) and loan resources respectively. The RGIF Steering Committee (PSC) will provide policy and implementation oversight including approval of the Project plans and Budgets. The AfDB will have the overall oversight of the implementation framework including FM and will report to GCF as per the terms of AMA. Each EE will designate fiduciary staff within their institutions to execute the day-to-day financial management functions. The EEs will institute adequate Internal control systems to ensure RGIF resources are used for the intended purpose and in accordance with the Financing Agreements, the Grant/Reimbursable grant/ Loan Agreements and EE Agreements.

107. Funds Flow - RGIF funds (Loan and grant) will be received by the AfDB in trust from the GCF and placed in an RGIF sub account under the GCF Special Account. The AfDB would then allocate the funds to Rwanda in accordance with the financing agreements between GoR and the AfDB. The GoR, represented by MINECOFIN, would then on-grant/lend the relevant funding to FONERWA or BRD as applicable according to the provisions of their respective agreements. All disbursements under RGIF will follow the AfDB's Disbursement Rules and Procedures as laid out in the Disbursement Handbook and the Special Account (SA) method shall be used. However, other methods of disbursement namely Direct Payment method, Reimbursement method and Reimbursement Guarantee method could be used on need basis and upon approval by the AfDB. Three (3) RGIF dedicated special bank accounts, namely the reimbursable grant SA, the non-reimbursable grant SA and Loan SA will be opened in the National Bank of Rwanda (BNR) as a pre-condition for the use of the SA method. The disbursement of the reimbursable grant and the Loan funds will be made in tranches after fulfilling the disbursement triggers as stated in the financing and the respective agreements. Disbursement of the Non-reimbursable grant to FONERWA will be based on approved workplans and budgets covering a period of six (6) months and replenishment will be made in accordance with the Bank's Disbursement Guidelines on the use of the SA. As FONERWA will manage the totality of the PPF grant, the portion of the grant to finance operational and project management costs in relation to the CF will be advanced by FONERWA to BRD based on approved work plan and budgets. The Bank will issue a disbursement letter, which will provide specific guidelines on key disbursement procedures and practices. As part of the quarterly financial performance reporting, each EE will prepare unaudited Interim Financial Reports (IFRs) for submission to the RGIF Steering Committee and the AfDB and the IFRs will be

shared within 45 days following the end of the quarter. In addition, annual Project specific financial statements (PFS) will be prepared by each EE in accordance with EE's applicable accounting standards with the year end of June 30. The PFS will be subject to an independent audit by the Office of the Auditor General for State Finances (OAG) or a private audit firm based on the Bank's audit terms of reference. The audited Project Financial Statements, complete with the management letter, shall be submitted to the AfDB no later than six (6) months following the end of each financial year.

108. Procurement Arrangements

Procurement of goods (including non-consultancy services), and the acquisition of consulting services, financed by the Bank for the project, will be carried out in accordance with the "Procurement Policy for Bank Group Funded Operations", dated October 2015 and following the provisions stated in the Financing Agreement. Specifically, Procurement would be carried out following the Bank Procurement Methods and Procedures (BPP), using the relevant Bank Standard or Model Solicitation Documents (SDs) as appropriate.

Assessment of procurement risks at the sector, and project levels and of procurement capacity at the Executing Agencies, were undertaken for the project and the output have informed the decisions on the procurement regimes being used for specific transactions or groups of similar transactions under the project. The overall project risk for procurement at the time of appraisal is rated Moderate and appropriate mitigation measures have been included in the project to reduce the perceived risk to a low level.

. AfDB will monitor the compliance of the project with the applicable procurement requirements during the project monitoring and supervision phase.

G.4. Disclosure of funding proposal

Note: The Information Disclosure Policy (IDP) provides that the GCF will apply a presumption in favour of disclosure for all information and documents relating to the GCF and its funding activities. Under the IDP, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Information provided in confidence is one of the exceptions, but this exception should not be applied broadly to an entire document if the document contains specific, segregable portions that can be disclosed without prejudice or harm.

Indicate below whether or not the funding proposal includes confidential information.

☐ No confidential information: The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☒ With confidential information: The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

H. ANNEXES

H.1. Mandatory annexes

☒	Annex 1	NDA no-objection letter(s) **(template provided)**
☒	Annex 2	Feasibility study - and a market study, if applicable
☒	Annex 3	Economic and/or financial analyses in spreadsheet format
☒	Annex 4	Detailed budget plan **(template provided)**
☒	Annex 5	Implementation timetable including key project/programme milestones **(template provided)**
☒	Annex 6	E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3): **(ESS disclosure form provided)** ☐ Environmental and Social Impact Assessment (ESIA) or ☐ Environmental and Social Management Plan (ESMP) or ☐ Environmental and Social Management System (ESMS) ☐ Others (please specify – e.g. Resettlement Action Plan, Resettlement Policy Framework, Indigenous People's Plan, Land Acquisition Plan, etc.)
☒	Annex 7	Summary of consultations and stakeholder engagement plan
☒	Annex 8	Gender assessment and project/programme-level action plan **(template provided)**
☒	Annex 9	Legal due diligence (regulation, taxation and insurance)
☒	Annex 10	Procurement plan **(template provided)**
☒	Annex 11	Monitoring and evaluation plan **(template provided)**
☒	Annex 12	AE fee request **(template provided)**
☒	Annex 13	Co-financing commitment letter, if applicable **(template provided)**
☒	Annex 14	Term sheet including a detailed disbursement schedule and, if applicable, repayment schedule

H.2. Other annexes as applicable

☐	Annex 15	Evidence of internal approval **(template provided)**
☒	Annex 16	Map(s) indicating the location of proposed interventions
☐	Annex 17	Multi-country project/programme information **(template provided)**
☐	Annex 18	Appraisal, due diligence or evaluation report for proposals based on up-scaling or replicating a pilot project
☐	Annex 19	Procedures for controlling procurement by third parties or executing entities undertaking projects financed by the entity
☐	Annex 20	First level AML/CFT (KYC) assessment
☒	Annex 21	Operations manual (Operations and maintenance)
☒	Annex 22	Assessment of GHG emission reductions and their monitoring and reporting (for mitigation and cross cutting-projects)[81]
☐	Annex X	Other references

** Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.*

[81] Annex 22 is mandatory for mitigation and cross-cutting projects.

Republic of Rwanda

RWANDA ENVIRONMENT MANAGEMENT AUTHORITY (REMA)

REMA OUR ENVIRONMENT OUR FUTURE

Kigali, on 28 MAY 2020
N° 0666/NDA/2020

Executive Director
Green Climate Fund (GCF)
Songdo Business District
175 Art center-daero
Yeonsu-gu, Incheon 22004
Republic of Korea

Dear Sir,

Re: GCF Project Concept Note by the African Development Bank for the Programme "*Rwanda Catalytic Green Investment Bank*"

We refer to the concept note of the Programme entitled "*Rwanda Catalytic Green Investment Bank*" submitted by the African Development Bank to Rwanda Environment Management Authority (REMA) for no-objection. The undersigned is the duly authorized representative of REMA, the National Designated Authority/focal point of Rwanda.

Pursuant to GCF decisions B.08/10 and B.13/21, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the concept of the Programme "*Rwanda Catalytic Green Investment Bank*".

By communicating our no-objection, it is implied that:

(a) The government of Rwanda has no-objection to the proposed Programme "*Rwanda Catalytic Green Investment Bank*";
(b) The Programme "*Rwanda Catalytic Green Investment Bank*" is in conformity with Rwanda's national priorities, strategies and plans; and
(c) In accordance with the GCF's environmental and social safeguards, the programme "*Rwanda Catalytic Green Investment Bank*" is in conformity with relevant laws and regulations in Rwanda.

Republic of Rwanda

RWANDA ENVIRONMENT MANAGEMENT AUTHORITY (REMA)

We also confirm that our national process for ascertaining no-objection to the Programme "*Rwanda Catalytic Green Investment Bank*" was duly followed.

The present no-objection applies to all activities to be implemented within the scope of the Programme "*Rwanda Catalytic Green Investment Bank*".

We acknowledge that this letter will be made publicly available on the GCF website.

Sincerely,

Juliet KABERA
Director General

Cc:

- **Permanent Secretary, Ministry of Environment**
- **Chief Executive Officer, FONERWA**
  KIGALI
- **Manager, Climate and Environmental Finance,**
  African Development Bank Group
  ABIDJAN, CÔTE D'IVOIRE

Environmental and social safeguards report form pursuant to para. 17 of the IDP

Basic project or programme information	
Project or programme title	Rwanda Green Investment Facility
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Private
Accredited entity	African Development Bank (AfDB)
Environmental and social safeguards (ESS) category	Category I-2
Location – specific location(s) of project or target country or location(s) of programme	Rwanda
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	
Remarks	N/A
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management (ESMS) (if applicable)	
Date of disclosure on accredited entity's website	Thursday, September 21, 2023
Language(s) of disclosure	English
Explanation on language	English is an official language of Rwanda. As per country officials, disclosure in English only is sufficient.
Link to disclosure	https://www.afdb.org/en/documents/rwanda-rwanda-green-investment-facility-development-support-project-p-rw-h00-005
Other link(s)	Disclosure on the country website: - https://greenfund.rw/guidelines - https://greenfund.rw/sites/default/files/2022-07/Environmental%20and%20Social%20Management%20Systems%20%28ESMS%29%20for%20Rwanda%20Green%20Investment%20Facility%20%28RGIF%29_0.pdf

	Development Bank of Rwanda (Executing Entity): - https://www.brd.rw/ - https://www.brd.rw/wp-content/uploads/2023/09/RGIF-Environmental-and-Social-Management-System.pdf
Remarks	An ESMS consistent with the requirements for a Category I-2 project is contained in the "RGIF Environmental and Social Management System".
Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), Indigenous Peoples Planning Framework (IPPF) (if applicable)	
Description of report/disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Disclosure in locations convenient to affected peoples (stakeholders)	
Date	Thursday, September 21, 2023
Place	**African Development Bank Group** Street No. KN 67&KN 30 BPR-PCD towers, 9th and 10th floor; Nyarugenge District, P.O. Box 7329, Kigali, Rwanda **FONERWA** Career Centre Building, 5Th Floor, KG 541 St, Kigali, Rwanda **BRD** KN 3 Avenue (former Boulevard de la Revolution) Kigali, Rwanda Depending on location of project to be implemented, public access to the documents to be made available at offices of relevant govt agencies.
Date of Board meeting in which the FP is intended to be considered	
Date of accredited entity's Board meeting	Tuesday, November 28, 2023
Date of GCF's Board meeting	Monday, October 23, 2023

Note: This form was prepared by the accredited entity stated above.

Independent Technical Advisory Panel's assessment of FP221

Proposal name:	Rwanda Green Investment Facility (RGIF)
Accredited entity:	African Development Bank
Country/(ies):	Rwanda
Project/programme size:	Medium

I. Assessment of the independent Technical Advisory Panel

1.1 Overview

1. Rwanda has identified several climate adaptation and mitigation sectors in which it intends to pursue the interventions reflected in its 2020 nationally determined contribution (NDC) and Green Rwanda Action Plan. These sectors include electricity generation, transportation, energy-efficient buildings and climate-resilient agriculture, among others. The Rwanda Green Investment Facility (RGIF) is proposed to mobilize the finance required to develop investable projects in these sectors and subsequently to finance their implementation.

2. The RGIF is a two-part programme consisting of a Project Preparation Facility (PPF) and Credit Facility) that is to be funded and deployed in two phases. The PPF is intended to provide reimbursable and non-reimbursable grants to support early-stage project development. The Credit Facility will directly lend finance to climate sector projects alongside other private lenders. The RGIF also includes a technical assistance component that will raise market awareness among project developers and local financial institutions.

3. The RGIF will be implemented by two government-owned finance institutions: the Rwanda Green Fund (FONERWA) and the Development Bank of Rwanda (BRD). The African Development Bank (AfDB) will act as the accredited entity.

4. The total programme size is USD 141,995,898, consisting of USD 95.0 million in loans, USD 20.0 million in guarantees and USD 26,995,898 in grants. The GCF portion is 42,793,000, consisting of USD 30 million in senior loans and USD 12,793,000 in grants (of which USD 4,000,000 is reimbursable grants). The GCF portion represents approximately 30 per cent of the total programme size.[1] The remaining funds are expected to be contributed by development partners including USD 10 million from the AfDB, as the accredited entity, into the Credit Facility.

5. The programme will be financed and operated across two phases. Phase 1 will include start-up and the initial deployment of the funds under both the PPF and Credit Facility. Phase 1 is expected to terminate by the end of 2027. Phase 2 is projected to start in 2028 and should represent a scaling up of the RGIF. GCF funding will be split between the two phases. From the total USD 30 million of loan funding by GCF, USD 10.0 million will be provided in Phase 1 and the remainder in Phase 2. 57 per cent of GCF reimbursable and 60 per cent of GCF non-reimbursable grant will be provided in Phase 1, with the remaining allocation reserved for

[1] USD 2,1million from total grant proceeds will be allocated to cover project management costs for the operationalization of the RGIF programme.

Phase 2. Most of the co-financing will be obtained for Phase 1, with only the AfDB USD 10 million investment currently earmarked for Phase 2.[2]

6. The PPF component will be implemented by FONERWA. It will provide both reimbursable and non-reimbursable grants for early-stage project development and support project bankability. A total of 60 per cent will be traditional, non-reimbursable grants used to fund project-level development activities, including legal costs, environmental studies, engineering and financial modelling. The remaining 40 per cent will comprise reimbursable grants that will be used as partial collateral support to help project developers meet collateral requirements required by lenders. The use of grant funding to reduce the project developer's lending risk is an innovative approach and intended to provide some of the benefits of a guarantee but at a lower cost to the developer.

7. The Credit Facility will be implemented by BRD. It will provide direct lending to climate projects that meet the RGIF's sectoral criteria and other criteria intended to ensure both the financial and climate sustainability of the funded projects. The Credit Facility will offer concessionality in the form of tenor length and a lower cost of capital to overcome some of the barriers faced by climate-friendly projects in Rwanda. Loan eligibility will be capped at 70 per cent, thus requiring that at least 30 per cent of project funding comes from other sources. BRD will bear the credit risk of its loans.

8. Additionally, RGIF includes USD 20 million in guarantees to be provided by the Swedish International Development Cooperation Agency (Sida). This will be utilized to partially cover credit risk of BRD third-party lenders.

9. The RGIF will also provide technical support to eligible projects in areas such as underwriting and deal structuring to build greater market capacity and know-how. The programme also envisions strengthening the institutional capacity of FONERWA and BRD.

10. The independent Technical Advisory Panel (independent TAP) also observes that the RGIF programme is aligned with a green bank approach because it addresses investment barriers to climate mitigation and adaptation by strategically using limited public funds to leverage far greater private investment.

1.2 Impact potential *Scale: Medium*

11. The RGIF intends to support projects in target sectors that mitigate or adapt to climate change. The near-term focus sectors are climate-smart agriculture, renewable energy, green buildings and clean transportation. The proposal does not mandate any specific allocation to each of these sectors, but instead will have a flexible approach to origination and portfolio construction. The final composition of the RGIF's portfolio will depend on market factors. This uncertainty, albeit normal for facilities such as this, makes it difficult to evaluate its impact potential with any degree of specificity.

12. The funding proposal projects that the RGIF will reduce Rwanda's annual greenhouse gas (GHG) emissions by 0.92 million tonnes of carbon dioxide equivalent (t CO_2 eq) over the programme lifetime (25 years), based on an indicative pipeline of over USD 420million in investment opportunities. However, these impact estimates are grounded on the current pipeline and make assumptions about the nature of future projects and the availability of co-finance. From the independent TAP's review of the pipeline and discussions with the accredited entity, the independent TAP does not put much stock on the specific projections of impacts.

[2] Approximately USD 65 million in cofinance is expected from AfDB and other development partners in the Credit Facility; with USD 14,162,898 in grant contributions for the PPF from the third-party development partners. USD 20 million in guarantees will also be provided by Sida to support direct lending under the Credit Facility.

They are simply best guesses; however, the overall climate impact of the RGIF should be beneficial.

13. One area of concern is the lack of smaller and medium sized projects in the current RGIF pipeline. Much of the pipeline consists of larger projects that, arguably, are already linked to the local and international banking system. It is recommended that the project sponsors make a concerted effort to bring new developers and smaller projects into the pipeline. To that end, the independent TAP does commend the RGIF's plans to launch a request for proposal process to support development of a more robust project pipeline for the Credit Facility.

14. Notwithstanding the above, the funding proposal, along with reviews of supporting documents such as Rwanda's NDC, make clear that the RGIF is responsive to the mitigation and adaptation goals of Rwanda. For instance, RGIF interventions in the renewable energy sector will focus on supporting the development of the off-grid market, including mini grids and small-grid-tied mini hydro. The RGIF will aim to reduce the cost of feasibility work through its PPF window while also providing partial collateral to help project developers access the RGIF Credit Facility and other available local financing. The funding proposal makes a credible case that, firstly, there is a demand in Rwanda for additional installed solar and hydro capacity and, secondly, that the RGIF can address the barriers to development of these resources (a lack of early-stage project development and a lack of accessible construction finance).

15. In the agricultural sector, the RGIF will support solar energy for powering processes such as dryers and milling, as well as efficient drip irrigation projects that could strengthen resilience to droughts. In the built environment sector, the programme will focus on increasing the use of energy-efficient technologies, renewable onsite electricity generation and water autonomy systems. There is high potential for impact on the building sector in Rwanda, as new construction and rehabbing of existing real estate forms a significant part of the Rwandan economy. Near-term RGIF interventions could work to ensure that more of the building boom underway is increasingly aligned with green building standards to both reduce emissions and generate energy and water savings. The independent TAP would encourage project sponsors and GCF to consider incorporating international green building standards, such as the International Finance Corporation's EDGE certification, into RGIF funded projects to increase the level of ambition. The funding proposal also credibly makes the case that the transportation sector in Rwanda is primed for transition away from fossil fuels towards electric technology that could reduce carbon emissions.

16. The independent TAP has also assessed that the two implementing entities have commendable track records in deploying grant capital, in the case of FONERWA, and in credit operations, in the case of BRD. Additionally, the independent TAP views the RGIF investment criteria as sufficiently robust to screen for climate and financial eligibility.

17. In terms of needs, the independent TAP notes that Rwanda is a small country, with a small banking system and a limited number of local project developers. Many local developers struggle to access financing, which hinders climate-friendly development on the scale sought by Rwanda. The funding proposal credibly details the specific barriers to finance that the RGIF seeks to address. In summary, early-stage capital is not readily available for greenfield projects and, even when projects are able to advance, they still struggle to access follow-on capital due to a high perception of risk and high collateral requirements. The RGIF offers an integrated approach, offering both grants and financing support to eligible projects, across the typical project development timeline.

18. The independent TAP assesses that providing grant capital to cover early-stage project activities to move development from feasibility to bankability is a well-tested means of building a nascent green economy. Similar programmes in the region, including the U.S. Africa Clean Energy Finance (US-ACEF) Initiative, have demonstrated that relatively low-cost interventions,

such as funding project-level technical studies, legal work, financial modelling and so on, can make a large impact in converting conceptual projects to bankable projects.

19. A critical aspect of a successful PPF is having a clear line of sight to the next round of financing. The development work funded by a PPF should be aligned with the demands of follow-on capital. The integrated approach offered by the proposal allows for a regular communication and standards building between the PPF and Credit Facility elements. Moreover, the RGIF includes a steering committee consisting of BRD and FONERWA representatives, as well as other members when coordination and overall programme strategy is required. However, since the RGIF Steering Committee will serve an advisory role only, the independent TAP strongly recommends that the implementing entities also establish a robust and regular communication process between themselves at a working level. It will be important for FONERWA to have a realistic knowledge of potential project bankability when making grant decisions. This assessment should be informed by, and grounded on, the views of BRD and commercial lenders as a source of next-round finance. The independent TAP anticipates this will be an evolving discussion as the economic realities of Rwanda adjust.

20. Similarly, to meet legal, financial and engineering standards, the PPF works need to be aligned with the expectations of the Credit Facility and the market more broadly. A PPF not tethered to the expectations of follow-on financiers will fail to make best use of its grant funding and will not create commercial value in the early-stage projects. The independent TAP strongly recommends that the RGIF process include input from commercial lenders familiar with the Rwandan market. One possible path is to establish a working group to facilitate communication between the PPF and the Credit Facility, which includes private sector representatives. The goal is to incorporate real market information into the grant-making process and avoid the risk of a closed public-to-public information loop.

21. The RGIF Steering Committee has the potential to include representatives from development partners who are co-funding the RGIF. The independent TAP would encourage that project sponsors invite and include members of other RGIF funders to broaden the diversity of experience on the committee.

22. The independent TAP also notes an innovative feature of the PPF involving the provision of reimbursable grants to serve as partial collateral support. Collateral requirements are a barrier to finance in markets like Rwanda where developers have limited balance sheets, so the RGIF intends to offer partial collateral support (capped at 50 per cent). The credit enhancement of partial collateral support should in practice be akin to a guarantee without the additional cost. Cost efficiency is important in a high interest rate environment such as Rwanda. Additionally, the reimbursable nature of the grant can permit regular recycling of the funds within the RGIF throughout the programme tenure.

23. The independent TAP commends the 50 per cent limit on collateral support as it should prove sufficient to allow developers to raise financing for more projects while ensuring that developers have “skin in the game.” As with all financial products, a lack of skin in the game by one party risks misaligned interests in the future, which may lead to conflict and inertia. It is thus an important feature of the RGIF to require at-risk capital from its partners. The success of this collateral will depend on the PPF maintaining high screening standards in terms of the likelihood of success of the underlying projects.

24. The independent TAP further observes that there is some risk of over-concentration and subsidization if the partial collateral support is solely used to support projects that are receiving Credit Facility finance through BRD. The independent TAP recommends that the RGIF seeks to build a portfolio of reimbursable grants that also support loans from non-BRD sources in addition to BRD’s Credit Facility.

25. The Credit Facility is intended to provide direct co-finance to climate-friendly projects in Rwanda. The co-finance nature of this facility is critical, as the goal of the RGIF is not limited to funding-worthy projects but is also to educate and shape the commercial landscape so that local banks gain first-hand experience in the relevant sectors. A barrier to climate finance in Rwanda is the lack of expertise and familiarity at commercial banks. By requiring that at least 30 per cent of project funding comes from non-RGIF sources, the programme can crowd in other market participants. Additionally, the RGIF's remit includes conducting market-making activities, such as organizing debt syndicates with other commercial co-financiers, as well as securitizations where appropriate. The funding proposal provides as an interesting example the solar securitization initiative under the Climate Policy Initiative (CPI) Global Innovation Lab for Climate Finance, which would apply the successful Brazilian Green Fundo de Investimento em Direitos Creditórios (FIDC) model to the Rwandan context by using BRD's Credit Facility capital as a bridge towards private sector securitization. The independent TAP commends the RGIF sponsors for their intention to act as market-makers and contributors of "sweat equity" to advance eligible projects.

26. The Credit Facility is also designed to provide a level of concessionality for climate projects in the form of discounted interest rates and long-dated tenors. To prevent market distortion, the RGIF Credit Facility will only be available to those projects that could not otherwise access commercial finance. The project sponsors include a lack of access to other finance as an investment criterion and have a due-diligence process for such claims. This introduces some project management risk, as any claim that other financing is not available incorporates a degree of subjectivity. It will be important for the RGIF to maintain high diligence standards when screening for this investment criterion. The independent TAP recommends that the GCF Secretariat work with the accredited entity to develop reporting requirements and standards to mitigate the risk of the proposed Credit Facility being used by more sophisticated market participants with an undetermined need for concessionality.

27. The independent TAP also notes with approval that funding under the Credit Facility will be in local currency. While GCF funds will be in United States dollars, the Government of Rwanda, represented by the Ministry of Finance and Economic Planning (MINECOFIN), will make the funds available to BRD in local currency via the Central Bank of Rwanda. BRD will then lend the funds to local developers in Rwandan francs.

28. The RGIF has the potential to engender positive climate impacts. Integrated programmes that provide capital for project development, with a line of sight to follow-on credit, have been instrumental in helping jurisdictions achieve their climate goals in a manner that is both financially sustainable and enables other sources of finance. While the independent TAP has questions about some of the projections presented in the funding proposal, these questions concern the potential scale of impact and not whether the RGIF can have a positive climate change impact in Rwanda, which seems clear. The RGIF will provide financing and investment opportunities for renewable energy, green buildings, sustainable agriculture and transport and, in turn, help to reduce Rwanda's dependence on fossil fuels and mitigate the effects of climate change.

29. Importantly, the funding proposal intends that the RGIF will act as a market-maker within the existing financial landscape. This essential role is key to advancing potential climate projects that are outside the scope of public-sector budgets but require de-risking and securitization to attract private investment. This market-making function is a typical remit of green banks. In addition to providing financial resources, green bank principles suggest that an institution's most valuable asset is its willingness and ability to contribute the "sweat equity" that private parties are often unwilling to provide. Sweat equity in this case involves the time and human capacity required to arrange investment opportunities and to structure transactions

that would otherwise not be of interest to the market because of the perceived effort needed to reach financial close.

30. In addition, the RGIF will build the capacity of project developers and local financial institutions and will create hands-on experience in green lending. Both BRD and FONERWA are public institutions that will benefit from the climate finance tools, expertise and programmatic capability needed to support national climate goals.

31. Overall, the independent TAP regards the RGIF's impact potential as medium.

1.3 Paradigm shift potential *Scale: Medium to high*

32. Rwanda faces several barriers to climate finance due to the small size of its local financial sector, lack of long-term financing and lack of relevant expertise. The RGIF is intended to address these market constraints by taking a blended finance approach to increase climate-related investment in key sectors to achieve Rwanda's sustainable development goals.

33. The RGIF is not a one-off project but instead is designed to be a catalyst across the local economy by providing customized financial and non-financial products to assist projects in achieving bankability and growth. The RGIF is expected to contribute to a paradigm shift in Rwanda by expanding the number of bankable climate projects in Rwanda and by demonstrating their commercial viability. If successful, the RGIF will help reduce market misperceptions of climate projects by expanding the direct experience of local financial institutions and by enlarging the project developer community so that more climate-friendly projects can reach fruition in a timely manner. As more projects are developed (and financed by the private sector), the RGIF will help create an improved environment for future project development.

34. The independent TAP notes that the RGIF incorporates many green bank principles, and the funding proposal claims that it will be the first application of the green bank model in a central African nation. Although, in the view of the independent TAP, the RGIF is not strictly a green bank, it does model many of the attributes of green bank activities that can be broadly replicated across the region.[3]

35. The paradigm shift potential of green banks rests on their ability to address investment barriers by strategically using limited public funds to leverage far greater private investment. A green bank is typically designed to achieve this in a sustainable manner, by supporting environmental sustainability <u>but also</u> remaining financially sustainable as an institution. Those institutions that expect periodic infusions of public funds are not truly green banks and have limited paradigm shift potential. The financial returns sought by green banks may be more modest than those of purely commercial entities, but they should be sufficient to secure the financial health, credit rating and longevity of the green bank itself. The investment discipline generated by requiring the investment to be returned will help the RGIF Credit Facility to become a trusted partner for other sources of co-finance.

36. The RGIF is designed as a self-sustaining programme that can expand and secure additional capital from various partners as it matures. By demonstrating the profitability of low-carbon investments across the target sectors, RGIF will help to further scale up and address other green sectors suffering from similar barriers. Following the development of increased capacity and experience at FONERWA and BRD, these institutions will be better prepared to secure extra funding from sources beyond GCF. This will enable them to offer the necessary

[3] To this end, the AfDB claims in the funding proposal that it is exploring replication of green bank models in more than six other African countries.

catalytic support to the private sector, thereby facilitating the significant expansion of green sectors in Rwanda.

37. The independent TAP notes positively that most of the requested GCF funding is in the form of a loan facility which requires payback of the principal and interest, albeit highly concessional interest. This pragmatic approach is in line with green bank best practices and an indication that the project sponsors intend to establish a useful entity.

38. The RGIF also has the potential to drive policy innovation and ambition by demonstrating what is possible in Rwanda and providing policymakers with a tool to further accelerate mitigation and adaptation ambitions. An increase in the number of bankable projects will not only lead to significant climate impacts but should also provide a broader catalytic effect by driving finance into 'hard to reach' sectors such as climate adaptation projects.

39. The independent TAP also observes positively that the RGIF, like other green bank efforts, will be well positioned to develop and disperse market knowledge in the local financial sector, as well as driving cross-sector collaboration in project development. Lastly, the RGIF can also function as a trusted partner to cross-border capital providers. One of the impediments to attracting finance to developing markets from international private sources is a perception of the country's levels of risk. These risks can be mitigated by a local co-finance partner that understands local political and economic realities.

40. Similarly, the RGIF can function as a trusted partner to both domestic and international investors in terms of the green or climate credibility of transactions. More investors are looking for assets with sustainability at their core, while still generating an appropriate risk-adjusted return. Programmes that maintain high impact standards and enforce high-quality screening, oversight and reporting can improve the attractiveness of co-investments in their markets. When the RGIF is part of the transaction, co-investors will perceive the project's climate attributes as credible, which will reduce the perceived environmental impact risk.

41. Overall, the independent TAP rates the potential for the RGIF to effect paradigm shift as medium to high.

1.4 Sustainable development potential *Scale: Medium to high*

42. The RGIF objectives are aligned with Rwanda's development goals along with the following United Nations Sustainable Development Goals (SDGs): 1 – No poverty, 5 – Gender equality, 7 – Affordable and clean energy, 8 – Industry innovation and infrastructure, 11 – Sustainable cities and communities, 13 – Climate action, and 17 – Partnerships for the goals.

43. Under the RGIF, climate-friendly projects and businesses in Rwanda will have greater access to affordable finance. The integrated supply of early-stage development capital and growth financing should increase the overall number, scale and speed to market of green projects in the agriculture, urbanization, energy and transportation sectors. The independent TAP notes that developers in Rwanda currently lack the financial resources to develop and grow their businesses, and the RGIF is designed to enable such businesses to expand while supporting low-carbon economic growth. In this way, the RGIF can contribute to Rwanda's NDC targets while also supporting the country's economic recovery and long-term growth. Other direct beneficiaries of the RGIF include local financial institutions, which will build capacity and gain experience specific to the climate sector. BRD and FONERWA will also benefit from institutional capacity-building.

44. The RGIF proposal credibly demonstrated its potential to contribute to the sustainable development of Rwanda beyond mitigation and adaptation impacts, including the following:

45. Economic co-benefits: Many of the RGIF's priority sectors are already significant drivers of Rwanda's gross domestic product (GDP) growth. Beyond the climate benefits, growth in these sectors will have direct economic impact, contributing to more economic activity and increased output in key growth sectors, including agriculture, construction and energy. For instance, urban construction has been one of the fastest-growing sectors of the economy in recent years, and the agriculture sector is the largest employer in Rwanda. Consequently, RGIF investments in green building construction and climate-smart agriculture are forecast to have significant impacts on economic growth and jobs.

46. Social co-benefits: Supporting the development of mini grids could provide electricity to over a million people in rural areas. RGIF finance can support projects that will improve access to clean and affordable energy, improving the quality of life and economic opportunities of Rwandans.

47. Gender co-benefits: Women make up 52 per cent of Rwanda's population, with a greater percentage in rural areas and in the agriculture sector. The programme policies prioritize funding women-led companies and those whose outputs can benefit women who are vulnerable to climate change. For this reason, the RGIF places a specific focus on target sectors such as climate-smart agriculture and rural energy access, where women are most likely the primary beneficiaries of projects. A RGIF target will be to have at least 30 per cent of projects in its investment portfolio with a strong gender-responsive component.

48. Environmental co-benefits: A target sector for the RGIF is renewable energy and energy-efficiency projects, which will help reduce emissions by reducing Rwanda's reliance on GHG-intensive energy sources like biomass and fossil fuels. The RGIF will screen projects to identify whether they can achieve real emission reductions while minimizing indirect environmental impacts.

49. Overall, the independent TAP rates the sustainable development potential of the RGIF as medium to high.

1.5 Needs of the recipient *Scale: High*

50. Rwanda is highly exposed to the impacts of climate change. It has experienced more frequent and more intense climate hazards. These changing conditions are expected to impair agricultural productivity, food availability, water resources, human health, ecosystems and energy production. The funding proposal highlighted that Rwanda is one of the African countries that are most vulnerable to the impacts of climate change.

51. The country is a least developed country with low economic development, making the finance of mitigation and adaptation interventions challenging. Notwithstanding its economic status, Rwanda has committed to reducing its GHG emissions by 38 per cent by 2030. The RGIF is expected to contribute to this goal by improving access to finance for mitigation and adaptation projects in renewable energy, efficient buildings, clean transportation and sustainable agriculture. The RGIF programme has been designed with the needs of the local market in mind, based on feasibility analyses, market studies and stakeholders' input, which the independent TAP has been able to assess.

52. The independent TAP notes that the climate finance needs of Rwanda are substantial and unlikely to be met by public finance alone. Consequently, addressing the major constraints to private investments will be essential for Rwanda's sustainable growth. According to the CPI report *The State of Climate Finance in Africa: Climate Finance Needs of African Countries* (2022), Rwanda's climate financing needs to meet its NDC are estimated to be USD 10.6 billion between 2020 and 2030. From an annual climate finance need of USD 1.67 billion, Rwanda managed to

secure only USD 717 million in 2020, meeting 42 per cent of its needs. The RGIF will focus on sectors which suffer from underinvestment due to market barriers. The identified barriers include lack of a developer track record, funders' high perception of risk, high borrowing costs and collateral requirements, and a lack of early-stage risk capital to drive the projects to bankability. The RGIF will seek to address these barriers by providing financing solutions for climate projects and by enhancing capacity across the finance, development and public sectors.

53. RGIF investment will result in direct benefits to recipients, including increased access to clean energy, increased access to climate-smart agriculture equipment and increased access to energy-efficient and climate-resilient housing. For instance, the electricity and agriculture sectors in Rwanda are characterized by poor supply and poor productivity. According to the RGIF funding proposal, approximately 70 per cent of Rwandans lack access to electricity, with 88 per cent lacking access in rural areas and 28 per cent lacking access in urban areas. Furthermore, 70 per cent of the population works in agriculture on a low income, constituting the most vulnerable segment of the population, given their dependence on rainfall and resulting exposure to greater climate variability.

54. Overall, the independent TAP rates the needs of the recipient as high.

1.6 Country ownership *Scale: Medium to high*

55. The RGIF project is an initiative of the Government of Rwanda (represented by MINECOFIN), BRD and FONERWA. BRD and FONERWA are both national public institutions with green financing mandates and they will serve as the RGIF's implementing partners. The independent TAP has assessed that there is substantial political support and intention on the part of the Rwandan public sector to establish the RGIF to facilitate its climate goals. The Government of Rwanda has also provided a no-objection letter.

56. The independent TAP has assessed that the establishment of the RGIF aligns with Rwanda's overall national planning objectives and development goals, including Rwanda's NDC and its national development plan, the National Strategy for Transformation. For instance, Rwanda's updated NDC identifies renewable electricity generation, climate-smart agriculture, clean transportation and green buildings as priority sectors for mitigation and adaptation interventions. The RGIF is specifically designed to mobilize finance for these sectors and thus will contribute to the implementation and realization of Rwanda's NDC targets.

57. The RGIF was designed by Rwandan public entities in partnership with the AfDB and has received support and co-finance commitments from international development partners including the United Nations Development Programme (UNDP), the Nordic Development Fund (NDF), The Agence Française de Développement (AFD), the European Investment Bank (EIB) and Sida, among others. The Government of Rwanda is not providing any additional co-finance but will intermediate the GCF loan and in such a manner to partially absorb the foreign exchange risk.

58. The INDEPENDENT TAP has also assessed that a broad array of other key stakeholders were engaged during the design of the RGIF, including project developers, commercial banks, the national development bank, the national pension funds, the Sovereign Fund (Agaciro Development Fund), and Rwanda Development Board (RDB), among others.

59. We note also that FONERWA is a public entity with the mandate to scale up climate finance in Rwanda. The RGIF is being designed to complement FONERWA's current grants programme and its existing private sector facility strategy.

60. The independent TAP considers the RGIF to be aligned with host country priorities and assesses involvement on the part of Rwanda to be significant. Overall, the independent TAP rates country ownership of the funding proposal as medium to high.

1.7 Efficiency and effectiveness *Scale: Medium to high*

61. The establishment of the RGIF aligns with GCF's Private Sector Strategy. Specifically, it will help to build the capacity of public institutions in Rwanda for climate finance and will mobilize private sector finance at scale by de-risking investments from commercial institutions. In the view of the independent TAP, the RGIF offers an effective and efficient approach to scaling up private climate investment in Rwanda by incorporating green bank principles and working with two existing and well positioned institutions (FONERWA and BRD). The programme will build on the demonstrated capacity of these institutions to create new climate finance tools and market capacity in support of Rwanda's climate goals.

62. As noted earlier in this assessment, the provision of early-stage capital in markets like Rwanda is one of the more effective and efficient manners to build up development capacity and a pipeline of investable opportunities. As in many markets, the general lack of funding is often not the material barrier to climate action. A more nuanced approach recognizes that the main barriers are typically a lack of a specific type of funding (early-stage capital) and the commensurate lack of bankable projects. The independent TAP commends the effort to address this barrier through development capital and an innovative partial-collateral instrument. Moreover, the integrated approach that links development capital with a credit facility has the potential to be effective in moving projects from concept to development and construction and ultimately to operation.

63. On the credit side, the programme should be able to materially increase the available finance in Rwanda for climate projects, both by offering direct lending to eligible projects and by mobilizing local financial institutions. The blended finance nature of the Credit Facility can help mitigate barriers such as tenor, high perceived risks and cost of capital. BRD will work closely with commercial banks to structure transactions and will report on its progress towards the goal of mobilizing co-investment. The independent TAP further notes that RGIF features, such as a 70 per cent cap on concessional capital from the programme, and conditions designed to avoid market distortions, provide reassurance that the programme is reasonably well designed and adapted for the Rwandan context. Both the grant and credit components will focus only on projects that are not yet bankable without credit enhancement, or financial or development support.

64. The Credit Facility also intends to use GCF concessionality to offer highly competitive financing rates directly to eligible projects. The funding proposal and the feasibility study adequately map the interest rate environment in Rwanda and justify the discounted rates that the RGIF intends to inject into the market. The accredited entity informed the independent TAP that GCF's concessionality will be passed on to end-borrowers in a transparent manner. However, the mechanism by which this will be ensured is unclear. The independent TAP strongly recommends that the GCF Secretariat works with the project sponsors to establish a mechanism (to be captured in the funded activity agreement) that makes it obligatory for BRD to provide evidence that the GCF concessional terms are substantially passed on to the final loanees. Such evidence could include calculations of what BRD would have charged its loan clients if it had funded these loans from its own balance sheet or using objectively verifiable market benchmarks.

65. Related to this, the independent TAP observes the existence of deployment risk that could trap GCF concessionality in BRD or Government of Rwanda treasury operations. Earlier in

this assessment, the independent TAP noted its concern over the uncertain nature of the RGIF pipeline and whether the envisaged deployment pace was realistic. A slow deployment can lead to some unintended consequences if it is not carefully guarded against. First, there is the risk that highly concessional GCF money ends up parked in public treasuries, earning passive returns far in excess of the concessional pricing. This scenario can lead to an unwillingness to pass on concessionality to end users of the finance in a timely manner. Alternatively, the independent TAP has sometimes observed initial slow deployment because market overestimation has led to late efforts to accelerate deployment to focus on large and arguably fully commercial investments. The independent TAP raises these points so that the sponsors and the GCF Secretariat can be alert to deployment problems before they deteriorate.

66. We assess that the RGIF eligibility criteria are aligned with the objectives of the GCF investment criteria. We note positively that the selection criteria screen projects based on their commercial viability, to avoid scenarios where projects receive grant funding from the PPF but are unable to progress beyond that stage to access financing from the Credit Facility or other commercial sources. Under the RGIF, projects must demonstrate financial viability (for example, through a financial model, business plan and supporting documentation), including articulating a strategy for accessing private or commercial investment. This is an important screening criterion to maintain an efficient and effective programme.

67. The RGIF intends to generate co-financing at the programme level by working with funding partners (such as AfDB, Sida, EIB, AFD, the Foreign, Commonwealth & Development Office (FCDO) of the United Kingdom of Great Britain and Northern Ireland, responsAbility, the Danish International Development Agency (DANIDA) and NDF). Project-level co-financing will be generated by requiring at least 30 per cent of capital to come from a non-RGIF source. In this way, the RGIF can crowd in local market participants through concessional co-finance (which has a longer tenor and lower costs) and deal arrangement activities. The co-financed direct lending approach will also enable other capital providers to gain direct experience in financing climate projects.

68. The independent TAP notes positively that RGIF loans will be denominated in local currency.

69. In the view of the independent TAP, the RGIF is well designed overall and has a well-defined mandate that can facilitate risk-taking investments in support of climate interventions in Rwanda. The independent TAP also views favourably the amount of co-finance and the variety of co-finance partners that the RGIF is attracting in Phase 1 of its programme. The independent TAP is disappointed that AfDB, as the accredited entity, is not participating in Phase 1 but instead has delayed its contribution to 2028 or beyond. The AfDB has explained that it plans to provide USD 10 million in financing through a sovereign loan in the second tranche of funding once it has room in its Rwandan allocation (i.e. headroom). A Phase 1 participation would have better aligned the interests of GCF with the accredited entity, but it appears infeasible at the moment.

70. The independent TAP notes that, in addition to financing new mitigation and adaptation projects, the Credit Facility also intends to refinance existing loans to projects in the relevant sectors. The independent TAP has raised concerns about the likelihood of limited concessional finance being used to fund projects that are already operational and have successfully accessed funding in public and/or private markets. The potential climate impacts (and co-benefits) associated with these projects are locked in prior to any re-financing by the RGIF. The independent TAP does not view such refinancing as optimally efficient from a catalysing climate impact standpoint. The independent TAP understands that the taking out of expensive or short-term debt could arguably improve the financial sustainability of climate projects; however, the risk of non-additional financing is significant.

71. Overall, the independent TAP rates the efficiency and effectiveness of this programme as medium to high.

II. Overall remarks from the independent Technical Advisory Panel

72. The RGIF programme is very much in line with green bank principles that have proven effective in providing critical climate mitigation and adaptation financing. The independent TAP believes that the RGIF can open the door for public and private capital for projects that would not have succeeded without these interventions. The RGIF will do this by providing financing and other assistance to project developers, which can help to reduce the cost and risks (real and perceived) of investments in climate change mitigation and adaptation. Like other successful green bank efforts, the RGIF will seek to deploy not only its own capital, but also drive private investment, which can help to further accelerate the transition to a more sustainable economy.

73. There are, however, a few areas of concern that the INDEPENDENT TAP raises in this assessment and hopes that the project sponsors will be attuned to going forward. In particular, the independent TAP is concerned by the reputational and impact risks associated with refinancing projects that have already accessed sufficient funding. The independent TAP asks that the programme sponsors and GCF Secretariat work together to curtail this risk prior to the closing of this transaction.

74. With the above in mind, the independent TAP endorses this funding proposal subject to the inclusion of a covenant in the FAA as follows:

(a) The Accredited Entity shall ensure that no GCF Proceeds are used (whether through the PPF or Credit Facility) to refinance or otherwise support RGIF sub-projects which are or will be fully funded by way of legally-binding commitments from other sources, except in cases where the Accredited Entity demonstrates, in a form and substance satisfactory to the GCF Secretariat, acting reasonably, that extenuating circumstances exist which make the proposed refinancing in question necessary to prevent the failure of a sub-project that would otherwise be able to receive funding from RGIF. The limitations set out in this paragraph shall not apply to other co-financing which is made available through RGIF.

Response from the accredited entity to the independent Technical Advisory Panel's assessment (FP221)

Proposal name:	The Rwanda Green Investment Facility (RGIF)
Accredited entity:	African Development Bank
Country/(ies):	Rwanda
Project/Programme size:	Medium

Impact potential
Thank you for the assessment of the Impact potential of the proposal. Kindly note that the GHG emission reduction is 0.92million over the project lifetime and not annually. The point of ensuring that smaller projects are integrated into the pipeline is well noted as is the importance of strengthening the technical synergies between BRD and FONERWA to ensure increased impact.
Paradigm shift potential
The paradigm shift potential is well captured in the assessment.
Sustainable development potential
Thank you for highlighting the alignment of the programme with some key SDGs and several benefits that the programme will yield.
Needs of the recipient
Thank you for the emphasis on the need to leverage private finance to help Rwanda meet the NDC goals. RGIF will certainly help to address some barriers to meet the level of private financing required.
Country ownership
The observation from ITAP is well noted.

Efficiency and effectiveness
Thank you for highlighting the innovativeness of the RGIF approach. The observations on the need to ensure the end borrowers are able to benefit from the concessionality and the risk related to slow disbursement are also duly noted. It should also be noted that AfDB's participation is only possible in Phase 2 as the AE's headroom will only be available then.
Overall remarks from the independent Technical Advisory Panel: Thank you for highlighting the RGIF's alignment with green bank principles and its catalytic role in supporting climate finance. The proposal of the covenant to ensure there is no refinancing is also noted.

The Rwanda Green Investment Facility (RGIF).

Gender Assessment Report & Gender Action Plan

African Development Bank

September 2023

Part 1: Gender Assessment Report

Executive Summary

Women constitute 51.5%[1] of Rwanda's population with an even greater majority of women living in rural— and more climate-vulnerable – parts of the country. Rwanda is a small, low-income country with significant needs in terms of economic development and is, according to the ND-GAIN Country Index[2], among the most vulnerable countries (rank 151) to climate change. Major priority sectors such as energy, agriculture, water and sanitation are characterized by poor supply and productivity, lack of basic infrastructure and reliable service affecting the majority of people in rural areas. In the energy sector for example, approximately 70% of Rwandans lack access to electricity, with 88% lacking access in rural areas and 28% in urban areas. Furthermore, 70% of the general population works in agriculture, and 82% of women work in agriculture,[3] which are typically subsistence or low wage occupations. They constitute the most vulnerable segment of the population given climate variability and dependence on rainfall for crop production. The urban sector which also lacks appropriate climate resilient infrastructure is also impacted by climate variabilities as Rwanda is very hilly which contributes to high localized population densities (Rwanda is one of the most densely populated nations in the world according to the World Bank) and vulnerability to landslides in urban (and rural) areas. Investing to address structural challenges in national priority sectors such as energy, green cities, agriculture, water and sanitation, etc while empowering women who are the most vulnerable, has the potential to make a significant impact on the Rwanda economy. The RGIF has the mandate to scale up climate finance and increase private investments in low-carbon and climate-resilient projects[4], and is well positioned to address both Rwanda's economic development and climate-related investment needs while empowering women. Indeed, as outlined below, women are most likely the primary beneficiaries of projects in RGIF priority sectors.

The RGIF will place a specific focus on target sectors where gender equality is poorly addressed such as in climate smart agriculture, shifting away from biomass for cooking, and rural energy access through min-grids. Additionally, women-owned businesses in the RGIF pipeline have been identified and prioritized in the RGIF criteria and in the project pipeline development process. The RGIF project pipeline and eligibility criteria focus on serving these sectors which currently suffer from chronic under investment due to market barriers that impede investment in low-carbon, climate resilient development projects.

RGIF investment support will help overcome these barriers, and provide appropriate financing to support these projects and scaling up low carbon markets in Rwanda. This will result in direct benefit impacts to recipients, targeting at least 50% of women. These benefits include increased access to clean energy, increased access to climate smart agriculture equipment, and increased access to housing that is energy efficient and climate resilient. Focusing on addressing specific challenges related to women empowerment to address climate change will not only benefit the country's development goals but will contribute to national economic recovery.

[1] EICV5_Main_Indicators report (National Statistics: www.statistics.gov.rw/publication/eicv-5-main-indicators-report-201617).
[2] https://gain.nd.edu/our-work/country-index/rankings/
[3] http://riverapublications.com/article/agricultural-transformation-in-rwanda-can-gendered-market-participation-explain-the-persistence-of-subsistence-farming#:~:text=The%20sector%20involves%2082%20percent,employer%20of%20women%20in%20Rwanda.
[4] OECD (2016) "Green Investment Banks: Scaling up Private Investment in Low-carbon, Climate-resilient Infrastructure." http://www.oecd.org/environment/cc/green-investmentbanks-9789264245129-en.htm

The relevant national level stakeholders were consulted, to inform the assessment on the prevailing challenges, barriers, or good practices of women in the RGIF priority sectors especially in Agriculture and Energy. The outcomes of the consultations informed the information that is described in the Gender Assessment report.

From the national level, there is a National Gender Machinery (NGM), the leading mechanism for the coordination of stakeholders operating in the field of gender equality promotion and women's empowerment across different sectors. The NGM comprises of the Ministry of Gender and Family Promotion (MIGEPROF), Gender Monitoring Office (GMO), the National Women's Council and the Rwanda Women Parliamentary Forum.

- Ministry of Gender and Family Promotion (MIGEPROF): with a leading role for the NGM, MIGEPROF has the mandate to oversee the implementation of the National Gender Policy and provide guidance for gender mainstreaming across sectors.
- Gender Monitoring Office (GMO): GMO is an independent organ monitoring and evaluating compliance of various institutions on gender indicators on a permanent basis.
- National Women's Council (NWC): NWC was established to serve as a forum for women at all governance levels. NWC carries out advocacy for the most vulnerable women, mobilizes women to know and claim their rights, including participation in the civic life, and builds the capacity of its grass-root levels. The woman elected as a representative of the National Women's Council at District level becomes a member of the District Council.
- Rwanda Women Parliamentarian Forum (FFRP) lobbies and advocates for legislation to support gender equality and women's empowerment

<u>Rwanda Gender Dynamics Overview</u>

Health, Poverty & Life expectancy

Women constitute the majority of the population in Rwanda (51.5%[5] as of 2018), and their overall situation including education, employment, health, life expectancy has been improving for the last twenty years, due in part to various initiatives from the GoR to promote and implement women-friendly policies and reforms. The maternal mortality ratio for example has significantly decreased from 1,071[6] maternal death per 100,000 live births in 2000 to 210[7] deaths in 2014/2015[8]. This significant decrease of the maternal mortality ratio is the result of the country's efforts to strengthen women's access to better care by reducing gender barriers to receiving essential health services.

In Rwanda, social protection policies and programmes have been targeting female poverty reduction through more participation in productive economic activities. These programmes include *Vision 2020 Umurenge Program (VUP*), Ubudehe, *One cup of milk per child program*, and *One Cow per Poor Family (Known as GIRINKA)*, the Genocide Survivors Support and Assistance Fund (FARG), etc. These programmes have provided direct cash support, opportunities for employment as well as facilitation in accessing

[5] National Gender Statistics Report, 2019
[6] National Gender Statistics Report, 2019
[7] National Gender Statistics Report, 2019
[8] National Gender Statistics Report, 2019

financial services. 64.4% of females benefited from the direct support scheme from the GoR compared to 35.6% of males in 2016/2017 according to the 2019 National Gender Statistics Report.

Despite this, women remain the most vulnerable group in Rwanda, especially those living in rural areas. In 2016/2017, 17.8% of households headed by women were in extreme poverty (down from 26% in 2010/2011), most of them living in rural areas compared to 15% of households headed by men. The overall poverty rate among households headed by women was around 39.5% in 2016/2017 a sharp decrease from 47% in 2010/2011 but still behind households headed by men estimated around 37.8% in 2016/2017.[9]

Education & Skills

Girls' education in Rwanda has been improving for the last twenty years thanks to clear policies and initiatives from the government. This includes the 2008 girls' education policy, initiatives to increase women participation in science and technology and various programs ensuring that girls have access to meaningful learning opportunities (the introduction of twelve years basic education programme (12 YBE), measures set in place for quality assurance in the education sector, etc.). Girls' enrolment at primary education level was 1,244,361[10] in 2018 representing 49.7% of the total children enrolled down to 2014 where it was representing 50.8% (with a gender parity index of 0.98%[11], meaning there was 98 girls' students for every 100 boys' students).

This trend has been observed in many education sectors. In Technical and Vocational Education Training (TVET) for example, despite many government initiatives to increase girls' enrolment, girls were still lagging behind representing 43.8% of the total children enrolled in TVET in 2018. Another example is computer literacy skill which is low in Rwanda in general but much lower among women aged 15-30 years compared to men of the same age (10.7% compared to 13.8%). In tertiary education, girls' enrolment still lags behind with a decreasing trend of the numbers of girls enrolled from 2014 to 2018 at 39,146 to 38,041. Yet at the same time, boys' enrollment had increased from 47,857 to 51,119.

Moreover, in tertiary education fields such as Sciences, Technology, Engineering and Mathematics (STEM) women's enrollment is even farther behind when compare to men's. In sciences for example, women enrollment was 40.7 %[12], in engineering, manufacturing and construction only 29.1%[13] were women. These inequalities in access to tertiary education have been affecting women's chances for better employment opportunities. Numerous studies have demonstrated that girls' enrollment in tertiary education, especially in STEM fields would yield significant contribution in social and economic national transformation.

Women Status and Household Headship

Rwanda's constitution[14] of 2003 revised in 2015 prohibits any form of discrimination and emphasizes the principle of equality and non-discrimination to all citizens. It guarantees equal rights for women and men and has provided the foundation to promote and advance gender responsive legislation in multiple areas including inheritance, land and property rights, women participation in politics, etc. The constitution

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[9] National Gender Statistics Report, 2019

[10] National Gender Statistics Report, 2019

[11] National Gender Statistics Report, 2019

[12] MINEDUC, Education Statistics, 2017

[13] MINEDUC, Education Statistics, 2017

[14] Article 16 of the constitution.

provides for example, a minimum 30% women representation in all decision-making public organs in Rwanda. Women's representation in the Rwanda Government reached 50%[15] in 2018 up from 36.8%[16] in 2014. Additionally, the law nº32/2016[17] governing persons and family states that *spouses (female and male) jointly provide management of the household including moral and material support to the household as well as its maintenance.* It is worth noting that despite these laws, social and cultural norms, gender stereotypes and roles still prevail and limit full participation of women in leadership especially at the lowest level of governance and in families. In Rwanda, according to the culture and tradition, a man is considered the head of the household. In 2018, as per the 2019 National Gender Statistics Report, 25% of total households were reported to be permanently headed by women while 69% of the total households were headed by a man. According to the same report, but with data from 2015, 20% of women declared that they decided for themselves on how their earnings are used. Which is basically the same percentage of men, 19% of them declared that they were deciding alone on how their earnings (cash) are used. 68% of women declared that they were making joint decisions with their husbands, compared to 78% of men declaring the same regarding men's earnings. 96%[18] of married men were involved in decisions regarding major household purchases compared to only 73%[19] of women. 26%[20] of women declared that such decisions were usually made by the husband alone.

In general, in most vulnerable communities with less educated people, women lack the bargaining power, knowledge and means to exercise their rights. Additionally, while more married women are exercising greater decision-making power over their cash earnings as well as their land held jointly with their husbands, some women still experience challenges in exercising their decision power over their cash earnings. 12%[21] of women declared that their husbands had the decision power regarding their earnings well as only 2% of men stated that their wives are deciding on their earnings. Regarding land ownership for example, women still experience challenges in accessing land and controlling the land to which they do have access. Most of the time and especially within low-income families and in rural areas, women lack negotiating capacity to exercise decision-making over land. These challenges are limiting their capacity to use their land for more economic empowerment or to access to more economic opportunities.

Gender-based violence

Gender-based violence (GBV) is still a widespread problem in Rwanda, with women remaining the primary people affected. However, innovative national strategies and policies have been initiated by the government to eliminate GBV and promote gender equality at all levels. GBV in Rwanda is a complex issue rooted in patriarchy, which itself is enshrined in our cultural/religious notions, and various social conditions creating unequal gender norms and power relations. In the fight against GBV, prevention remains the best medicine. Sensitization should start from a young age within families and in schools, ensuring that parents and educational specialists promote values of gender equality while challenging derogating gender norms.

[15] National Gender Statistics Report, 2019
[16] National Gender Statistics Report, 2019
[17] Of August, 28, 2016
[18] National Gender Statistics Report, 2019
[19] National Gender Statistics Report, 2019
[20] National Gender Statistics Report, 2019
[21] National Gender Statistics Report, 2019

Part of the problem of GBV is that many survivors fail to report their cases, and sometimes, it is simply out of ignorance. Efforts have been made by the authorities to encourage the victims to report through initiatives such as the Isange one stop centres, where victims are supported medically, psychologically and offered legal aid. Many Rwandans are believers practicing their faith within organized religious structures, hence why the government has been working closely with these entities that offer a perfect platform to promote gender equality and fight GBV.[22]

Women participation in the Economy

The Rwanda government has committed itself to the promotion of gender equality and women's empowerment which has resulted in significant positive strides both socially and economically. In 2017, the World Economic Forum ranked Rwanda as the fourth best country in closing gender gaps; economically, Rwandan women's labor force participation rate is one of the highest in the world (86%)[23] (albeit mostly in the agriculture sector) with a lower wage gap between women and men than in many industrialized countries (88 cents per dollar)[24]. Additionally, 24.6% of the land is owned solely by women while 59.9[25]% of land is co-owned by women and men. All these progresses have helped reduce the gender gap in Rwanda economy, but many discrepancies still exist especially regarding the quality of employment for women.

Women represent 55.2% of the total workforce in Rwanda. 87.6% of these women are women working in informal agriculture activities, which reflects Rwanda's still primarily agricultural labor force. Additionally, the participation of women in the workforce is much lower in urban areas (53.5%) compared to 66.3% in rural areas. They are also more likely to be involved in informal cross border trade (when compare to most countries in East Africa[26]) than men. In 2018, more than twice the women in Rwanda were involved in informal cross border trade than men (752,679 women compared to 326,987 men).

Despite efforts to create more off-farms jobs, women are still lagging behind in manufacturing and services sectors compared to men. Additionally, regarding the employment status in the economy, men are more likely to have an employee status than a woman (69.2% for men compared to 67.8% for women, as of 2018). The percentage of women employed in dependent jobs was around 7.4% compared to 1.7% for men in 2018 according to the 2019 National Gender Statistics Report.

Women economic empowerment remains a challenge in Rwanda particularly in the private sector where their participation is still low (only 36.6% of people employed were female in 2018[27]) despite gaining more leadership positions in private sector organizations. Rwanda Private Sector Federation partnered with the United Nations to eliminate gaps in the private sector, and this has resulted in more women representation in decision-making boards. According to the 2019 National Gender Statistics Report, 30% of women held presidential positions and 70% vice-president positions on various chambers of the private sector. But a lot of efforts need to be done for women to create more sustainable and middle size companies. According to the same report, women are more likely to create micro enterprises than men. Out of 63 large companies in Rwanda (with more than 100 employees), only 16 were owned by women. This is due to

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[22] World Bank blog, 2018.
[23] UNDP Gender Equality Strategy Report for Rwanda, 2019-2022.
[24] UNDP Gender Equality Strategy Report for Rwanda, 2019-2022.
[25] National Gender Statistics Report, 2019
[26] National Gender Statistics Report, 2019
[27] National Gender Statistics Report, 2019

many factors including cultural norms, women family's obligation, limited opportunities and access to finance compared to men. Limited access to finance for example is a great challenge for women in Rwanda, where there is a clear gender gap regarding formal financial inclusion (63% for women against 74% for men). Both in terms of accessing credit and having formal savings that can be leveraged for more economic opportunities. It is worth noting that a clear gender gap is observed through formal savings where men are more likely to have savings than women. In 2016/2017, only 11% of women saved in banks compared to 15% of men and 38% of women had a formal savings product from a non-bank financial institution (SACCOs, mobile money) compared to 51% of men.

Focus on RGIF priority sectors: Agriculture and Energy

Agriculture sector gender assessment and opportunities for RGIF

Rwanda's agriculture sector employs the majority of Rwandan workers, a majority of whom are women involved mostly in traditional rain-fed and subsistence agriculture. The GoR have implemented various programs to support women empowerment in the sector, offering agriculture extension services for both crop production and livestock development. These programs have benefited women. In crop production for example, 90.7% of women-led households received extensions services compared to 88.4% of men headed households. Regarding livestock, while both women and men received equal support regarding livestock extensions services, it is worth noting that women-headed households have benefited more from the Girinka Program which consisted in providing reared cows to 1 million households in Rwanda. 18.6% of women headed households has been impacted compared to 11.4%.

However, it is worth noting that men are more likely to be involved in market or business oriented agricultural activities compared to women (47% vs 34.3%)[28]. Only 3.2% of women households involved in agriculture activities managed to get contract farming compared to 4.6% for men headed agricultural households. Additionally, women-owned land is less likely to be used in land consolidated schemes (only 11%[29] of land owned by women was used in land consolidation schemes in compared to 15.9%[30] for men's land) than men's land. This affects women's economic productivity and puts them in a difficult position to better exploit their land and increase their financial revenues. Consequently, women often lack the necessary revenue to be able to get access to financial support from commercial banks or SACCOs. RGIF investments in the sector should target to build women capacity to be more involved in business-related agricultural activities.

In Rwanda, women constitute the majority of people working in agriculture and living in rural areas and are therefore more likely to be more vulnerable to climate change effects in the sector. According to the Government of Rwanda, severe climate-related effects in Rwanda's agriculture sector pose a threat to food security. This affects more women as they are more involved in subsistence agriculture relying mostly on rainfall. Indeed, women headed households' land are less likely to be irrigated than men's lands. In 2016/2017, only 3.5% of women headed households' land was irrigated compared to 7% for men owned land. Additionally, according to the 2019 National Gender Statistics Report, only 62.5% of women headed households cultivated land is protected against soil erosion in Rwanda compared to 70.2% of land cultivated by men. It is worth noting that the percentage of land protected against soil erosion has

[28] National Gender Statistics Report, 2019
[29] National Gender Statistics Report, 2019
[30] National Gender Statistics Report, 2019

decreased for both men owned land and women owned land from 2014 to 2017. But the decrease was more significant for women owned land from 71.5% protected in 2013/2014 to 62.5% three years later. The percentage of land owned by men protected against soil erosion went from 72.9% in 2013/2014 to 70.2% in 2016/2017. With regards to this, RGIF investments efforts in the agriculture sector would target projects that aim to reduce women vulnerability in climate change and increase women owned land protection against climate change related impacts. Specifically, RGIF will have clear investment criteria that aim to **prioritize female led cooperatives in the agriculture sector**. As women constitute the most vulnerable workforce in the agriculture sector, investing in women cooperatives projects that fills other RGIF investment criteria is a key strategy that will contribute to women empowerment, especially in rural areas. Additionally, RGIF **will prioritize projects with gender-sensitive interventions that improve agricultural productivity and increase food security**. As women and children are the most food insecure in Rwanda. RGIF gender-sensitive approaches in the agriculture sector have the potential to strengthen women's participation in leadership and decision-making while increasing their involvement in more business and formal agricultural activities and revenue management. Moreover, by targeting investments in solar irrigation of female owned lands for example, RGIF will reduce the current gap where female owned lands are less likely to be irrigated and benefit from the government's extension services.

Energy sector gender assessment and opportunities for RGIF

Energy demand in Rwanda as in most countries in East Africa is driven by household consumption. With the main source of primary energy for residential use being biomass, mostly used for cooking. In most Rwandan households, women are in charge of cooking using charcoal or wood as a source of energy especially in rural areas with consequences to their health. Despite a persistent reliance on biomass as the primary source of energy, women have recently increased their use of alternative solutions to biomass as a source of energy. In 2016/2017, 0.9%[31] of female headed households used gas and biogas, a net increase from only 0.1% three years before. This is the result of the government efforts to promote clean cooking technologies including biogas as well as solar panels for lighting.

Regarding access to electricity, only 20%[32] of women headed households had access to electricity as a source for lighting compared to 29%[33] for men headed households in 2016/2017. Efforts from the GoR to promote the use of solar panels as a source of electricity in rural areas have contributed to women headed households' electricity access increasing to 20% access by 2017. Particularly, 4.5%[34] of women headed households were using solar panels compared to only 1%[35] three years before. However, it is worth noting that 7%[36] of female headed households were still using firewood for lighting compared to 2%[37] for male headed households.

It should be noted that women headed households were less impacted by the GoR solar campaign as the percentage of male headed households using solar panels increased even more from 2% in 2013/2014 to 8.5% in 2016/2017. Due to their general low level average income (compared to men) women have less

[31] National Gender Statistics Report, 2019
[32] National Gender Statistics Report, 2019
[33] National Gender Statistics Report, 2019
[34] National Gender Statistics Report, 2019
[35] National Gender Statistics Report, 2019
[36] National Gender Statistics Report, 2019
[37] National Gender Statistics Report, 2019

access to electricity and have fewer options for investing in alternative renewable energies or energy efficient solutions.

Other challenges faced by women in the renewable energy sector include difficulty to access to finance, not enough women entrepreneurs, as well as lack of expertise and skill. Few women attend tertiary education and STEM fields in particular.

RGIF activities in the energy sector **will aim to increase women access to more renewable sources of energies for cooking, lighting and productive use of energies**. Specifically, RGIF will **target investments in projects that have a clear goal of increasing women access to renewable energy and clean cooking technologies**. RGIF's PPF for example will focus on providing grant support for women led businesses in the renewable energy sector with the potential to scale. The support will ensure that these women-led businesses become bankable and attract more private investments to grow and provide more solutions to increase women access to renewable energies. This means specifically prioritizing investment support into solar projects for productive use, as well as biogas and efficient stove projects as an alternative to biomass. For women in rural areas, this will have an impact both on women' health and their workload as they will save time from collecting firewood in the forest. This time saved could be used for more productive economic activities that could increase their annual income. Investing with this gender strategic approach will result in a triple impact on climate, economic and health for women, especially those who are the most vulnerable.

Conclusion

Through specific investment criteria defined in the RGIF operations manual, RGIF will prioritize funding for women-led enterprises in all priority sectors. A special attention is paid in mitigating the sexual exploitation, sexual abuse and sexual harassment (SEAH) risks and unequal gender labour conditions this project could entail. An addendum to the ESMP is dedicated to SEAH risk assessment and mitigation measures. Additional gender-related measures to mitigate SEAH risks and gender unequal labour conditions are proposed in the gender action plan below.

RGIF will focus on companies that offer products or services that benefit more to women especially women who are the most vulnerable to climate change. This could mean investing in projects with the potential to close the gap regarding female owned land challenges in agriculture (soil erosion, lack of irrigation, etc.) as well as energy projects providing clean cooking alternatives and productive uses. Finally, RGIF will invest in projects with the high potential of creating jobs for women as well as increasing women skills development.

Part 2: Gender and Social Inclusion Action Plan

The RGIF will focus on target sectors where gender equality is poorly addressed such as in climate smart agriculture, shifting away from biomass for cooking, and rural energy access through min-grids **targeting at least 40% of its total investment portfolio**. The RGIF project pipeline and eligibility criteria focus on serving these sectors which currently suffer from chronic under investment due to market barriers that impede investment in low-carbon, climate resilient development projects. RGIF investment support will help overcome these barriers, and provide appropriate financing to support these projects and scaling up low carbon markets in Rwanda. A strong focus on women component will result in direct benefit impacts to recipients, targeting at least 40% of women led or related businesses described as follows:

- Companies that are led by women, including women as founders, chief executives or representing at least 30% of the senior leadership or 30% of the Board or Investment Capacity
- Companies where the shared of women ownership is at least 51%
- Companies where women represent at least 40% of the workforce;
- Companies that propose a product or a service that disproportionately benefit women, especially the most vulnerable to climate change;
- The project targets a high number of beneficiaries with clear demonstration of gender and social inclusion.

The RGIF benefits will include increased access to clean energy, increased access to climate smart agriculture equipment, and increased access to housing that is energy efficient and climate resilient.

The RGIF will operate in accordance with Rwanda's recognition that gender equality and fulfilment of human rights are interlinked - and a prerequisite for sustainable development and inclusive economic growth. In addition, the RGIF will be aligned with the GCF's Gender policy and support its the three main objectives as noted below including:

a) To support climate change interventions and innovations through a comprehensive gender approach, applied both within the institution and by its network of partners, including accredited entities (AEs), national designated authorities (NDAs) and focal points, and delivery partners for activities under the GCF Readiness and Preparatory Support Programme;
b) To promote climate investments that:
   (i) Advance gender equality through climate change mitigation and adaptation actions; and
   (ii) Minimize social, gender-related and climate-related risks in all climate change actions; and
c) To contribute to reducing the gender gap of climate change-exacerbated social, economic and environmental vulnerabilities and exclusions through GCF climate investments that mainstream gender equality issues.

To achieve these goals, the RGIF will build on FONERWA's current Gender Strategy and Action Plan crafted to ensure that gender mainstreaming supports successful institutional and organisational transformation, and gender equity across all programmatic interventions for environmental conservation and climate change mitigation and adaptation. Specifically, RGIF through its own Gender Action Plan below is committed to promoting gender equality at both the project levels and at the participating financial institutions part of the on-lending program. Focusing on addressing specific challenges related to women empowerment to address climate change will not only benefit the country's development goals but will contribute to national economic recovery.

Activities	Indicators	Baseline	Targets	Timeline	Responsibilities	Budget (USD)	Comment
Activity 1.1.1 Define specific gender sensitive eligible criteria per RGIF priority sectors for the PPF and Credit Facility in RGIF detailed manual of procedures	Specific gender related investment criteria defined in the RGIF operations manual. Eligibility criteria will include: female led business, percentage of female in the company leadership, number of jobs created for women by the project, number of women beneficiaries of the project, development and application of a code of conduct regarding SEAH and labour conditions for women and men	No manual of procedures No gender sensitive criteria for the credit facility eligibility	BRD and FONERWA have a gender-sensitive manual of operations, with gender sensitive criteria for the RGIF credit facility selection	By mid-2024	Gender Specialist, BRD & FONERWA	Project	Under the USD 504,000 allocated under Component 3, Activity 3.1.5 of project budget. Budget Note PM7 and PM8
	Portfolio Credit line: proportion of the investment going to Female-led businesses.	• FONERWA: 30% as per internal track record. • BRD: 10% as per BRD track record	>40% of the RGIF investment	By 2027	BRD and FONERWA management M&E Specialist, Gender Specialist	Project	
Activity 1.1.2 Develop a code of conduct including SEAH considerations and concrete mitigating measures to enhance gender	Code of conduct including SEAH considerations and labour conditions in FONERWA and BRD	No code of conduct including SEAH in FONERWA and BRD	Code of conduct including SEAH considerations and concrete measures to	By mid-2024	Gender Specialist, BRD & FONERWA	Project	Ibid

equal labour conditions			enhance equal employment opportunities and labour conditions				
Activity 1.1.3 Develop investment criteria requiring that companies apply a code of conduct related to SEAH and gender equal labour conditions that include gender-responsive grievance redress mechanism	Code of conduct including SEAH considerations and labour conditions in the companies selected NB: In the case the applying companies do not neither have a code of conduct including SEAH considerations and nor a code on equal labour conditions, this will be included in their training and made compulsory before they get the funding.	TBD	100%	By 2027	Gender Specialist, BRD & FONERWA	Project	Ibid

Activities	Indicators	Baseline	Targets	Timeline	Responsibilities	Costs (USD)	Comment
Outcome 2: Increased women awareness of the RGIF program (beneficiaries, women developers, etc.)							
Output 2.1 RGIF Communication plan & Outreach Campaign – Gender chapter							
Activity 2.1.1 Include a gender chapter in the RGIF market outreach & communication plan -Credit Facility	A clear market outreach & communication gender chapter	0	1 gender chapter in the credit facility	By mid-2024	Gender Specialist and BRD	Project	Under the USD 504,000 allocated under the Component 3, Activity 3.1.5 of project budget. Budget Note PM7 and PM8
Activity 2.1.2 Include a gender chapter in the	A clear market outreach & communication gender chapter	0	1 gender chapter in the PPF	By mid-2024	Gender Specialist and FONERWA,	Project	

market outreach & communication plan -PPF					Gender Focal point of FONERWA		
Activity 2.1.3 Create and update a data base of companies & projects led by women in RGIF priority sectors (in link with activity 1.1.2)	Number of women in the database of which FHH	0	100% of FHH data collected for the RGIF priority sectors	By mid-2024	Gender Specialist, BRD & FONERWA	Project	
Activity 2.1.4 Perform market awareness campaign for women led projects developers in RGIF priority sectors & women potential beneficiaries of RGIF programs and of the existence of a code of conduct related to SEAH	Number of women-led projects developers (WLPD) in RGIF Sectors reached of which % of FHH Number of WLPD aware of RGIF programs of which FHH	0 0	100% of WLPD FHH censed in the RGIF priority sectors Number of WLPD, which FHH, to be determined by the database (Acrivity 2.1.3)	By 2025	BRD & FONERWA management, Gender Specialists, Gender Focal points of BRD and FONERWA	42,000	Under the Component 3, Activity 3.1.5 of project budget- Budget note PM9
Activity 2.1.5 Make RGIF beneficiaries aware of the existence of a code of conduct related to SEAH	Number of women and men beneficiaries aware of the code of conduct, of the grievance redress mechanism. They know the process to complain and are ensured that they will	0	100% RGIF programs' beneficiaries	By mid-2024	BRD & FONERWA management, Gender Specialist, Gender Focal points		

and gender equal labour conditions among the selected companies	remain safe and secure without risk of contempt or reprisals						
Activities	**Indicators**	**Baseline**	**Targets**	**Timeline**	**Responsibilities**	**Costs (USD)**	**Comment**
Outcome 3: Increased access by women-led projects in RGIF priority sectors							
Output 3.1 Training program targeting women developers to increase their access to RGIF programs							
Activity 3.1.1 Train RGIF Screening committee and gender specialists on the gender program specifics	Number of RGIF Screening committee staff and gender specialists trained	0	100% of the RGIF Screening committee and 100% of gender specialists	By mid-2024	BRD & FONERWA management, Gender Specialists, Gender Focal points of BRD and FONERWA	42,000	Under the Component 3, Activity 3.1.5 of project budget- Budget note PM9
Activity 3.1.2 Provide capacity building of women developers involved in RGIF priority sectors to increase their access to the RGIF programs including financial management and development of viable business plans	Number of Women-led enterprises (WLE) trained on RGIF programs opportunities, of which FHH % of eligible WLE trained who applied, of which FHH % of WLE who applied to receive RGIF support, of which FHH	0 0	100% women-led enterprises in RGIF priority sectors trained, FHH is TBD 60% WLE eligible in the RGIF investment Portfolio applied for FONERWA and 30% for Credit line	By 2025	BRD & FONERWA, Gender Specialists, Gender Focal points of BRD and FONERWA		
Activities	**Indicators**	**Baseline**	**Targets**	**Timeline**	**Responsibilities**	**Costs (USD)**	**Comment**
Outcome 4: Increased financing support to women led projects in RGIF priority sectors targeting at least 40% of the total RGIF's portfolio							
Output 4.1 Direct financing to women led projects by the Credit Facility at BRD (Phase 1 & 2)							

Activity 4.1.1 Design and support launch Request for Proposal (RFP) process to support development of a robust women led project pipeline for the Credit Facility, review of the RFP responses, and project selection	Number of RFP launched targeting women-led projects developers (WLPD)	0	1 RFP launched and exclusively reached WLPD (100%) At least 30% of the total of the CF is allocated to women led enterprises (WLE)	By mid-2024	BRD management, Gender Specialist	Project	Under the USD 504,000 allocated under Component 3, Activity 3.1.5 of project budget. Budget Note PM7 and PM8
Activity 4.1.2 Disburse loans to women led projects	% of women beneficiaries (direct & indirect) of which FHH: women led business, women job creation, women access to clean energy, women access to smart agriculture technologies, etc.	10% estimated on average but to be refined in the baseline study	30%	By 2025	BRD, M&E Specialist, Gender Specialist	28,500,000	
Output 4.2 Grants support to women led projects by the PPF							
Activity 4.2.1 Design and launch Request for Proposal (RFP) process to support development of a robust women led project pipeline, review of the RFP responses, and	Number of RFP for women-led projects launched by the PPF Target: 100% of the RFP launched and at least 60% of PPF is allocated to women led enterprises (WLE)	0 % of total PPF allocated to women led enterprises	1 RFP for the PPF reaching 100% WLPD 60% of total PPF allocated to WLE	By mid-2024	FONERWA management, Gender Specialist	Project	Under the USD 504,000 allocated under Component 3, Activity 3.1.5 of project budget.

project selection (including selection scoring criteria that prioritize projects with gender equality attributes)							Note PM7 and PM8
Activity 4.2.2 Disburse grants to women led projects and enterprises	% of women-led enterprises and projects benefitting from grants and collateral support in clean energy, smart agriculture technologies, transport, and any other RGIF priority sectors.	0	60% of the beneficiaries of grants and collateral support are WLE and WLPD	By 2025	FONERWA, M&E Specialist, Gender Specialist	11,085,750	
Activities	**Indicators**	**Baseline**	**Targets**	**Timeline**	**Responsibilities**	**Costs (USD)**	**Comment**
Outcome 5: Project management							
Output 5.1 Knowledge product generation							
Activity 5.1.1 Conduct several gender studies: - a gender assessment including a gender audit of FONERWA and BRD to fine-tune the activities scheduled in this gender action plan	Number of gender assessment and audit developed Number of gender study developed on the RGIF priority sectors	0 0	1 1	By mid-2024	Gender Specialists, M&E Specialist, BRD & FONERWA management (in particular for the gender assessment/audit)	Project	Under the USD 504,000 allocated under Component 3, Activity 3.1.5 of project budget. Budget

and assess their institutional gender capacities and awareness - a gender study on the RGIF priority sectors in Rwanda [38]							Note PM7 and PM8
Activity 5.1.2 Outreach workshops on the importance of a gender-mainstreamed approach for FONERWA and BRD including workshop on the importance to develop a gender-responsive institutional framework (e.g Environmental and Social Governance and gender-responsive Corporate Social Responsibility aspects, corporate gender strategy and gender action plans)	Number of workshops Number of participants (men, women, FHH)	0 100% of FONERWA and BRD staff	TBD (>1/year)	By mid-2024	BRD & FONERWA management, Gender Specialists, Gender Focal Points	42,000	Under the Component 3, Activity 3.1.5 of project budget-Budget note PM9

[38] based on the existing literature, available statistics and community / field analysis.

Activity 5.1.3 Recruit gender specialists to manage the implementation, monitoring, evaluation and reporting of the activities of this gender action plan towards the AfDB/GCF.	Number of gender specialist (international or national to be discussed with FONERWA/BRD gender focal points)	0	2	Early 2024 then for all the project duration	BRD & FONERWA	36,000/year	
	Total budget allocated for Gender					40,131,750	
	Total Project costs					141,955,898	
	% allocated to gender					28.3	